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Multi-Industry | North America

Q2'26 Preview: Following 2H Volumes into 2027

Note includes detailed write-ups and modeling on company-specific set-ups into Q2 EPS along with key macro debates. We connected with nearly all of our Corporates in June.

Exhibit 1: US multi-industry median operating profit growth: Chart highlights the conservative Q2 bar against an easy comp, but the bar gets more difficult into 2H. We think this will lead to bifurcating 2H revisions & thus equity performance – with US Industrials trading at historically high multiples, the equities need revisions to drive further upside



Source: Morgan Stanley, Visible Alpha

We continue to call for broad Q2 beats with Corps providing conservative quarterly guides into improving macro data ([link](#)) – but the market is now fully on board with this call, bidding US Industrials to a 2 SDEV premium vs history, which complicates the set-ups as revisions are now both anticipated by the market & required to drive further equity upside. For this reason, **we view 2H guides as the KPI this EPS season**. While a rising cyclical tide + potential channel build will lift all US Industrial equities above Q2 guidance, **the bar gets tougher into 2H, and we see bifurcating volumes on channel dynamics** – this is what drives our stock selection. We are most constructive on equities where we believe the market will exit Q2 EPS more confident on sustained strength into 2027: **ROK, RAL, ETN, AME, TT, HUBB & PH**. And as we always prefer equities where we see outsized EPS upside (**GWW & WSO**). We are cautious on those where we see 2H downside risk to EPS / organic (**EMR, HON, OTIS, ALLE**) and those where YTD multiple expansion is extended vs post Q2 revisions / changes in 2027 growth outlook (**CARR, LII, SWK, DOV**) or those tied to sluggish end markets in a world of ISM inflection (**OTIS, ALLE**). We

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MULTI-INDUSTRY

North America
Industry View

Attractive

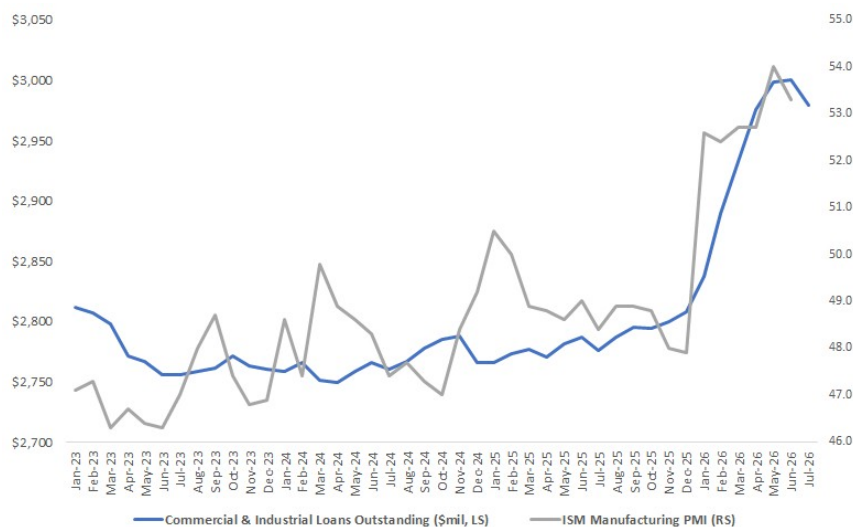
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discuss each equity in detail below.

Bifurcating short-cycle volumes into 2H: After turning constructive on US short-cycle in our 2026 outlook ([Layering in Cyclical Torque](#)), **we continue to believe the NTM trajectory is higher** w/ leading indicators holding firm ([link](#)) and US Reshoring tailwinds blustering ([link](#)). With that said, we do see risk that the **rate of improvement moderates into Q3 on potential channel burn following signs of build in the spring** (IEEPA rollback + Middle East conflict bringing supply-chain risk signaling higher price). While we would view this slowdown as a transitory speed bump rather than a shift in cycle trajectory, **the challenge for US Industrial equities is that group is trading at historically high multiples and the bar to drive positive revisions gets tougher into 2H.** To this point, US multi-industry median organic growth is modeled 5-6% in 2H above 3-4% in 1H despite tougher comps. **We believe the equities will trade on 2H revisions and expect the market will be critical on those where the Q2 growth inflection is coming at the expense of 2H** as this suggests the turn was driven by channel build rather than improve demand. Similarly, we see multiple compression risk on equities where Q2 is viewed as peak organic growth.

Exhibit 2: We view weekly US Commercial & Industrial lending as a real-time gauge of Industrial activity and the positive rate of change began to plateau in June before stepping back in the first week of July. While we believe the NTM trajectory is higher, we see scope for near-term slowdown in rate of improvement following signs of spring channel build

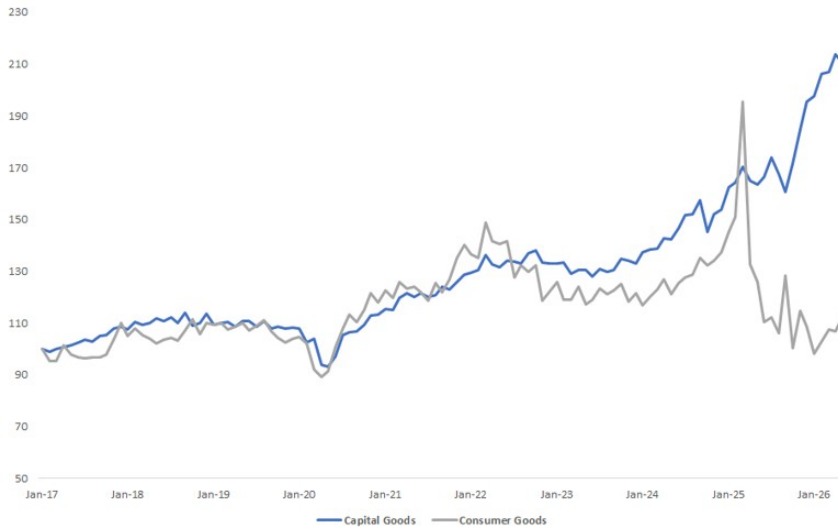


Source: Morgan Stanley, Visible Alpha, US Census Bureau

Still Industrial > Consumer: Within US short-cycle, we continue to call for a bifurcated recovery w/ a preference for Industrial > Consumer ([link](#)) – **while both sides will show Q2 momentum / improvement, we are more confident in the duration of Industrial strength into 2H.** While the sharp YTD price action is supporting the 2H pickup in organic growth + margin expansion for our Industrial coverage, this same inflation brings headwinds for the consumer, which ultimately comes at the expense of purchasing power. Given this backdrop, it is unclear why Consumer demand is materially better today vs 3-6mo ago; Disposable income

continues to decelerate, Savings rates have further declined to new historical lows and real wages have turned negative on the leading edge.

Exhibit 3: Something has Changed – Chart below tracks US imports of Capital Goods vs Consumer Goods (indexed), the leading-edge bifurcation is a big disconnect vs history and one that supports our call that US Reshoring has flipped the cycle. Higher consumption is no longer the driver of US Mfg capex spend, it is now tariff mitigation – a source of investment that is unique to the US market given its \$1.2T trade deficit



Source: Morgan Stanley Research, US Census Bureau

Price is Back: Our Q2'26 Industrial Distributor survey signaled that suppliers are pushing price at the fastest rate since 2022 and distributors are growing more confident that they can remain price / cost positive into the higher supplier asks. This matches the movement in ISM Price index & our June Corporate convos, which struck a more positive tone on price, **likely a function of improved demand & expanding lead times**. This not only supports the 2H organic ramp but also positioned for near-term upside surprise on margins + price / cost. Longer term, we view the price intake as a future profit pool with one-sided optionality ([More Price, More Money](#)). Even if the price actions are not profitable today, the revenue can turn to profits over time as tariff mitigation / commodity price normalization reduces the cost burden and companies hold price. And if commodities rise further, the companies will just push more price – that is one sided optionality.

Still Cautious on Middle East, Source of Downside Revisions: As published since mid-March ([Wary of Middle East Cold Start](#)), we are cautious on both the timing & magnitude of the Middle East recovery and think Corporates have embedded overly optimistic assumptions for the region in their 2026 guides – a call that proved correct into Q1 EPS, and we see a similar set-up into 2H with guides calling for recovery in a still highly uncertain environment ([Still Wary of Middle East Turn](#)). A risk into 2H for **EMR, OTIS, HON, TT, JCI & IR**.

Data Center: While we remain constructive on the data center equipment complex into Q2 and expect another strong order print, comps turn sharply more difficult into 2H. **The market will closely scrutinize 2H orders due to both skittishness on**

data center capex duration but also uncertainty on content shifts w/ architecture changing rapidly. Best positioned are those with line of sight into cont'd backlog build and those with less debate on future content (**VRT, ETN**). While data center demand + capex remains firm, orders could compress over the NTM into more difficult comps on shifting lead times. Those where lead times are most extended are best positioned to sustain order strength through 2H (Electrical > Chiller). **The urgency to lock up capacity is likely influenced by perceived compute ROI** (both end user & capex spend) – questions remain on both and calculations can shift quickly, which can impact cadence of orders to equipment providers.

Resi HVAC: We remain negative on Resi HVAC into 2H ([link](#)) – while Q2 is poised for volume upside, we see EPS offsets on softer margins w/ **LII + CARR** modeled for outsized margin ramp into tariff / inflation cost headwinds. More importantly, **we believe Q2 volume upside is due at least in part to channel build ahead of latest price increases, which could come at the expense of 2H volumes.** While weather always remains the wild card, we struggle to find the underlying driver of demand improvement – consumer remains pressured, resi construction remains soft and the price of the unit has gone higher again. **We also push back on the pent-up demand narrative;** 2024-25 averaged 8.5M units, which comes in above the 2018-19 8.0M runrate. In addition, the market shipped closer to ~10M units in 2021-23 on Covid tailwinds, a potential pull forward that must be absorbed into 2H. **WSO** remains our preferred Resi HVAC exposure and model material EPS upside into Q2 - Q3 on both firmer gross margin & better volumes.

Set-ups for the individual equities, more details within:

ALLE (=/-): Model Q2 operations just in line w/ slightly firmer Americas margins offset by Int'l downside on cont'd ERP headwinds. See Q3 downside on: 1) Americas margins which are modeled for an outsized sequential build into margin dilutive pricing; and 2) forecasted sharp Int'l recovery on both topline + margins into a more difficult comp. We think the market will exit Q2 concerned on F'27 downside, which is forecasted for volume recovery on unclear cycle drivers. The sluggish & slow-moving nature of non-res becomes relatively less attractive in an ISM recovery, and we do not think that narrative will change during Q2 EPS.

AME (+): See scope for organic upside in Q2 and a raise to 2H as strong orders begin to convert. While we would not count on another 20%+ order print for Q2, we expect sustained DD organic growth behind AME attractive end market exposure + cont'd short-cycle momentum. We believe strong 1H backlog adds positions AME to deliver HSD organic in 2H and think the market will exit Q2 EPS thinking HSD organic can be sustained into 2026. Margins screen for upside in Q2 with no sequential uplift despite higher volumes + cost synergies coming through on FARO. Anticipate upbeat commentary on Indico EPS accretion, ability to drive cost synergies (10-15 PP margin uplift) and dry powder for cont'd M&A.

CARR (-): While Q2 positioned for topline beat on firmer Americas Resi + Light Commercial volumes, we see potential offset on softer Americas margins which are guided for a sharp ramp into cost inflation and think this could lead to an EPS print below buy-side boogies. The YTD re-rating in CARR shares + Investor convos signal an expectation of 2H positive revisions, but we think the magnitude of the raise could

disappoint. We believe 1H Resi strength is driven by channel build, which becomes a headwind into 2H. While the market is excited about CARR Data Center opportunity and rightfully so, we see risk of margin headwinds tied to the ramp – both into 2H'26 on the topline ramp (\$0.5B in 1H vs \$1.0B in 2H) and lasting into 2027-28 on required investment (capacity, innovation, field techs).

DOV (=/-): Anticipate another strong order Q on short-cycle momentum + lead time extension for key Data Center exposure (brazen plate heat exchangers). While backlogs are extended vs history, orders have been strong since Q4'25 and would think these convert in Q2 – Q3, positioning DOV for HSD organic vs MSD forecasts. The concern is that mix + growth headwinds could mute the magnitude of both Q2 upside + 2H revision potential and the market is anticipating a raise. The business is already modeled for 5-6% organic and 35%+ incrementals for 2H – note Q3 has a tough margin comp while the organic comp turns more difficult in Q4. As the market shifts its gaze to 2027, we see concern on durability of strength + difficult 1H order comps.

ETN (+): See scope for an Q2 beat on firmer Americas organic, margins + Boyd contribution where we believe guidance set a conservative bar. The Q2 Americas sequential margin is not as difficult as it seems given strong March exit rate and for the first time in a year, see Americas beating on both organic growth & margins in the same Q. While we do see cont'd Americas margin risk into 2H, we think it will become clear to the market that there is no 2H EPS risk and that will allow market to shift its focus to 2027 and better appreciate the step change higher in ETN organic growth. We see DD pro forma organic growth in 2027 and beyond, a level that argues for a multiple over 30x. We see scope for Q3 organic in the low teens range – a mark that does not include growth accretive Boyd but does include growth dilutive Mobility – this should highlight the F'27 growth potential to the market. Between incremental price, an easier comp and volume unlock, we see Americas organic in the high-teens range for Q3.

EMR (-): While we do expect F2H organic to lift above the 1% mark generated in F1H, we continue to model downside vs the guide, which calls for a ramp to 5-6% in F2H. The high F2H bar will keep EMR in the revision laggard category – we model FQ3 in line as firmer margins offset the organic downside but model FQ4 EPS below. Typical seasonality calls for EMR margins to decline sequentially into FQ4 – F'25 is the outlier on tariff impact (FQ3) and recovery (FQ4) but FQ4'26 is modeled up ~40 bps Q/Q. We also see downside risk to FQ4 organic +6% as the comp turns more difficult and the guide calls for Middle East headwinds to ease, which may not be the case. Anticipate another Q of healthy ~MSD orders and while this could signal positive rate of change into F'27, F2H revisions remain a near-term overhang.

FPS (=/-): Model FQ4 EBITDA modestly above w/ firmer topline offsetting softer margins. While we do expect FQ4 to show nice sequential lift to ~25.0% w/ tailwinds from project mix, we see cont'd growth headwinds w/ FPS prioritizing speed + share gain. The focus will be on F'27 guidance, which we anticipate to be ~\$2.1B of topline and ~100 bps of margin expansion (~24% EBITDA) which nets to EBITDA in line w/ Consensus modeling. The buy-side will likely see upside to the guide on strong F'26 orders and FQ4 exit rate margins. The concern into the print is that the positive surprise being FQ4 orders has already been communicated while

negative surprise is the margins and conversion of these orders which comes through in the F'27 guide.

FTV (=): Model screens for upside into both Q2 and 2H but lingering software concerns and muted to no growth 2026 organic exit rate will keep a lid on valuation, particularly in a world where Industrials are cycling up. Q2 topline modeled flat Q/Q screens conservative – while there is a ~150 bps days headwind, this should be more than offset by typical seasonality ~3% and Fluke cycle momentum. Into 2H, the model screens for upside on margins + buyback potential which is not currently in the guide. Firmer Q2 organic provides scope for a 2H organic raise and an improved exit rate could boost sentiment on 2027 prospects. With that said, we see less FTV revision potential compared to those with more cycle torque and think the market will prefer equities with clearer drivers of 2027 strength.

GTES (=/+): Positioned for sharply positive rate of change into Q2 – after Q1 registered a 3% organic decline, we see scope for Q2 organic in the ~4% range. The sharp ramp is a function of Q1 ERP + days headwind shifting into the rearview, an easier comp, firming industrial cycle and potential ERP catch-up. See scope for MSD organic in 2H w/ tailwinds from incremental price action. While MSD organic is an attractive mark vs GTES valuation, it does not drive upside vs the guide already modeling 4-5% for 2H. The reason to be constructive is that GTES could also see secular tailwinds layer on top of the cyclical lift, supporting sustained MSD growth into 2026 – secular tailwinds include Mobility + Data Center opportunity. While GTES multiple is low relative to broader short-cycle, the equity has re-rated sharply YTD (20%+), which signals an anticipation of revisions. We lean positive and are drawn to the sharply positive rate of change and low multiple vs peers, both of which highlight recovery torque.

GWG (+): Model another sizeable EPS beat for Q2 – similar to our calls into Q4 + Q1 EPS, we see upside led by firmer GM% but for Q2 we also think topline comes in ahead. Starting with GM – Q2 is modeled down ~100 bps Q/Q, 60 bps of which mgmt. attributed to typical seasonality. And while the long-term avg calls for a 60 bps GM decline into Q2, we see a more muted step down into Q2'26 simply because Q1'26 saw a more muted sequential increase for HTNA and the two are tied together (January ahead on price / cost, this is given back in Q2). GWG GM% could also benefit from mix after the company lowered price on the GM accretive private-label brands while raising the price of GM dilutive national accounts. We also see Q2 topline upside – April was north of 13% but Q2 is modeled for just 11-12% on unchanged May – June comps. We think the magnitude of Q2 upside will allow GWG to raise the FY'26 guide even against 2H Monotaro headwinds (1H inventory build on Middle East concerns, FX headwinds).

HON (=/-): While 2H is positioned for a pickup in organic growth vs the muted 1% generated in 1H (Middle East headwinds), we see a tough bar that is difficult to deliver revisions against w/ guide calling for a ramp to 3-5% in 2H. The ramp looks particularly difficult when accounting for HON outsized Middle East exposure where we see lingering 2H headwinds. Q3 margins of ~21% screen difficult but uncertainty remains on pace of stranded cost takeout + quarterly cadence of below-the-line modeling. The step up to 22% margins in Q4 screens less difficult following divestiture of margin dilutive Warehouse + Scanners business lines. The 2H EPS bar

seems more achievable than organic growth but the cost side of the model is more clouded following the separation. 2027 positioned for strong EPS growth on cost stranded cost take-out but ability to achieve longer-term targets need to be proved out, specifically MSD organic growth (4-6% target, including 3-4% price). Relative under exposure to top Industrial mega themes (AI Data Center + US Reshoring / ISM recovery) will keep a lid on valuation.

HUBB (=/+): Model modest Q2 EPS upside on a topline beat along with better-than-feared sequential margin ramp. Between the organic momentum + addition of NSI Industries (20-25c EPS in 2H, MSe) – we expect a raise to FY'26 EPS guide and anticipate organic growth tracking closer to the high end of the 6-9% range. We think the positive surprise into Q2 EPS is that organic growth could accelerate sequentially into both Q2 and Q3 behind cycle momentum + incremental price action. With non-res starting to see green shoots, Aclara benefiting from easier comps and sustained strength in Transmission + Substation, we see HUBB positioned for 10-11% organic in Q2-Q3, which would signal upside vs-6% modeling for F'27. The concern on the model is margins with Q2 modeled for a ~400 bps sequential ramp into margin dilutive price action. We think Q2 margins could come in better than feared and suspect the incremental price could be driving price / cost recovery for the Electrical segment (vs holding price / cost neutral) – Electrical Q1 margins were down yoy on DD organic growth (sequentially OP down \$20M vs sales up \$10M).

IR (=/+): While we expect Q2 results just in line and do not anticipate a FY'26 raise, we think orders + commentary will highlight emerging short-cycle tailwinds and reduce concerns on the 2H organic ramp. Specifically, we see scope for Q2 orders in the 4-5% range – a sharply positive rate of change from the -3% posted in Q1 due to easier comp, cycle momentum and potential recovery on the \$40M Middle East orders deferred out of Q1. We think this will push the market to view 2H ramp as achievable rather than difficult, which should boost IR valuation off current historically low levels. With that said, a cont'd preference for US short-cycle exposure + larger growth numbers elsewhere should keep IR multiple below historical levels.

JCI (=/-): Expect another strong order Q led by Data Center momentum while Americas margins serves as source of upside in the model. Americas FQ3 OM is modeled up just ~50 bps Q/Q, below the typical ~200 bps step up on higher volumes (FQ3'25 the outlier on tariff headwinds). We do see modest sequential headwinds from Americas capacity ramp – a headwind that first emerged in FQ2 but positioned JCI for firmer incrementals into F'27. We model FQ3 downside for EMEA segment on cont'd Middle East headwinds (flat organic, 13.5% margin) – a headwind that likely remains in place for FQ4 and mutes positive revision potential. Debate into F'27 will be on the conversion of F'26 order strength w/ signs that lead times could be extending – Bulls see ~50% order rates as sign of upside vs Americas +HSD in F'27 while Bears view orders to be overstated on lead time extension w/ limited upside to drive revisions vs HSD organic target. JCI appears well positioned on Data Center content behind Air Handling + CDUs but we think the market will be hyper-sensitive on F2H orders into more difficult comps due to concerns on the outlook for chiller content. While JCI order comps turn difficult 1 Q later than others

(Dec vs Sept), we would expect NTM volatility on ever expanding project size.

LII (-): While Q2 is positioned for organic beat w/ upside on both HCS (Resi) and BCS (Light Commercial) segments, we see offset on Q2 EPS via softer margins and model material EPS downside into Q3. With our US multi-industry coverage positioned to deliver broad Q2 upside and 2H volumes the KPI this EPS season, we see a negative set-up. For Q2, we see BCS at +13% organic (vs Cons +7%) and also see scope for HCS upside vs Cons -4% w/ communication that HCS volumes could turn positive at the end of Q2 or Q3 (vs MSD+ price / mix for Q2). This would imply a very significant seasonal beat for HCS (+53% Q/Q vs typical 40-45% ramp) and is likely aided by channel build ahead of well telegraphed + sizeable Q2 price action. This dynamic makes it very unlikely that HCS revenue grows sequentially into Q3 as currently forecasted by consensus – the only year HCS grew topline into Q3 was F'24 on the start of refrigerant pull forward. We also see risk of channel destock into Q3 on expectation of price give back following 232 step-down in June (came right after channel build on expectation of higher price). We see downside to both HCS + BCS margins into Q2, which call for outsized ramp into cost inflation. Which HCS margins could approach flattish in Q3 on better volumes, we see risk that BCS margins turn negative yoy vs difficult price / cost comp.

MMM (=/+): While Q2 organic upside is well appreciated by the market following mgmt. intra-quarter commentary, we think the under-appreciated source of upside in the model is margins. The upside in organic growth is being driven by firmer price realization, which signals better margins, particularly should Petrochem deflation show through into 2H. Incremental source of margin upside include better than feared Consumer Electronics sales (margin accretive) and return to positive volumes which should allow self-help initiatives to show through. We peg Q2 organic at 3.7% and expect 2H will remain north of 3% as Q2 order momentum supports Q3 organic, while 1H Data Center orders should convert in Q4. The negative angle is that Q2 is peak organic growth and the drivers of sustained improvement are unclear given outsized Consumer / Resi exposure. We view 3%+ to be a very healthy mark for MMM in the current backdrop and positions for positive rate of change into 2027 on potential consumer rebound / Data Center opportunity. Positioned for 2026 revisions on margins + contingency removal and supportive profit bridge into 2027 with PFAS wind down +Tariff headwinds shifting into rearview.

OTIS (-): While it is difficult to argue for further multiple compression following the sharp LTM de-rating, however, we see risk of negative revisions into 2H'26 – 2027. This is an outlier vs broader US Industrials and when combined with still sluggish non-res cycle momentum, we do not see catalyst for a near-term re-rating. We view Service margins as the source of risk in the model w/ the segment guided for sharp intra-year recovery to ~26% in Q4 vs just 23% in Q1. The rebound is primarily a function of price action – we see risk that price / cost initially steps back in Q2 with commodity / transport inflation leading OTIS price realization. Into 2H, we see risk on realization from the “micro pricing” strategy as this depends on renegotiating existing contracts, which brings risk on both realization & volume elasticity. We also see 2H risk on Middle East where we continue to expect a slower recovery, a slower resolving conflict risks \$5M+ of quarterly operating profit into 2H. We view Service margins as the KPI for OTIS into EPS and if 2H needs to be lowered, it is unlikely

OTIS sentiment improves over the near term.

PH (=/+): See a constructive set-up for PH into FQ4 EPS – while we think Aero organic upside is well appreciated, we see positive surprise for North America Industrial following FQ3 disappointment – and a firmer FQ4 exit rate will make it more easy for the market to call “conservative” on F’27 guidance, supporting incremental buyers post EPS. Our understanding is that NA Industrial would have done a ~26% margin in FQ3 ex weather headwinds, which supports outsized sequential ramp into FQ4 and signals upside vs Cons 26.8%. While NA Industrial orders did not improve sequentially in FQ3 vs FQ2, our understanding is that short-cycle orders did improve Q/Q, which signals better conversion into FQ4 and positions for upside vs Cons +3% (unchanged vs FQ3). While we see very slight downside to F’27 guide on lower Int’l organic, we think the market will see upside on M&A contribution which will be layered into numbers intra-year F’27 + catch-up in NA Industrial organic vs orders (NA Industrial LTM Organic +1.5% vs LTM orders +5%). Expect Industrial orders to hold HSD growth in FQ4 on NA cycle momentum + easier Int’l comp.

RAL (+): Positive set-up, positioned for Q2 beat and FY raise. Q2 screens conservative on topline w/ seasonality modeled below the typical ramp despite Q1 order inflection, which drove outsized book-to-bill for the Q (T&M 1.2x and leans short-cycle). The guide calls for a return to MSD organic in 2H’26 – 2027, we see sustained upside and think the market will exit Q2 results more constructive on the outlook into 2027. PacSci (Missiles, Munitions & Space) does not appear to be slowing any time soon and Qualitrol (Utility sensors) is positioned for NTM acceleration after Q1 posted just 1% organic despite record orders due to supply chain disruption in the Q. In addition, Semi T&M is positioned for NTM inflection on improving orders + easing comps – the category was down HSD in Q1 due to tough project comp (up mid teens ex comp), which goes away in Q4. Sensing & Safety margins are the biggest point of uncertainty in the model w/ mgmt. talking to “mid to high 20s” after posting 28.4% in Q1 – while the margin headwinds for the segment are real, we are not sure how much comes through in Q2. Relative growth between margin accretive Qualitrol and margin dilutive PacSci should narrow and while Pacsci margins will compress moderately over time (from ~20% to high-teens, MSe), this is a function of “Surge” demand programs, which did not come through in Q2. Longer term, these “Surge” margin headwinds (TINA) would only be accompanied by a pickup in PacSci volumes, which is not currently being modeled. While RAL shares are trading at a premium vs its own (short) history, we continue to find valuation attractive vs peers and think the YTD rerating is well warranted on end market strength.

ROK (+): Positioned for material FQ3 upside on firm momentum + conservative modeling, and we expect another strong order print, signaling upside into F’27 and supporting ROK sentiment / valuation. FQ3 is guided for just ~2% sequential organic growth, below the typical 3-4% ramp despite outsized FQ2 book-to-bill (north of 1.10x) that leaned toward short-cycle products. Our understanding is that ROK orders strengthened as FQ2 progressed, supporting better FQ3 conversion. ROK guided FQ3 sales flat Q/Q with the 2% sequential ramp offset by Sensia JV dissolution – the guide suggests this well net to flat operating profit Q/Q. Beyond

the conservatively guided organic ramp, there is sequential mix tailwinds supporting operating profit – organic sales are converting at a ~50% incremental, while Sensia JV runs at roughly zero operating profit. FQ2 orders came in at \$2.5B on our math, and we expect sequential improvement on typical seasonality + cycle tailwinds – a runrate that signals upside to Cons F'27 revenue of \$9.5B. ROK Data Center story remains under appreciated and should continue to support orders + organic growth each Q. We continue to see a significant pipeline of self-help / efficiency initiatives, supporting incremental margins above the ~35% core level.

SWK (=/-): Model Q2 in line w/ slightly softer topline offset by modestly firmer GM %. T&O is modeled for a HSD sequential ramp, in line with typical seasonality but we see risk given the elevated Q1 starting point (~MSD seasonal beat), which benefited from strong Outdoor pre-season volumes, potentially at the expense of Q2. New Craftsman product launches for 2H'26 should provide tailwinds into the back half but unclear if load-in boosts Q2. We remain cautious on the forecasted 2H ramp w/ unclear recovery drivers within T&O and Engineered Fasteners losing its growth driver on the CAM divest. While there are clear drivers of improved 2H GM % vs 1H (mix, better absorption, productivity savings rolling through the P&L), the ramp is significant, and we see risk tied to volume + inflation assumption. As such, we see a more difficult revision path for SWK relative to broader multis and a source of potential disappointment following YTD multiple expansion. We see risk in growing price competition into 2H post IEEPA rollback – note SWK guide calls for higher 301 tariffs to be reinstated on July 31 (raise vs 122), a source of potential price give back risk should tariffs stay at the lower, existing levels.

TT (+): Positive set-up w/ Q2 upside on Americas + APAC and expect another strong order print, boosting sentiment on 2H organic ramp and ultimately prospects on elevated growth into 2027. See scope for Americas Q2 organic above 6.5% consensus modeling on sustained C-HVAC momentum, easy Resi comp and signs of cyclical momentum within Transport – we think Americas Q2 organic could approach closer to 10% and with comps getting easier and C-HVAC backlog poised to convert in 2H, the market should see material upside to Q4 Americas exit rate organic of 11%... a positive signal with Americas F'27 modeled for just HSD organic. We expect another strong orders for the Americas and model a mid 20% mark – we expect another strong CHVAC order print into a more difficult comp on cont'd Data Center strength and positive rate of change elsewhere. Expect improvement on Resi + Transport orders w/ easier comps + cycle momentum. Asia screens as a source of upside in the model while we expect EMEA 2H to be revised lower on cont'd Middle East headwinds. See scope for modest Americas Qs OM upside (20 bps) and see better seasonal performance into 2H on improved Resi price / cost + more level loaded production.

WSO (+): Model material EPS upside into Q2 – Q3, driven by both firmer GM% and also topline upside w/ WSO facing easier comps vs industry benchmarks (lost 1H'25 share on quicker 454B pivot). WSO always leads on price / cost, and we would expect that to remain the case in Q2 on the latest round of OEM price asks – while the sequential step-up will be below the ~120 bps year-ago ramp as the price ask is smaller, Cons is setting a low bar at just +30 bps. We model ~40 bps upside vs Cons and see continued upside into 2H w/ price / cost tailwinds stemming from potential

OEM price negotiations following June 232 rollback (savings accrue to large buyers like WSO). Also note, WSO added an outsized level of inventory in the early portion of this year, which also supports price / cost. While WSO SG&A will start growing on improved volumes + general cost inflation (transport / fuel), we model rest of year opex below Cons following 2H'25 cost-out actions. We see sustained topline upside in 2H on the Jackson Supply deal close, which is not currently in consensus modeling.

VRT (=): Americas margin remains the clearest source of near-term upside in the model, positioning both Q2 and 2H for beats. The challenge for VRT equity on the day of EPS print is that the company no longer provides orders and positive market commentary is almost table stakes at this point in the cycle. So to improve sentiment / drive multiple expansion, the market will need to get more constructive on the 2026 organic exit rate momentum and what that could mean for 2027 revisions. But given the uncertainty around project timing (particularly for Int'l exposure), we think it will be difficult for VRT to materially raise the Q4 exit rate guide as it is already guided for sharp intra-year acceleration (Q1 +23% vs Q4 +37%).

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- [Allegion \(ALLE\)](#)
- [Ametek \(AME\)](#)
- [Carrier \(CARR\)](#)
- [Dover \(DOV\)](#)
- [Emerson \(EMR\)](#)
- [Eaton \(ETN\)](#)
- [Fastenal \(FAST\)](#)
- [Fortive \(FTV\)](#)
- [Gates \(GTES\)](#)
- [W.W. Grainger \(GWW\)](#)
- [Honeywell \(HON\)](#)
- [Hubbell \(HUBB\)](#)
- [Ingersoll Rand \(IR\)](#)
- [Johnson Controls \(JCI\)](#)
- [Lennox \(LII\)](#)
- [3M \(MMM\)](#)
- [Otis Worldwide \(OTIS\)](#)
- [Parker Hannifin \(PH\)](#)
- [QXO Inc \(QXO\)](#)
- [Ralliant \(RAL\)](#)
- [Rockwell Automation \(ROK\)](#)
- [Stanley, Black & Decker \(SWK\)](#)
- [Trane Technologies \(TT\)](#)
- [Vertiv Holdings \(VRT\)](#)
- [Watsco \(WSO\)](#)

2Q26 Earnings Preview

Exhibit 4: MS estimates vs. consensus summary

Ticker	EPS						EBITDA						Organic Growth					
	MS		Cons.		MS		MS		Cons.		MS		MS		Cons.		MS	
	CQ2		FY1		FY2		CQ2		FY1		FY2		CQ2		FY1		FY2	
ALLE	2.25	2.21	8.78	8.75	9.29	9.47	284	277	1,097	1,089	1,147	1,172	3.5%	3.9%	3.9%	4.0%	3.5%	4.4%
ALH	0.34	0.34	1.29	1.29	1.42	1.45	124	128	469	470	497	506	6.7%	7.0%	6.4%	6.9%	5.8%	6.1%
AME	2.00	2.00	8.18	8.16	8.79	8.90	626	630	2,555	2,565	2,723	2,759	5.2%	5.0%	5.3%	5.2%	6.0%	5.3%
CARR	0.80	0.80	2.69	2.80	3.02	3.19	1,123	1,170	3,706	3,985	4,029	4,587	-1.6%	-2.2%	2.6%	2.4%	3.9%	5.8%
DOV	2.72	2.72	10.66	10.67	11.65	11.73	513	520	2,040	2,034	2,195	2,182	5.5%	5.3%	5.3%	5.4%	3.8%	4.8%
EMR	1.67	1.67	6.44	6.50	6.88	7.20	1,451	1,391	5,632	5,425	5,875	5,831	3.5%	4.8%	2.2%	3.1%	3.2%	5.5%
ETN	3.09	3.07	13.31	13.35	16.01	15.73	1,749	1,820	7,403	7,585	8,710	8,751	9.6%	10.1%	10.6%	10.5%	10.2%	9.7%
FAST	0.34	0.33	1.29	1.24	1.43	1.36	555	542	2,129	2,078	2,367	2,282	14.0%	12.8%	13.0%	12.1%	10.0%	8.7%
FPS	0.21	0.21	0.60	0.59	0.92	1.01	108	104	318	319	499	511	81.6%	81.8%	84.5%	84.3%	50.1%	50.6%
FTV	0.73	0.71	3.01	3.00	3.28	3.22	318	316	1,306	1,309	1,387	1,384	4.4%	3.8%	3.2%	3.0%	3.5%	3.9%
GTEG	0.40	0.42	1.58	1.62	1.88	1.85	205	206	802	807	892	891	3.6%	3.5%	2.3%	2.3%	3.5%	4.2%
GWV	11.98	11.30	46.01	45.81	51.09	50.59	878	830	3,393	3,350	3,656	3,605	22.6%	11.6%	11.1%	11.2%	7.7%	6.8%
HON	1.82	1.78	8.08	8.13	9.43	9.70	1,198	2,408	5,198	10,137	5,600	10,823	0.7%	0.4%	2.4%	2.8%	4.1%	5.7%
HUBB	5.35	5.35	19.83	19.78	22.27	21.90	424	420	1,584	1,565	1,743	1,696	10.0%	8.5%	9.0%	7.8%	5.9%	6.1%
IR	0.83	0.82	3.48	3.50	3.73	3.84	517	515	2,144	2,145	2,262	2,282	0.6%	0.7%	1.2%	1.2%	3.5%	4.1%
JCI	1.40	1.29	4.99	4.89	5.89	5.81	1,274	1,206	4,633	4,590	5,241	5,227	5.7%	6.4%	5.9%	6.4%	7.3%	7.4%
LII	7.65	7.68	23.85	24.44	25.15	26.72	388	372	1,230	1,249	1,277	1,334	1.2%	-0.5%	4.0%	4.3%	3.0%	5.2%
MIR	0.11	0.11	0.54	0.54	0.61	0.68	64	63	288	290	322	334	2.5%	2.6%	5.2%	5.5%	7.1%	7.8%
MMM	2.31	2.25	8.73	8.74	9.39	9.56	1,661	1,898	7,048	7,386	7,544	7,800	3.7%	3.0%	2.9%	2.9%	2.7%	3.7%
OTIS	0.99	1.03	4.09	4.20	4.64	4.70	627	635	2,599	2,661	2,853	2,888	2.4%	3.2%	2.8%	3.5%	4.5%	5.1%
PH	8.27	8.27	31.31	31.31	33.97	33.42	1,551	1,530	5,860	5,840	6,329	6,319	5.2%	4.4%	5.8%	5.6%	5.3%	5.7%
RAL	0.63	0.62	2.66	2.65	3.23	3.08	108	107	447	445	518	498	9.6%	8.8%	7.8%	7.2%	6.4%	5.4%
ROK	3.42	3.39	13.20	13.03	14.98	14.66	584	485	2,281	2,168	2,519	2,379	6.9%	6.4%	7.3%	7.4%	7.7%	6.6%
SWK	1.18	1.21	5.26	5.37	6.28	6.24	420	414	1,773	1,776	1,980	1,944	0.9%	1.9%	0.9%	1.7%	1.5%	3.3%
TT	4.30	4.26	14.90	14.92	17.22	17.03	1,361	1,353	4,799	4,804	5,405	5,388	6.0%	5.3%	6.8%	7.2%	8.3%	8.2%
VRT	1.47	1.44	6.40	6.48	8.89	8.73	782	762	3,382	3,383	4,612	4,618	25.2%	23.7%	31.0%	30.5%	26.8%	27.0%
WSO	4.75	4.44	13.30	12.75	15.03	14.01	291	145	823	791	919	865	3.7%	3.1%	2.8%	3.6%	4.7%	4.4%

*The EBITDA Consensus Median is utilized for the EBITDA consensus columns in the table.

Data as of July 13, 2026

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Executive Summary

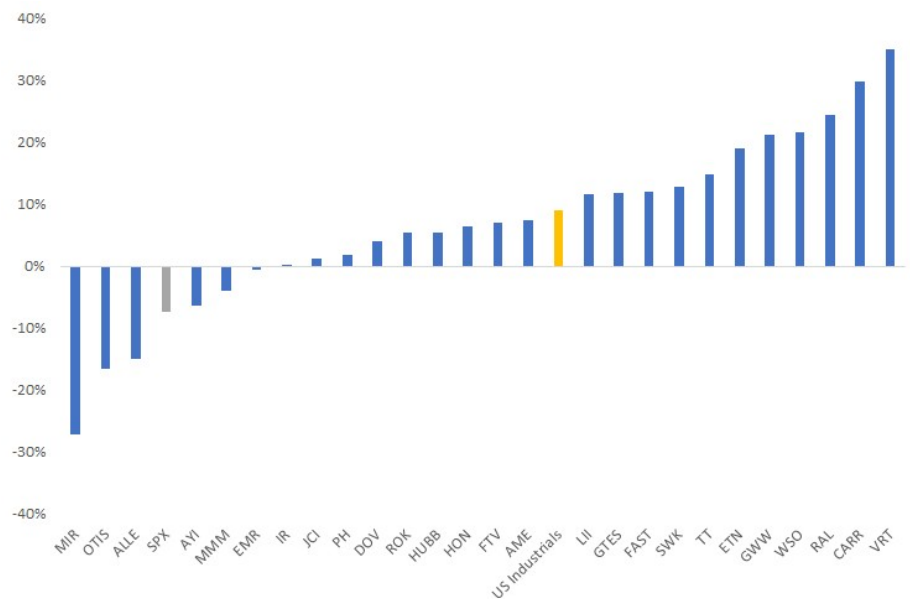
We continue to call for broad Q2 beats with Corps providing conservative quarterly guides into improving macro data ([link](#)) – but the market is now fully on board with this call, bidding US Industrials to a 2 SDEV premium vs history, which complicates the set-ups as revisions are now both anticipated by the market & required to drive further equity upside.

Exhibit 5: US Industrials Relative SPX Valuation (NTM PE): The group is trading at a record premium w/ the market better appreciating our call for a return to "Decade High Growth". The premium suggests positive forward revisions are needed to drive further equity upside



Source: Morgan Stanley, FactSet

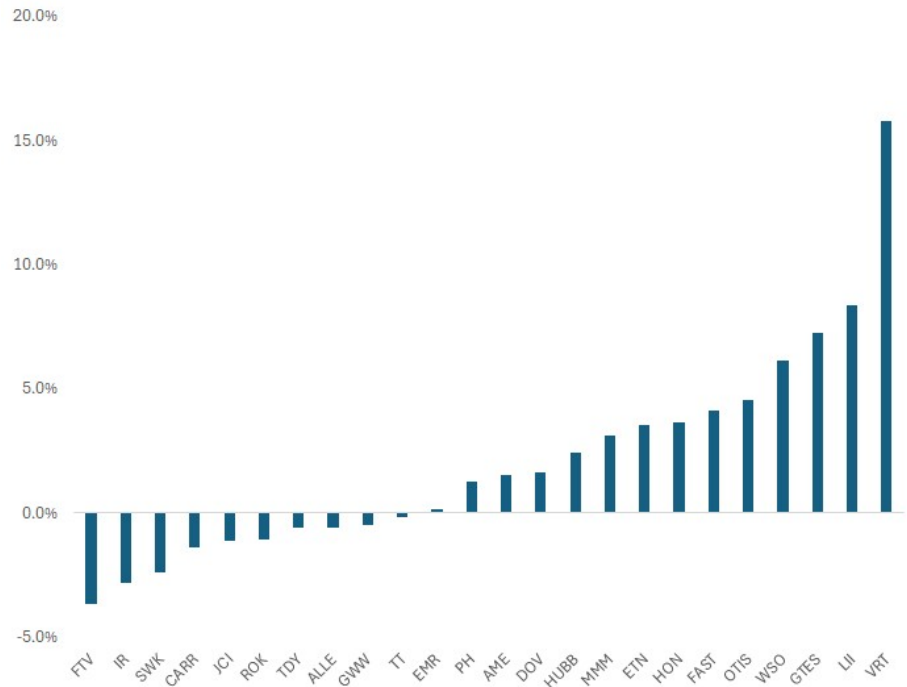
Exhibit 6: Which equities have re-rated (de-rated) the most YTD? Chart below tracks YTD change in NTM EPS multiple by company



Source: Morgan Stanley Research, FactSet

For this reason, we view 2H guides as the KPI this EPS season – while a rising cyclical tide + potential channel build will lift all US Industrial equities above Q2 guidance, the bar gets tougher into 2H where we see bifurcating volumes and that is what drives our stock selection. We are most constructive on equities where we believe the market will exit Q2 EPS more confident on sustained strength into 2027: **ROK, RAL, ETN, AME, TT, HUBB, PH & GWW**. We are cautious on those where we see 2H downside risk to EPS / organic (**EMR, HON, OTIS, ALLE**) and those where YTD multiple expansion is extended vs post Q2 revisions / changes in 2027 growth outlook (**CARR, LII, SWK, DOV**) or those tied to sluggish end markets in a world of ISM inflection (**OTIS, ALLE**). We discuss each equity in detail below.

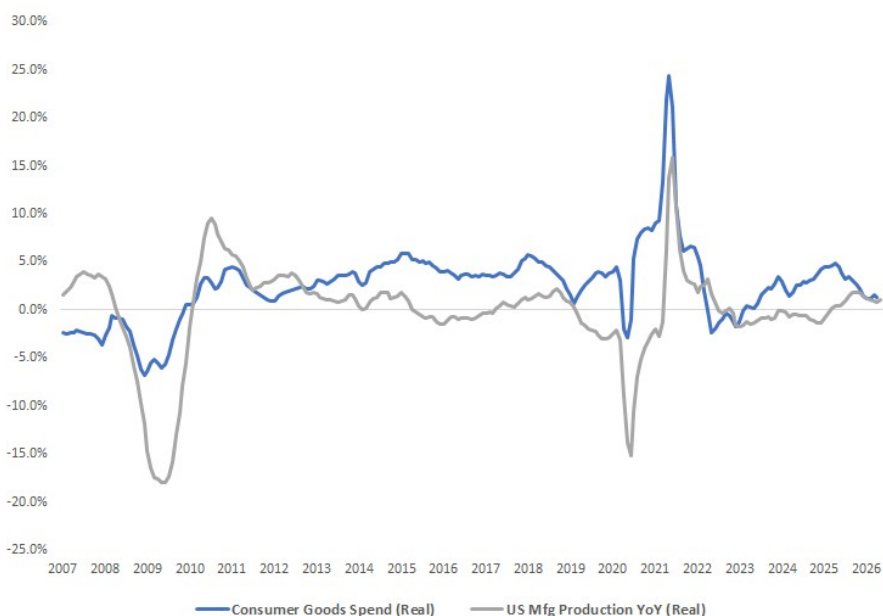
Exhibit 7: Screening for Conservative / Aggressive Guides: With Q2 positioned for broad beats and 2H revisions the KPI this EPS season, we think the best screen is to compare the forecasted Q3'26 vs Q1'26 revenue ramp vs typical seasonality – a positive number means the business is modeled for a seasonal beat (high bar) while a negative number means the business is modeled for a seasonal miss (low bar)



Source: Morgan Stanley, Visible Alpha

Bifurcating short-cycle volumes into 2H: After turning constructive on US short-cycle in our 2026 outlook ([Layering in Cyclical Torque](#)), we continue to believe the NTM trajectory is higher w/ leading indicators holding firm ([link](#)) and US Reshoring tailwinds blustering ([link](#)).

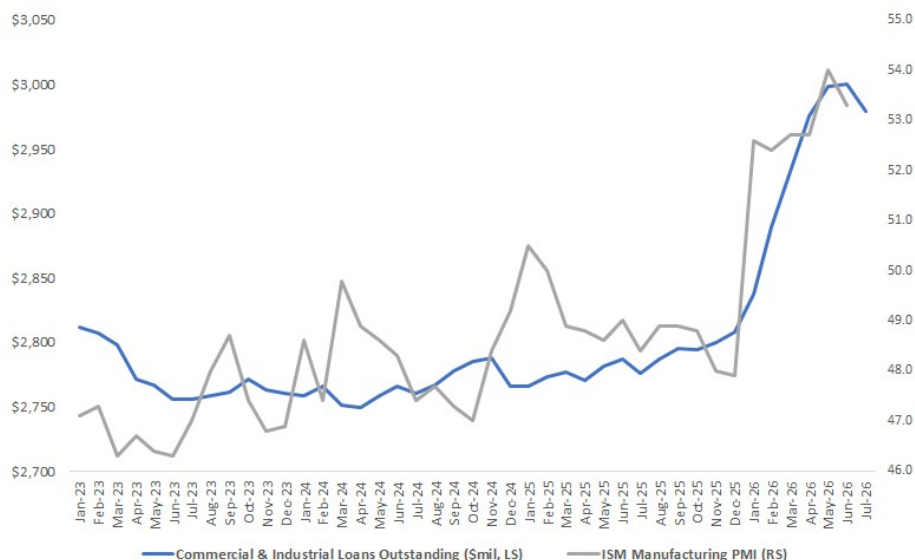
Exhibit 8: US Consumer spend has consistently & materially outpaced US Mfg production over the last 20 yrs due to outsourcing, but the delta has evaporated in 2026 – signaling both US Reshoring & channel destock, a positive for US short-cycle



Source: Morgan Stanley, US Census Bureau

With that said, we do see risk of near-term deceleration into Q3 on potential channel inventory digestion following signs of build in the spring (IEEPA rollback + Middle East conflict bringing supply-chain risk signaling higher price). While we would view this slowdown as a transitory speed bump rather than a shift in cycle trajectory, the challenge for US Industrial equities is that group is trading at historically high multiples and the bar to drive positive revisions gets tougher into 2H.

Exhibit 9: We view weekly US Commercial & Industrial lending as a real-time gauge of Industrial activity and the positive rate of change began to plateau in June



Source: Morgan Stanley, Visible Alpha, US Census Bureau

To this point, US multi-industry median organic growth is modeled 5-6% in 2H above 3-4% in 1H despite tougher comps. We believe the equities will trade on 2H revisions and expect the market will be critical on those where the Q2 growth inflection is coming at the expense of 2H as this suggests the turn was driven by channel build rather than improve demand. Similarly, we see multiple compression risk on equities where Q2 is viewed as peak organic growth.

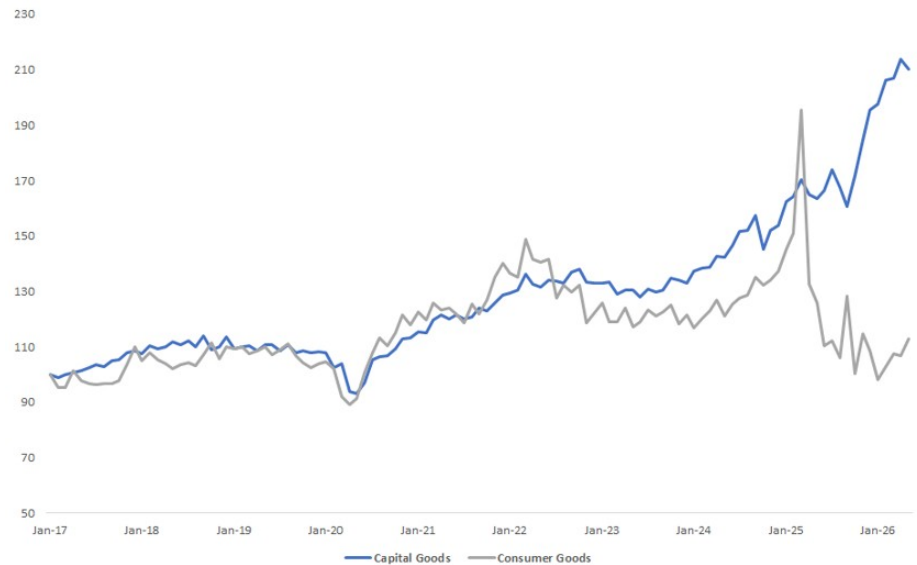
Exhibit 10: US multi-industry median operating profit growth: Chart highlights the conservative Q2 bar against an easy comp, but the bar gets tougher into 2H w/ models calling for a pickup in organic growth + widening margin expansion



Source: Morgan Stanley, Visible Alpha

Still Industrial > Consumer: Within US short-cycle, we continue to call for a bifurcated recovery w/ a preference for Industrial > Consumer ([link](#)) – while both sides will show Q2 momentum / improvement, we are more confident in the duration of Industrial strength into 2H. While the sharp YTD price action is supporting the 2H pickup in organic growth + margin expansion for our Industrial coverage, this same inflation brings headwinds for the consumer which ultimately comes at the expense of purchasing power.

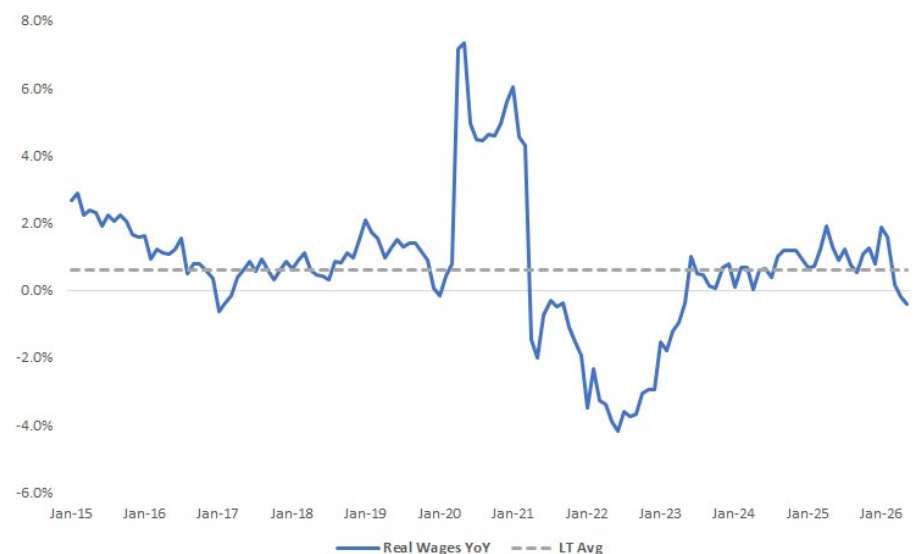
Exhibit 11: Something has Changed – Chart below tracks US imports of Capital Goods vs Consumer Goods (indexed), the leading-edge bifurcation is a big disconnect vs history and one that supports our call that US Reshoring has flipped the cycle. Higher consumption is no longer the driver of US Mfg capex spend, it is now tariff mitigation – a source of investment that is unique to the US market given its \$1.2T trade deficit



Source: Morgan Stanley Research, US Census Bureau

Given this backdrop, it is unclear why Consumer demand is materially better today vs 3-6mo ago; Disposable income continues to decelerate, Savings rates have further declined to new historic lows and real wages have turned negative on the leading edge.

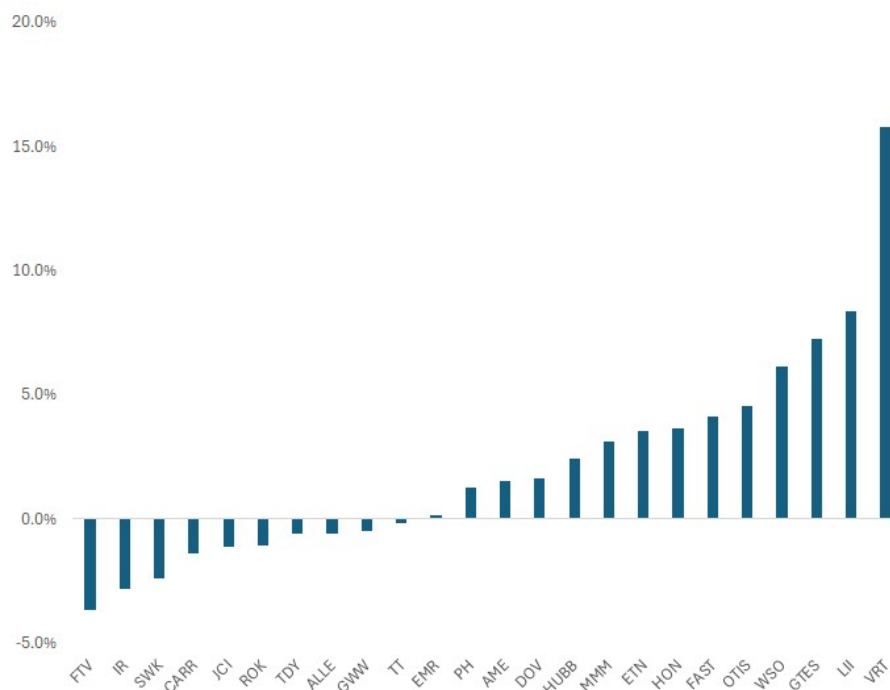
Exhibit 12: Chart below plots US Consumer real wages (wage growth less CPI) – the metric has turned negative on the leading edge, making it difficult to understand what is driving sustained recovery for consumer facing verticals



Source: US Census, Morgan Stanley Research

Hunting for Revisions

Exhibit 13: Screening for Conservative / Aggressive Guides: With Q2 positioned for broad beats and 2H revisions the KPI this EPS season, we think the best screen is to compare the forecasted Q3'26 vs Q1'26 revenue ramp vs typical seasonality – a positive number means the business is modeled for a seasonal beat (high bar), while a negative number means the business is modeled for a seasonal miss (low bar)



Source: Morgan Stanley, Visible Alpha

Yesterday's CotD ([link](#)) highlighted that short-cycle leading indicators remain firm through Q2, positioning our US multi-industry coverage for broad-based beats against conservative guides – but the bar gets tougher into 2H and with US Industrials trading at a historic valuation premium, forward revisions are needed to drive further equity upside **While we believe the premium is warranted on the back of our long-standing \$10T US Reshoring thesis, which we believe will result in stronger + more durable through-cycle growth for US Industrials ([link](#)), the equities need to now prove it to the market w/ positive revisions.** Before we get into specific end markets + company idiosyncrasies, we first like to see where guides are setting an aggressive / conservative bar. **With Q2 positioned for broad beats and 2H revisions the KPI this EPS season, we think the best screen is to compare the forecasted Q3'26 vs Q1'26 revenue ramp vs typical seasonality** – a positive number means the business is modeled for a seasonal beat (high bar) while a negative number means the business is modeled for a seasonal miss (low bar). While the market will always gravitate towards acceleration, we believe what is most important is to deliver upside vs NTM organic forecasts – and for this reason, we prefer those with a low bar. **The best set-ups are always those that are both accelerating and delivering positive revisions but the trick in the analysis is to separate opportunity from risk.** We discuss the nuance around specific equities below but the raw numbers of the analysis screen positive for **IR, JCI, ROK, GWW, TT, PH, AME, DOV & HUBB** and negative for **LII, WSO,**

OTIS, HON & MMM. [Exhibit 14](#) takes a yoy perspective, plotting the delta between 2H'26 and 1H'26 organic growth, noting the 2yr annualized mark to adjust for the wide range of comps (positive mark signals implied acceleration). This analysis screens positive for **RAL, GWW, FAST, PH, DOV, AME, ETN, JCI** and negative for **LII, OTIS, EMR, IR, MMM**.

Screens attractive but concern under the surface:

- **FTV** – Screens attractive given strong Q1 starting point but this is influenced by days (~150 bps tailwind) with giveback coming in Q4 (days ~100 bps headwind). Days + tough Q4 comp signal muted organic exit rate which combined with broad software concerns will keep a lid on valuation.

Screens negative but reason for optimism:

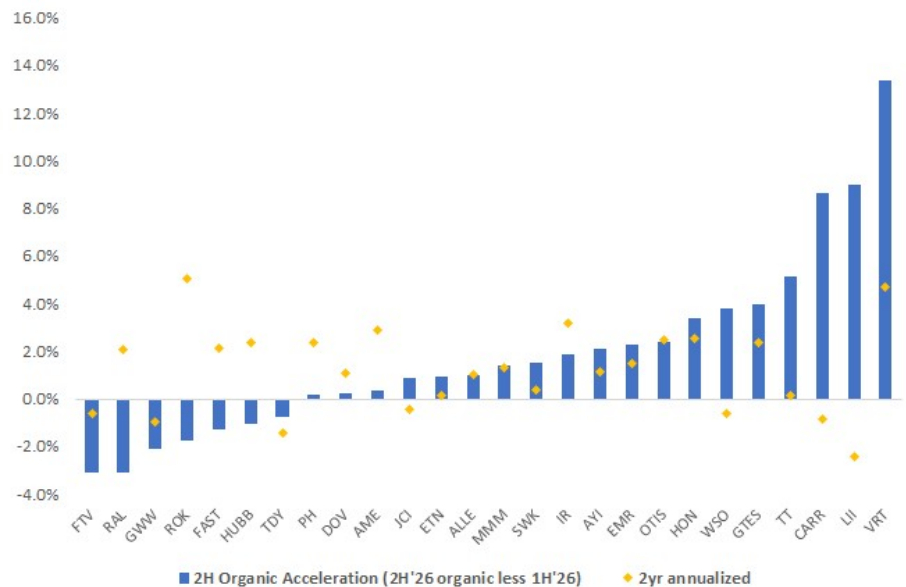
- **GTES** – Screens negative with sharp post Q1 acceleration, however, we think this is a function of depressed Q1 starting point on days headwind + ERP implementation. These headwinds not only alleviate in Q2 but could turn tailwind on ERP catch-up + Q4 days tailwind.
- **VRT** – While guide calls for sharp 2H acceleration (mid 30% organic in 2H vs mid 20% in 1H), this is justified by the sharp LTM order inflection & delivery timeline. While we have some concern on EU backlog conversion, Americas margins remains near-term source of positive revisions.

Broader nuance / thoughts:

- **ETN** – See scope for 2H organic acceleration, led by Americas w/ incremental pricing flowing through & capacity adds supporting volume unlock. We see scope for material Americas organic upside in Q3. As published back in May ([link](#)), we see scope for 12-13% pro-forma organic in 2027-28 ... **a level that ETN can approach in Q3'26 while still having Auto / Mobility drag and yet to see organic benefit from Boyd (liquid cooling)**. A swap that should raise both the organic growth profile & valuation.
- **OTIS** – Much of the forecasted 2H ramp on organic growth + margin expansion is driven by Service price realization, a potential source of risk.
- **Resi HVAC (LII / CARR)** – Group is positioned for strong Q2 seasonal beat, **but Q3 screens difficult vs typical seasonality**, particularly in an environment w/ risk on channel destock + competitive positioning + consumer elasticity after the latest Q2 hikes. Channel destock is a bigger risk to CARR than LII into Q3.
- **MMM** – Positioned for healthy Q2 seasonal beat and sustained order momentum supports Q3 organic growth. The pickup in growth appears heavily influenced by price, **a dynamic that should also accrue to margins**. Concern into 2H centers on Consumer + potential deceleration off Q2.
- **TT** – Clearest source of NTM acceleration across US Industrials w/ LTM order inflection supporting stronger C-HVAC growth while Transport cycle is turning and Resi HVAC comps are easing. Americas positioned for a teens exit rate vs HSD modeling into 2027 ([link](#)).
- **IR** – Typically feels the turn later than most short-cycle industrials which supports post Q1 ramp. While we think Q2 upside will be muted, **we see scope for better than feared orders**, which should reduce concern on the forecasted 2H organic pickup.

We turned constructive on US short-cycle fundamentals in our 2026 outlook ([Layering in Cyclical Torque](#)), called for “More Durable Than Feared” activity levels in March amidst trough sentiment on US - Iran conflict ([link](#)) and certainly believe the rate of change is positive. With that said, **we do believe Q1 order rates broadly overstated activity on lead time extension + long-cycle mix** (i.e., Data Center broadening). We think this dynamic could remain in place for Q2 – what matters for the equities is whether or not these orders are translating to channel build and potentially coming at the expense of 2H volumes. To date, we have not seen the outsized order rates convert but will be paying close attention to this dynamic into Q2 EPS and expect the market will penalize those where Q2 comes in as peak organic growth. **As such, we favor those where we expect sustained Q2 order momentum as this would counter pull forward concerns and support the 2H ramp.** Given our view that the leading edge pickup in US Industrial activity is driven by relocation of output rather than changes in underlying demand ([Pushing Westward](#)), we continue to prefer US > Int’l exposure ([Zero Sum](#)) and Industrial > Consumer ([Bifurcated Cycle](#)). Best positioned in this construct: **ROK, ETN, VRT, JCI, RAL, HUBB, PH & AME.**

Exhibit 14: Which equities are guiding organic acceleration? Chart below plots the delta between 2H’26 and 1H’26 organic growth, noting the 2yr annualized delta as well to account for varying comps. A higher mark signals acceleration (i.e., 2H organic > 1H) and the question is whether this is opportunity or risk



Source: Morgan Stanley, Visible Alpha

Exhibit 15: US multi-industry median operating profit growth: Chart highlights the conservative Q2 bar against an easy comp but the bar gets tougher into 2H w/ models calling for a pickup in organic growth + widening margin expansion



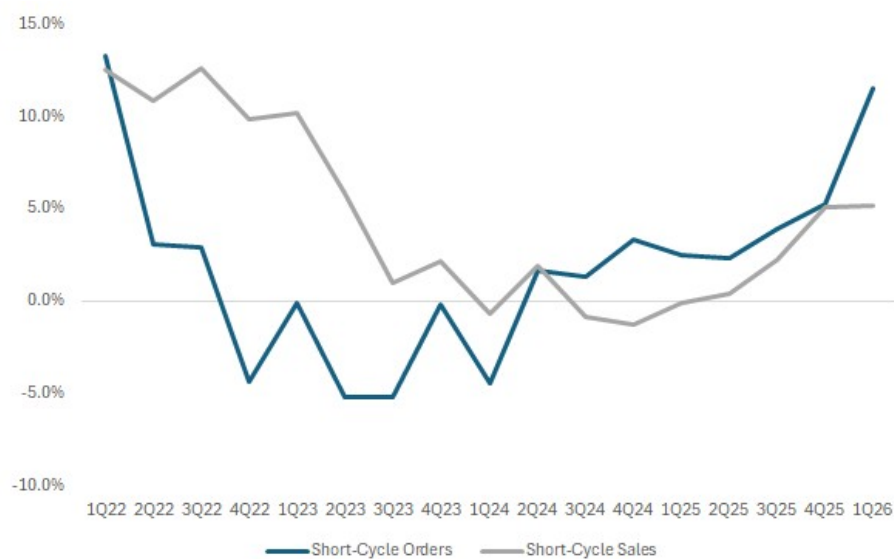
Source: Morgan Stanley, Visible Alpha

Exhibit 16: US Industrials Relative SPX Valuation (NTM PE): The group is trading at a record premium w/ the market better appreciating our call for a return to "Decade High Growth". The premium suggests positive forward revisions are needed to drive further equity upside



Source: Morgan Stanley, FactSet

Exhibit 17: While we have been firm believers that US short-cycle will turn in 1H'26 and have been encouraged by the momentum, robust Q1 order rates signal 1H pull forward risk – a tailwind into Q2 but potential headwind into 2H w/ bifurcated impact

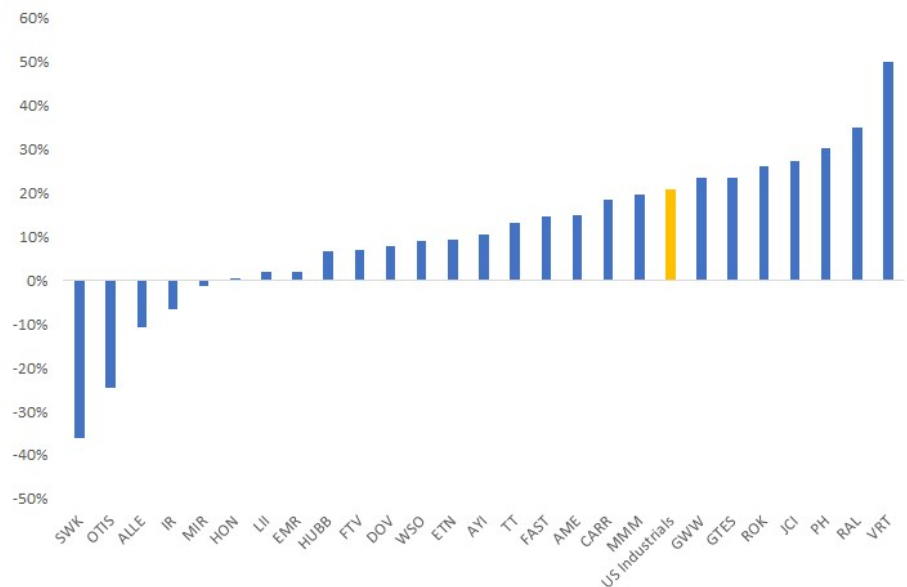


Source: Morgan Stanley Research, Company Reports, Includes: AME, DOV, IR, PH

Where are Expectations the Highest ?

Exhibit 18: Which US Industrial equities carry the highest expectations into Q2 EPS?

The chart below plots the % change between current relative valuation and the trailing 3yr avg (NTM PE). Those with a higher mark are trading at a more significant premium vs history, a signal of elevated expectations



Source: Morgan Stanley Research, FactSet

As published since May ([link](#)), Corporates set a low Q2 bar into improving macro data, which positions our Multi-Industry coverage for broad-based beats. But as discussed last week, **the market now appreciates Q2 upside + cycle momentum w/ US Industrials trading at a ~2 SDEV premium vs the broader market (Sustained Cycle Momentum but Equities Need Revisions)** – this signals positive revisions are expected by the market and likely needed to drive further upside for the equities. **We continue to believe best-positioned equities are those where market will exit Q2 EPS more confident in the multi-year organic / EPS strength (+ve ROK, ETN, RAL, TT).** But the bar is not uniform across all the individual companies (i.e., **IR vs ROK**) and to gauge which equities have the highest / lowest expectations into Q2 EPS, Exhibit above plots the % change between current relative valuation and the trailing 3yr average (NTM PE). **By bidding equities to a premium multiple, the market is venturing that these companies can grow EPS at a faster rate vs history and the trick is to determine where that is warranted.** Exhibit below tracks YTD % change in valuation across the respective names, similarly screening for which equities have highest bar into Q2 EPS. We discuss nuance around the individual equities below.

Thoughts on valuation across the individual equities:

VRT: With leading-edge orders annualizing ~\$30B and NTM revenue forecasted ~\$14B, the premium is warranted and positive revisions are anticipated ([link](#)). Americas margins remain the clearest source of near-term upside in the model.

RAL: With only ~12mo of trading history, relative valuation time series is less reliable. But

with end markets + RAL operations inflecting, we think the recent re-rating is well warranted and find valuation attractive vs peers ([link](#)).

GWW: While we remain positive on EPS revision pathway into Q2 EPS ([link](#)), the premium multiple suggests revisions are needed for further upside.

MMM: Premium suggests a pickup in growth is expected and the debate is whether 2H is tracking for LSD (2-3%) or MSD (4%+). While we are skeptical of sustained ~4% organic, this level of growth would support further multiple expansion.

CARR: Surprised to see the magnitude of premium here given well known challenges facing Resi HVAC – we believe these headwinds are long lasting in nature, but the market disagrees ([link](#)). The emerging Data Center opportunity supports a higher multiple vs history, but we do have concerns that required investment will serve as a margin headwind.

AYI: Modest premium for a business with a much-improved gross margin and organic growth profile w/ new mgmt improving operations + high-grading the portfolio ([link](#)). Capital deployment remains an under-appreciated source of upside.

WSO: Surprised by the premium here given the well-known challenges facing Resi HVAC industry and the pickup in competition across HVAC distribution. The premium signals an expectation of positive revisions (likely GM% upside) and also a view that Resi HVAC industry concerns are easing.

ETN: Relatively modest premium vs its own history supports our view that portfolio transformation underway remains under-appreciated ([link](#)). We see pro forma DD organic growth, a step function higher vs HSD history and one that argues for a wider valuation premium.

FTV: We are surprised to see FTV trading at its own history despite the broad concerns on AI-driven software disruption. While operations have improved post spin, the equity brings less cyclical torque relative to our broader coverage – a negative into an upcycle.

HUBB: We are surprised that HUBB valuation has struggled to rerate vs history as the business has improved both the organic (from GDP to MSD+) and margin profile (mid teens to low 20s) on utility buildout + portfolio high-grading.

LII: We would have expected LII to be trading at a discount vs its own history given both the demand + competitive concerns across Resi HVAC complex ([link](#)).

HON: We would have expected HON to be trading at a discount vs its own history following the separation of Aero Tech, which is a premium multiple business. We see lingering Middle East headwinds into 2H, which could weigh on revisions.

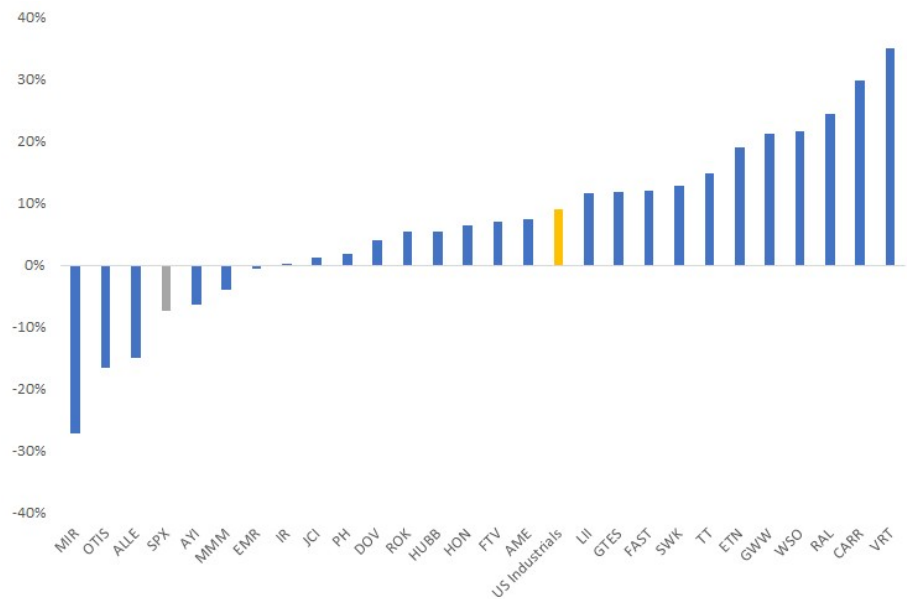
IR: Discount could narrow or completely unwind should cycle tailwinds emerge in Q2. While we do not expect material revisions, a pickup in Q2 orders likely reduces concern on the guided 2H organic ramp, which should support valuation.

ALLE: While we do see modest structural risk (AI eroding Spec Writing moat), we think the discount largely reflects the sluggish & slow-moving nature of non-res, which becomes relatively less attractive in an ISM recovery. And we do not think that narrative will change during Q2 EPS.

OTIS: Debate is whether the algorithm is broken and derating highlights the concern in the market. We see risk to the guided intra-year Service margin ramp, and if that is lowered, it is unlikely sentiment will improve.

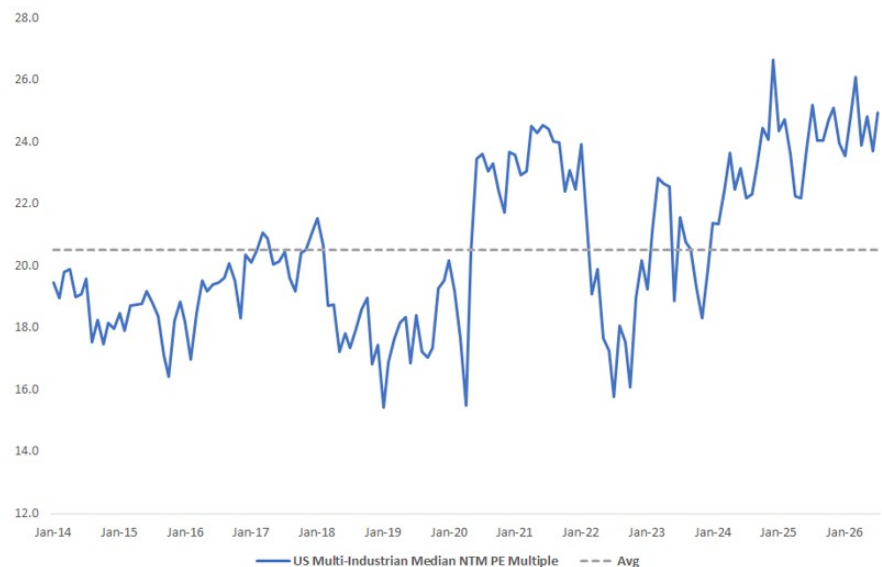
SWK: While company targets screen optimistic (MSD organic and 35%+ GM%), the derating vs history highlights the upside opportunity if the targets can be achieved. Note trailing 3yr multiple elevated on trough EPS amidst restructuring.

Exhibit 19: Which equities have re-rated (de-rated) the most YTD? Chart below tracks YTD change in NTM EPS multiple by company



Source: Morgan Stanley Research, FactSet

Exhibit 20: US Multi-Industry Median Multiple (NTM EPS): Trading at a more than 4 turn premium vs long-term avg



Source: Morgan Stanley Research, FactSet

What is firmer organic growth worth? While it is too early for the equities to get credit, we believe our US multi-industry coverage is positioned for stronger + more durable growth vs history behind our \$10T US Reshoring thesis ([Deep Dive](#)). This is the opportunity and with the group positioned for positive revisions, we think the premium multiples are warranted ([link](#)). Exhibit below builds out an EPS CAGR for two identical companies with the only difference that one is growing MSD organic vs the other HSD organic. If we run a DCF on the EPS CAGR, we find that there is nearly a 10-turn difference in fair value multiple at the different growth rates. This highlights the re-rating opportunity for US Industrials where we see a return to GDP+ market growth, a sharp improvement following two decades of roughly no growth and lifting the growth profile for the entire US Industrial complex.

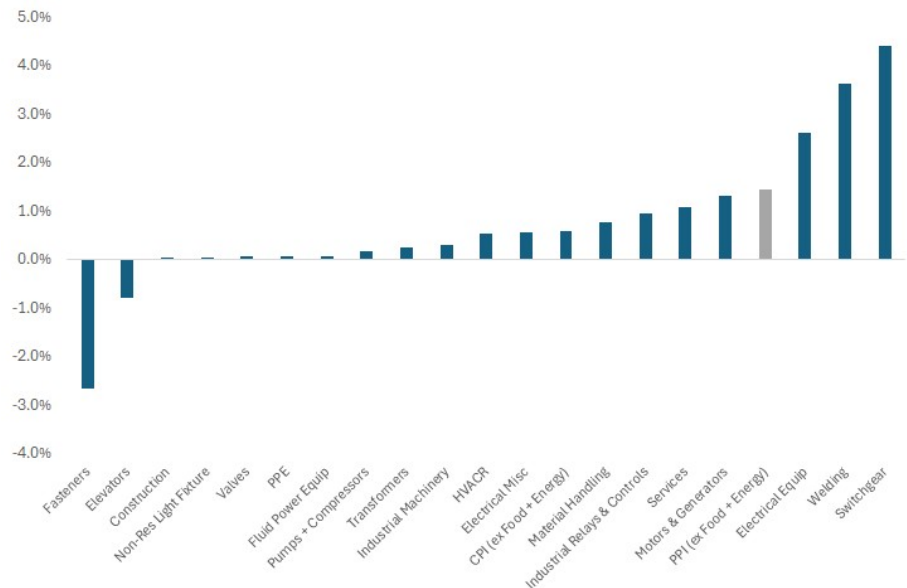
Exhibit 21: What is faster organic growth worth? Chart below runs DCF on future EPS using both MSD vs HSD organic growth and the difference is worth almost 10 turns

	<u>1</u>	<u>2</u>	<u>3</u>	<u>4</u>	<u>5</u>
Revenue	100	105	110	116	122
Op Profit	18	20	21	23	24
OM %	18.0%	18.6%	19.1%	19.6%	20.1%
Other Costs	<u>2</u>	<u>2</u>	<u>2</u>	<u>2</u>	<u>2</u>
PBT	16	18	19	21	22
Net Income	12	13	14	16	17
EPS	\$1.22	\$1.37	\$1.54	\$1.73	\$1.93
Shares	10.0	9.7	9.4	9.1	8.9
EPS CAGR	12%				
Fair Value PE	23				
Organic	5%				
Incremental Margin	30%				
Buyback	3%				
	<u>1</u>	<u>2</u>	<u>3</u>	<u>4</u>	<u>5</u>
Revenue	100	108	117	126	136
Op Profit	18	20	23	26	29
OM %	18.0%	18.9%	19.7%	20.5%	21.2%
Other Costs	<u>2</u>	<u>2</u>	<u>2</u>	<u>2</u>	<u>2</u>
PBT	16	18	21	24	27
Net Income	12	14	16	18	20
EPS	\$1.22	\$1.44	\$1.70	\$1.98	\$2.30
Shares	10.0	9.7	9.4	9.1	8.9
EPS CAGR	17%				
Fair Value PE	32				
Organic	8%				
Incremental Margin	30%				
Buyback	3%				

Source: Morgan Stanley Research

Q2'26 Price Check

Exhibit 22: Which verticals have pushed the most price in Q2'26 ? Chart below tracks QTD price action across key US Industrial verticals (May vs March % chg). While price action is trending at levels not seen since 2022-23 hyper-inflation, cost inflation is tracking better than feared, which signals price / cost tailwinds and makes the implied 2H ramp screen less difficult



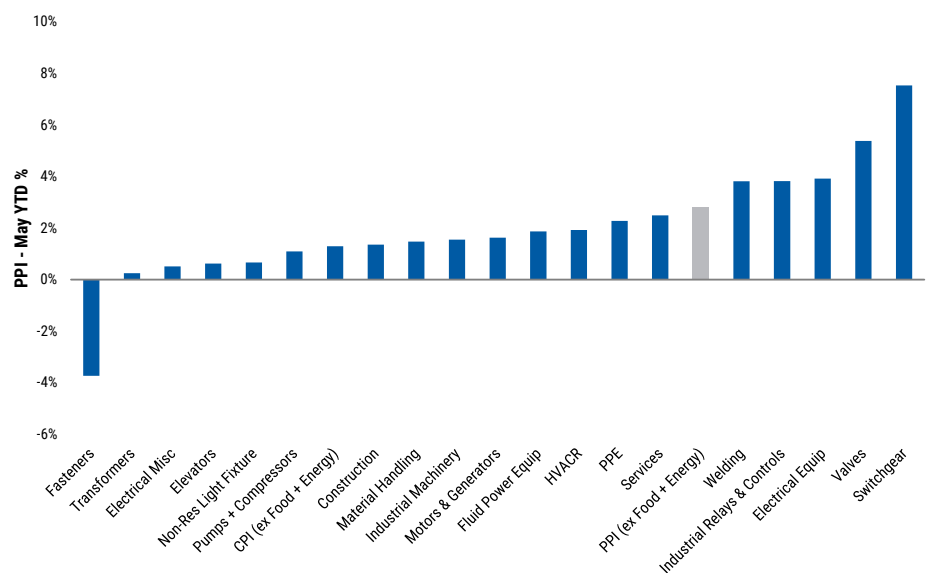
Source: Morgan Stanley Research, Company Reports

As published post Q1 EPS ([Revision Report Card](#)), our US multi-industry coverage is positioned for broad based Q2 beats with Corps providing conservative guides into improving cycle data – **a call we have more conviction in today w/ ISM holding firm and cost inflation trending more muted than feared**. While we have also highlighted the more difficult 2H bar w/ estimates calling for organic acceleration + pickup in margin expansion ([link](#)), **the forecasted 2H ramp seems more achievable today as continued strength in leading edge indicators (ISM, Orders, Channel Checks) suggests the YTD momentum is driven by activity rather than channel build**. In addition to the positive cycle indicators ([link](#)), we think price / cost for the group has also trended better – leading-edge price action is trending at levels not seen since the 2022 hyper-inflation (ISM Price Index, PPI M/M) and while the group is certainly facing incremental 2026 cost inflation, **commodities have generally declined since guides were set in late April / early May**. We also see scope for margin tailwinds on tariff rollback, including IEEPA in late Feb and select 232 rollback in June - **Corporates are very guarded + vague on tariff related price / cost and thus we see this dynamic as an under-appreciated margin tailwind into Q2 - Q3**. Given this backdrop, we are positively biased to the verticals pushing the most price. Exhibit above tracks QTD pricing for key US Industrial verticals (May vs March) – pricing is led by Switchgear (+4.4% QTD), Welding (+3.6%), Electrical Equip (+2.6%), Motors + Generators (+1.3%) and Industrial Relays + Controls (+0.9%). We take this data as most supportive for the entire Electrical complex, most specifically **ETN** but also **VRT, FPS & HUBB**. We attribute the step-up in pricing due to the group's high metal content but also the YTD inflection in Data Center equipment demand which has

driven renewed fears on supply availability w/ **Electrical Equipment capacity still the tightest across our coverage**. We also take the data as positive for **ROK + RAL**. Broadly speaking, YTD PPI (ex Food + Energy) is tracking at the highest level since 2022 hyper inflation (Exhibits below). While Fastener PPI has turned lower in 2026, our sense is that **FAST** is pushing price in Q2 which sets up for improved price / cost. Generally speaking, pricing laggards are the verticals that we have identified as having price risk on IEEPA rollback ([Competitive Risk](#)) – Elevators (-0.8% YTD), Non-Res Light Fixtures (flat), Power Tools (flat). We are surprised that HVACR has lagged w/ PPI up just 0.5% QTD w/ the **Resi HVAC** complex pushing both the typical annual increase in early April (~LSD) and another hike for 232 + broader inflation in late April (M-HSD). This could suggest lower price realization or the fact that select OEMs with outsized US production footprint are pushing less (Daikin + TT), a risk for **LII + CARR** that have asked for more price on outsized Mexico footprint ([link](#)).

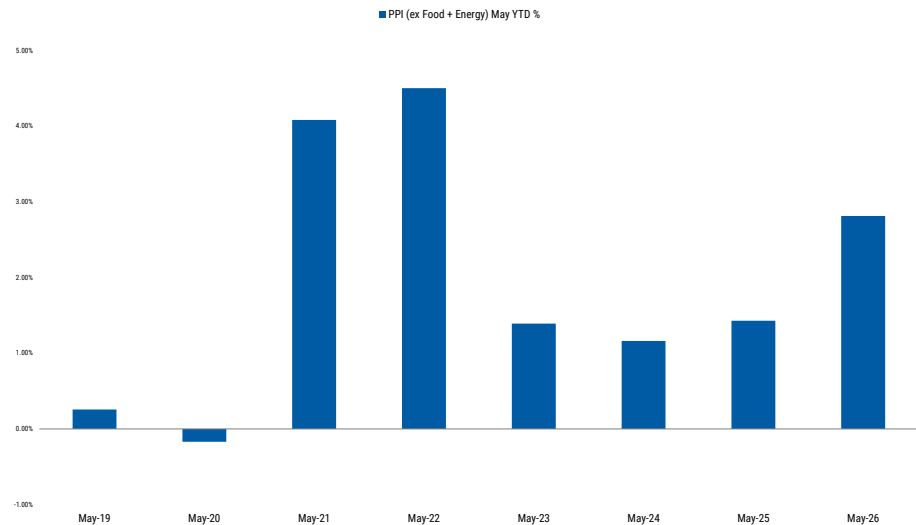
With our call for broad-based Q2 upside now well accepted by the market w/ Corps providing positive updates at intra-quarter conferences, **we think the equities will trade on 2H revisions**. And while the high 2H bar looks more achievable today, we do see bifurcated 2H revisions and continue to prefer Industrial over Consumer exposure ([link](#)) – **while both sides will show Q2 momentum / improvement, we are more confident in the duration of Industrial strength into 2H**. While the sharp YTD price action is supporting the 2H pickup in organic growth + margin expansion for our Industrial coverage, **this same inflation brings headwinds for the consumer which ultimately comes at the expense of purchasing power**. Given this backdrop, it is unclear why Consumer demand is materially better today vs 3-6mo ago; Disposable income continues to decelerate, Savings rates have further declined to new historic lows and real wages have turned negative on the leading edge (Exhibits below)

Exhibit 23: Which verticals have pushed the most price to start 2026? Chart below tracks YTD pricing across key Industrial verticals



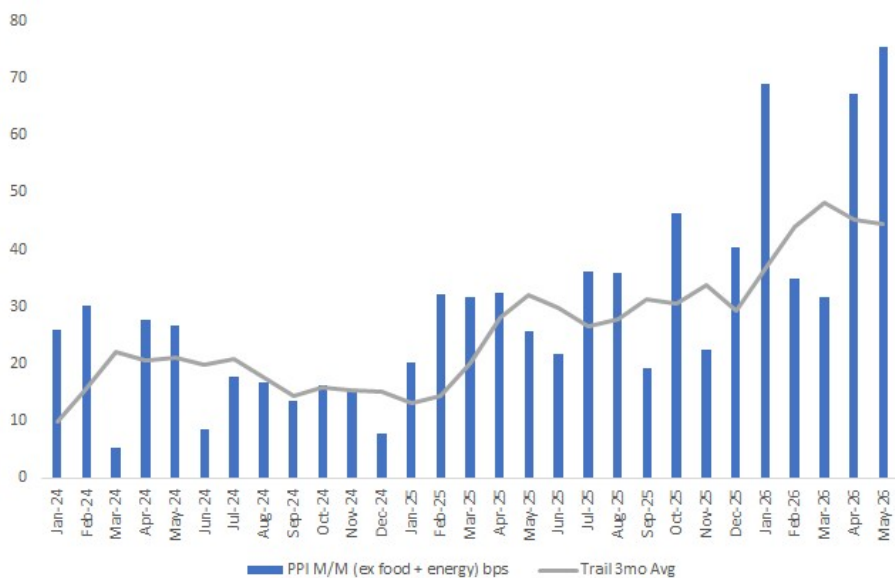
Source: Bureau of Labor Statistics, Morgan Stanley Research

Exhibit 24: PPI inflation excluding food and energy has reaccelerated to +2.8% YTD through May 2026, the strongest pace since 2022 hyper-inflation and above 2025 levels which included 'Liberation Day' tariffs



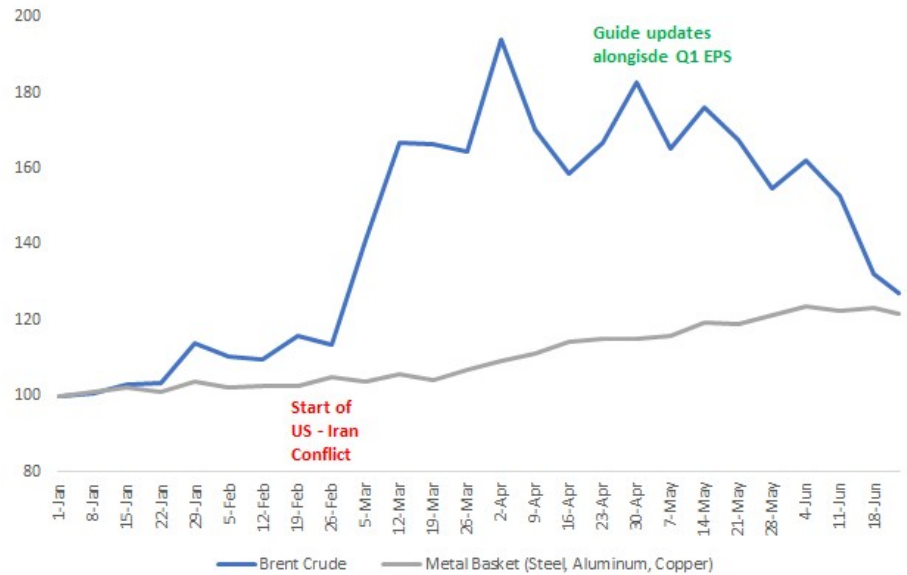
Source: Bureau of Labor Statistics, Morgan Stanley Research

Exhibit 25: We are a bit surprised that leading edge PPI is expanding at a much faster rate in 2026 than what was observed in 2025 when 'Liberation Day' tariffs came through



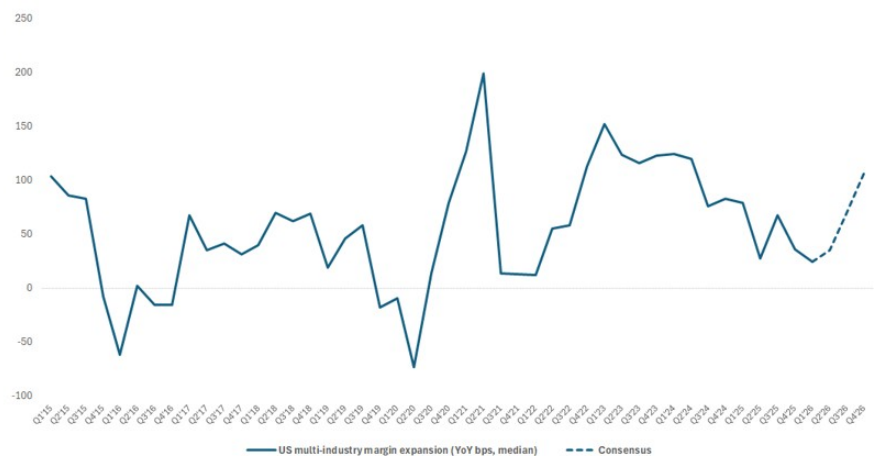
Source: Morgan Stanley Research, US Census Bureau

Exhibit 26: While our US Multi-Industry coverage is certainly dealing with incremental 2026 cost inflation, key commodity inputs have trended better than feared since guides were provided in late April / early May. Oil has declined meaningfully while metals have generally tracked sideways



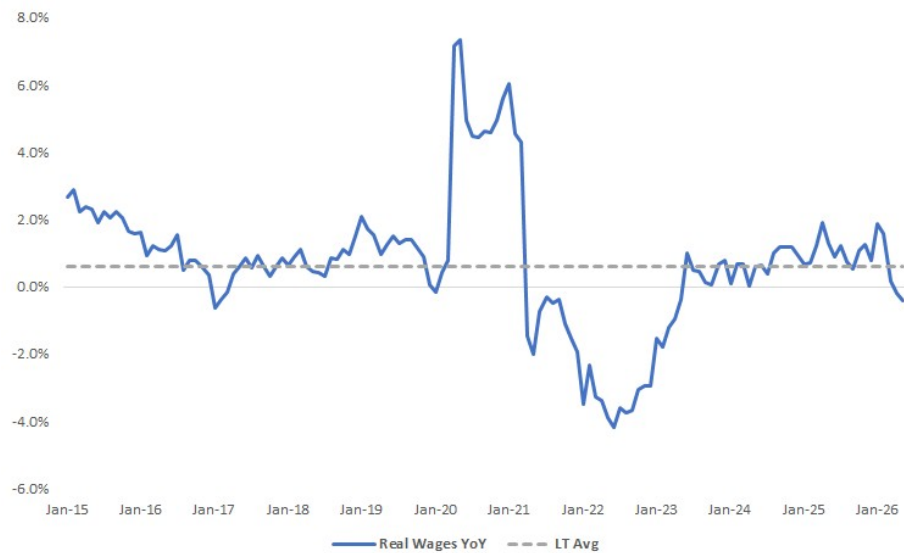
Source: Morgan Stanley, FactSet

Exhibit 27: US Multi-Industry Median Margin Expansion (YoY, bps): Guides call for just ~30 bps of Q2'26 margin expansion, unchanged vs Q1 despite an easier comp. While the Q2 guide screens conservative, the bar gets tougher into 2H w/ models calling for margin expansion to widen



Source: US Census, Morgan Stanley Research

Exhibit 28: Chart below plots US Consumer real wages (wage growth less CPI) - the metric has turned negative on the leading edge, making it difficult to understand what is driving sustained recovery for consumer facing verticals



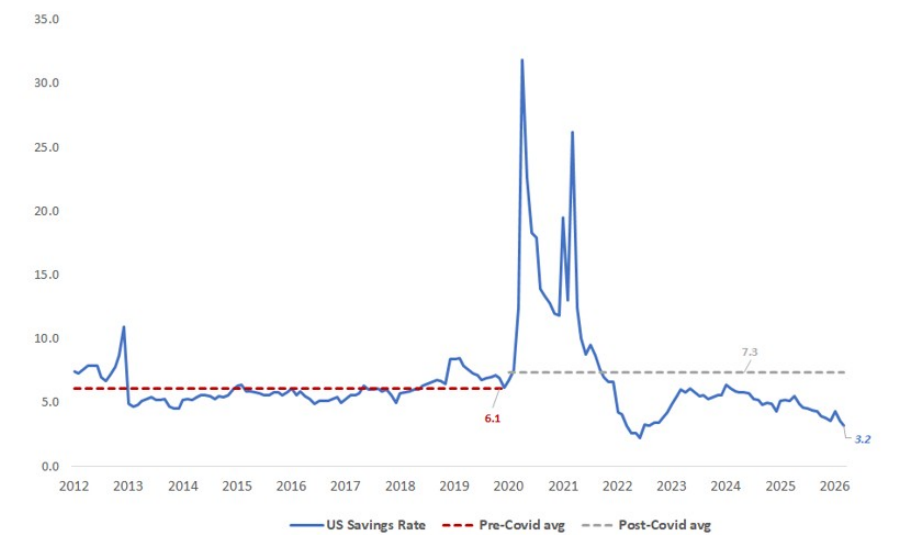
Source: US Census, Morgan Stanley Research

Exhibit 29: US Consumer Disposable Income YoY %: Continued deceleration on the leading edge



Source: US Census, Morgan Stanley Research

Exhibit 30: US Savings Rate: Well below historical levels and deteriorating on the leading edge



Source: US Census, Morgan Stanley Research

Exhibit 31: US PPI Heat Map

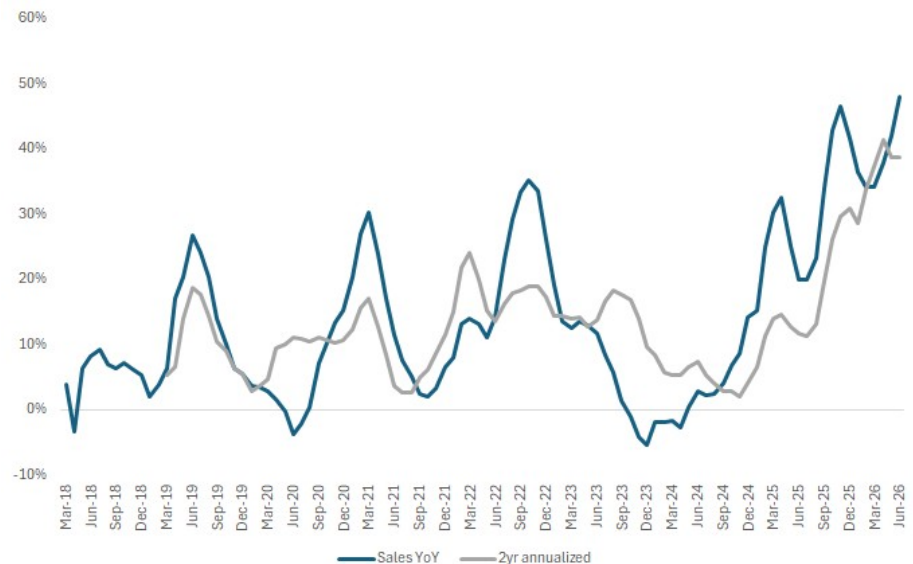
May 2026 PPI Data				
	M/M	vs Feb (IEEPA rollback)	YTD	YoY
PPI	0.8%	1.8%	2.8%	5.1%
Services	0.7%	2.8%	4.1%	6.2%
CPI	0.2%	0.8%	1.3%	2.8%
Non-Res Light Fixture	0.0%	0.0%	0.4%	1.3%
HVACR	0.1%	1.3%	1.9%	3.3%
Electrical Equip	0.5%	2.7%	3.9%	7.4%
Electrical Misc	0.4%	0.6%	0.5%	1.4%
Transformers	0.5%	0.2%	0.3%	4.1%
Construction	0.2%	0.1%	1.2%	3.5%
Fasteners	0.2%	-2.7%	-3.7%	-1.6%
Elevators	-0.9%	-0.8%	0.6%	1.1%
Fluid Power Equip	0.0%	0.0%	1.9%	16.5%
Material Handling	0.6%	1.0%	1.5%	5.4%
Valves	0.0%	4.5%	5.4%	8.1%
Motors & Generators	0.1%	1.4%	1.6%	3.0%
PPE	0.1%	0.1%	2.3%	6.5%
Tools & Outdoor	-0.6%	-0.6%	0.3%	3.7%
Pumps + Compressors	0.0%	0.3%	1.1%	3.9%
Welding	2.9%	3.7%	3.8%	7.7%
Industrial machinery	0.2%	0.5%	1.6%	4.7%
Switchgear	0.9%	4.6%	7.5%	12.4%
Industrial Relays & Controls	0.0%	0.9%	3.8%	4.2%

Source: Morgan Stanley Research, US Census Bureau

Cycle Analysis

A Look Upstream

Exhibit 32: Delta Electronic Monthly Sales: As a leading Asian component provider, Delta sits upstream vs our US OEMs in the supply chain and thus is a useful leading indicator. Sales have accelerated exiting Q2 due to outsized Data Center + Automation exposure. Broader short-cycle indicators have pointed to deceleration in June on less favorable end-market exposure.



Source: Morgan Stanley Research, Company Reports

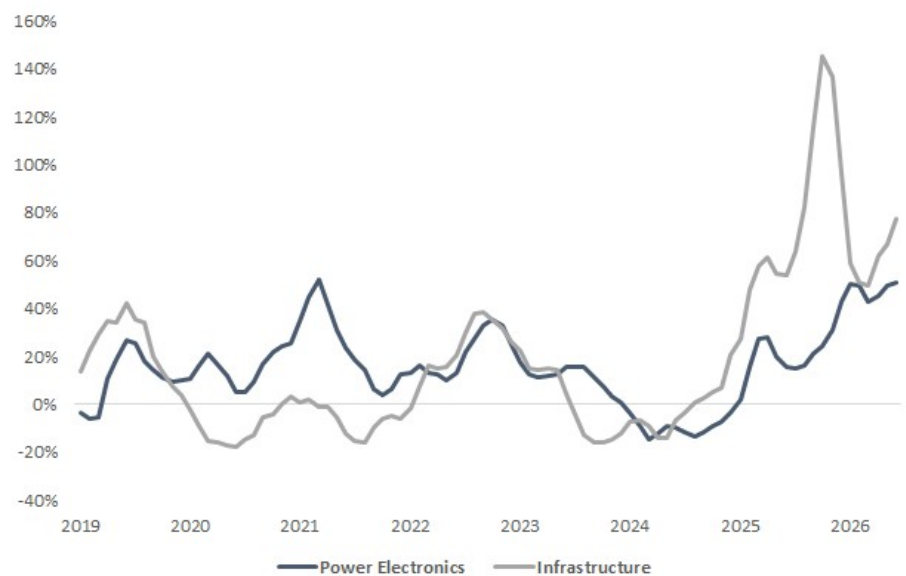
Our call for a 2026 short-cycle inflection ([Layering in Cyclical Torque](#)) + broad Q2 upside ([link](#)) is now accepted by the market w/ US Industrials trading at a near 2 SDEV premium vs history, **signaling positive revisions are needed to drive further upside (Equities Need Revisions)**. For this reason, we think the focus during Q2 EPS will be on 2H momentum w/ the market favoring those positioned for sustained strength into 2027 (**+ve ROK, RAL, ETN, AME, TT**). To better gauge leading edge momentum as 2H kicks off, we look to upstream leading indicators - **while these metrics point to risk of deceleration in June at a macro level, we see bifurcation under the surface w/ clear pockets of strength**. Exhibit above tracks Delta Electronics monthly sales (covered by Derrick Yang), a leading Asian component provider who sits further upstream vs our US multi-industry coverage in the supply chain. Like our US multi-industry coverage, Delta Electronics sells into a very wide range of end market but is over-indexed to Data Center + Industrial Automation (~50% of sales). **Given this exposure, it is not surprising to see the sustained topline momentum into June** – Exhibits below track Power Electronic + Infrastructure segments (includes Data Center) and Industrial Automation. The business is tracking above typical seasonality in both Q1 and Q2'26 w/ June inflection signaling momentum into 2H. We take this data as most positive for **ROK, RAL, VRT & ETN**.

While secular tailwinds are powering Data Center + Automation higher, we are seeing signs of broader near-term deceleration into early Q3 – namely, US Commercial & Industrial weekly lending which we use as a gauge for real-time activity plateaued in June after sharp inflection in prior months. Similarly, our Q2 Industrial distributor survey ([link](#)) + June ISM pointed to modest slowdown exiting Q2 (albeit still healthy growth / demand).

We are hearing growing concern from investors around Q2 peak ISM / short-cycle growth and **while we do see scope for a near-term deceleration after signs of spring channel build ([link](#)), we are confident the NTM trajectory is higher w/ leading indicators supportive ([link](#)) & US Reshoring tailwinds blustering ([link](#))**. But concern that a historic 3y downturn can only seek out a 6mo upcycle highlights the anxiety in the market and signals pressure on equities where the market can call “peak” Q2 organic. **We continue to favor Industrial over Consumer exposure where we are more convicted on the drivers of strength and thus sustained NTM momentum ([Bifurcation](#))**. Consumption of goods does not change in a US Reshoring scenario (could even decline on higher costs) and, as such, **the beneficiaries of the Western migration are not the ones selling the products, but instead the ones constructing & serving the facilities and that is US Industrials**. Best Positioned for 2H revisions: **ROK, RAL, AME, VRT, GWW, ETN, PH, TT, HUBB**. Those where we expect lag on 2H revisions: **ALLE, CARR, LII, SWK, OTIS**.

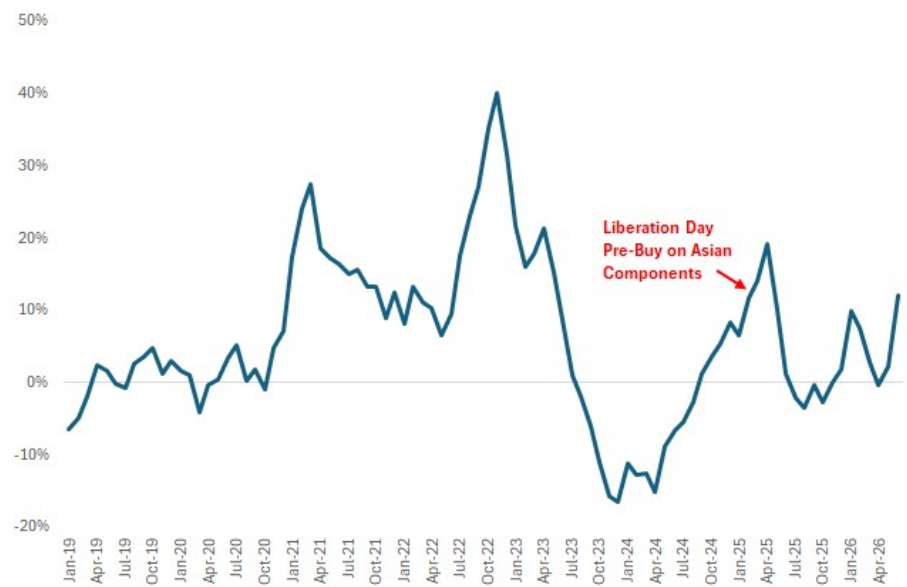
Our bullish call on US Industrials ([Stronger & More Durable](#)) is increasingly accepted by investors w/ the equities now trading at a historic premium to the broader market. **This signals a high bar for the group into Q2 EPS and suggests positive forward revisions are needed to drive further equity upside**. As discussed post Q1 EPS ([link](#)), Corporates set a conservative Q2 bar given unknowns around Middle East conflict and short-cycle durability, which positions for broad based beats. But the bar gets higher into 2H - we believe the equities will trade on 2H revisions **and expect the market will be critical on those where the Q2 growth inflection is coming at the expense of 2H as this suggests the turn was driven by channel build rather than improve demand**. Similarly, we see multiple compression risk on equities where Q2 is viewed as peak organic growth.

Exhibit 33: Monthly Sales (YoY%, trail 3mo) for Delta Electronics Power Electronics & Infrastructure segments, which include Data Center exposure



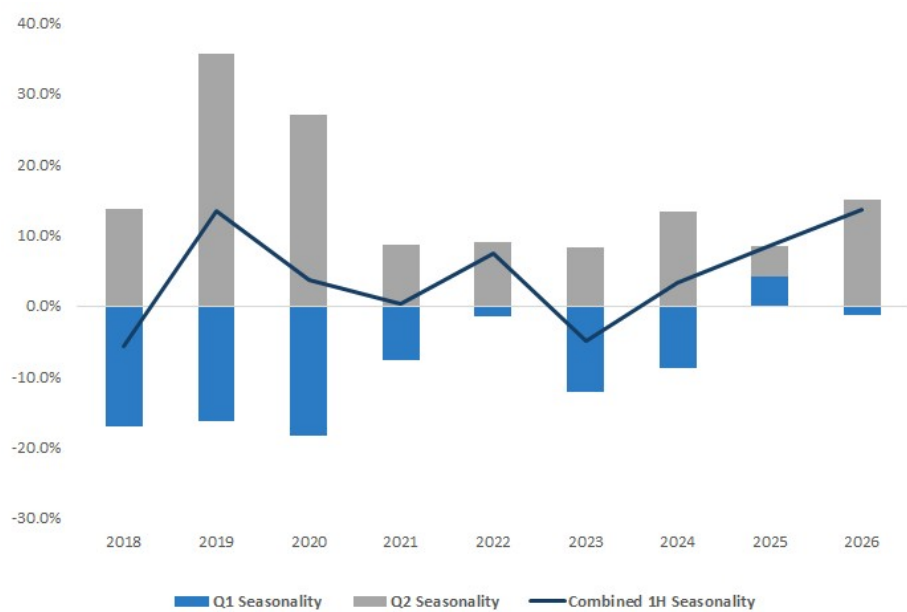
Source: Morgan Stanley Research, Company Reports

Exhibit 34: Monthly Sales (YoY%, trail 3mo) for Delta Automation segment: Inflected during Q2, a positive indicator into 2H



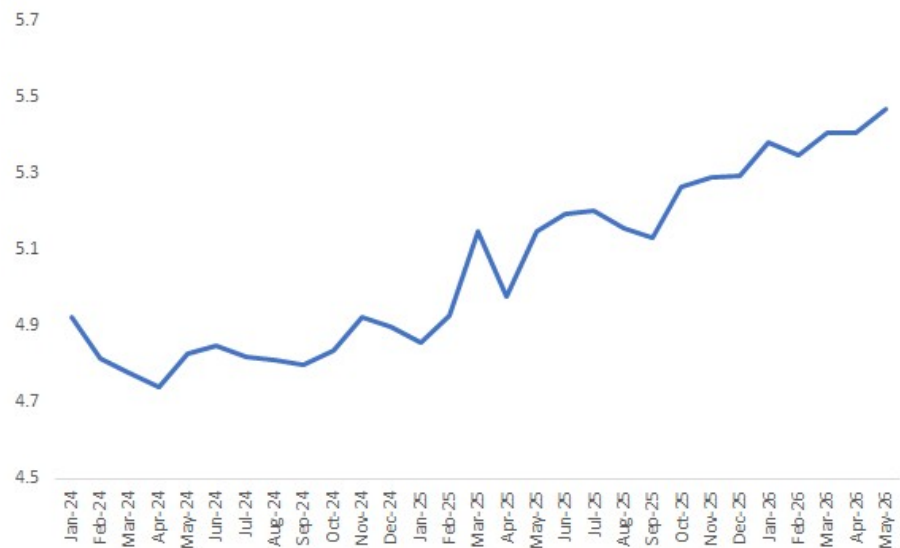
Source: Morgan Stanley Research, Company Reports

Exhibit 35: Delta Electronics Q1 + Q2 sales seasonality: 1H'26 tracking for strongest ramp in over a decade, a positive leading indicator



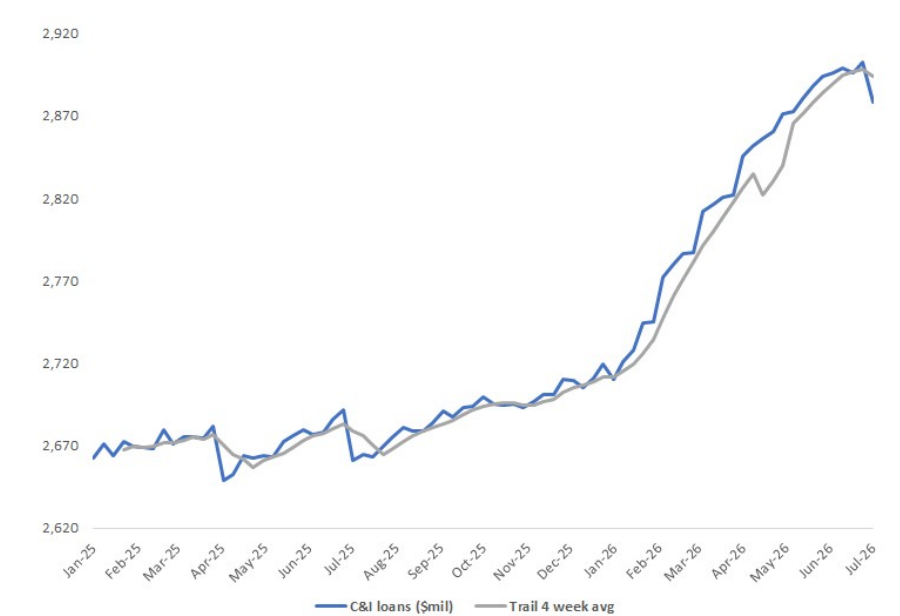
Source: Morgan Stanley Research, Company Reports

Exhibit 36: US Electronic Component monthly orders (\$bil, seasonally adjusted): Pushing higher on the leading edge



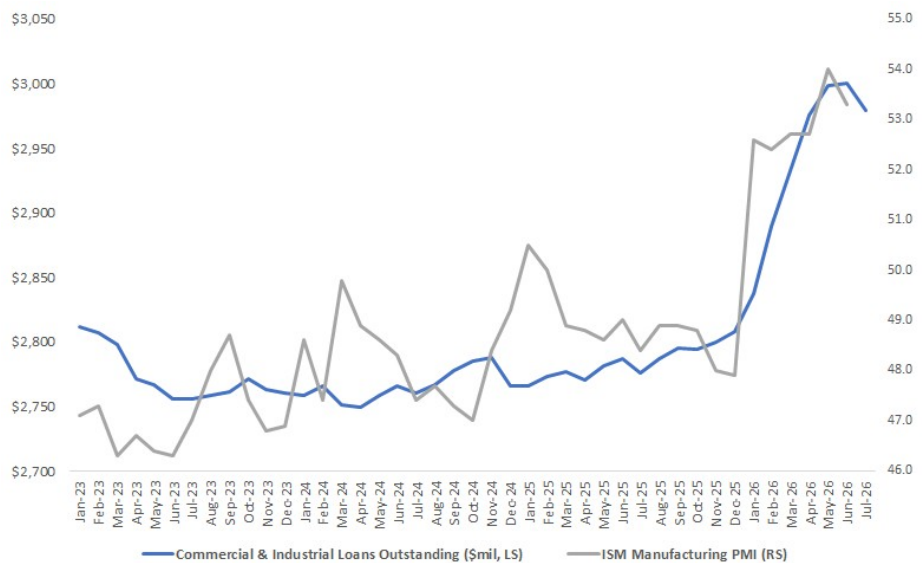
Source: Morgan Stanley Research, US Census Bureau

Exhibit 37: US Commercial & Industrial Weekly Loans Outstanding (\$bil): Has shown negative rate of change over the last month following sharp YTD inflection



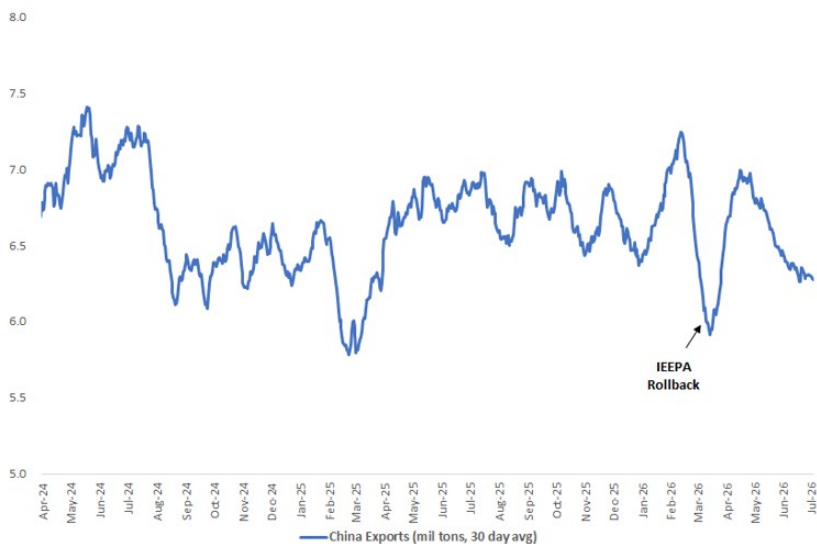
Source: US Census Bureau, Morgan Stanley Research

Exhibit 38: We view weekly US Commercial & Industrial lending as a real-time gauge of Industrial activity and the positive rate of change began to plateau in June



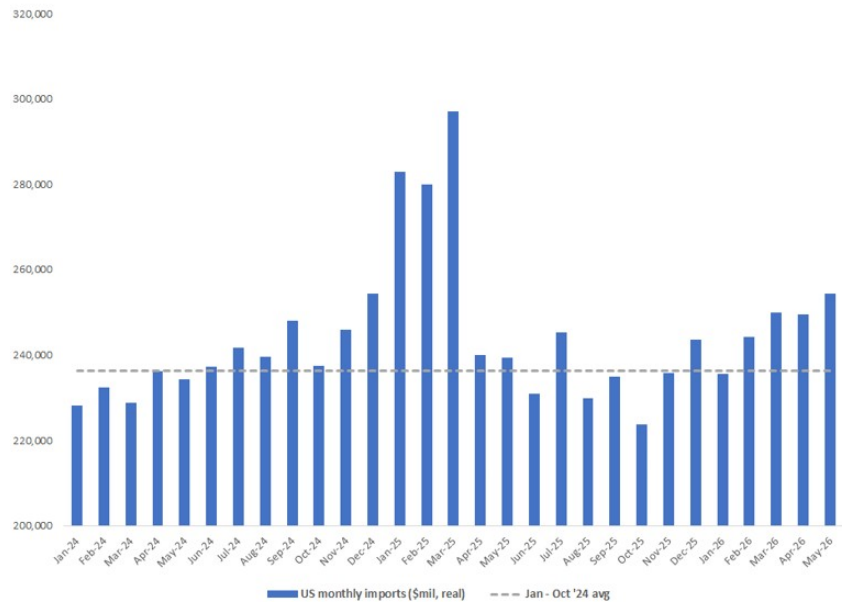
Source: Morgan Stanley, Visible Alpha, US Census Bureau

Exhibit 39: China containership exits (daily mil tons, 30 day avg): Has moved lower over the last 30 days



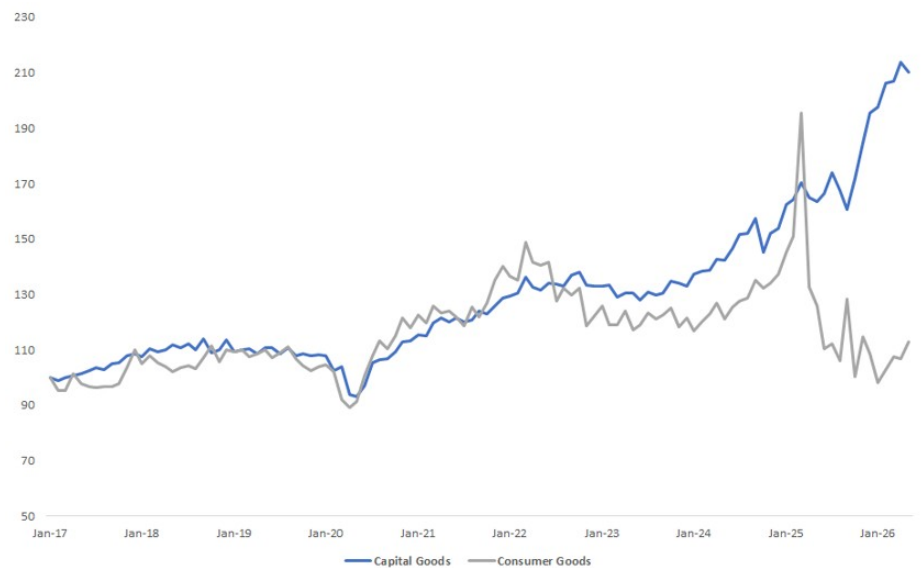
Source: Morgan Stanley, Visible Alpha, Alpha Wise

Exhibit 40: US monthly imports (\$mil, real): After outsized 1H'25 build and 2H'25 normalization, imports have begun to ramp higher in 1H'26 behind a combination of firmer demand & potential channel pull forward



Source: Morgan Stanley Research, US Census Bureau

Exhibit 41: Something has Changed – Chart below tracks US imports of Capital Goods vs Consumer Goods (indexed), the leading-edge bifurcation is a big disconnect vs history and one that supports our call that US Reshoring has flipped the cycle. Higher consumption is no longer the driver of US Mfg capex spend, it is now tariff mitigation – a source of investment that is unique to the US market given its \$1.2T trade deficit

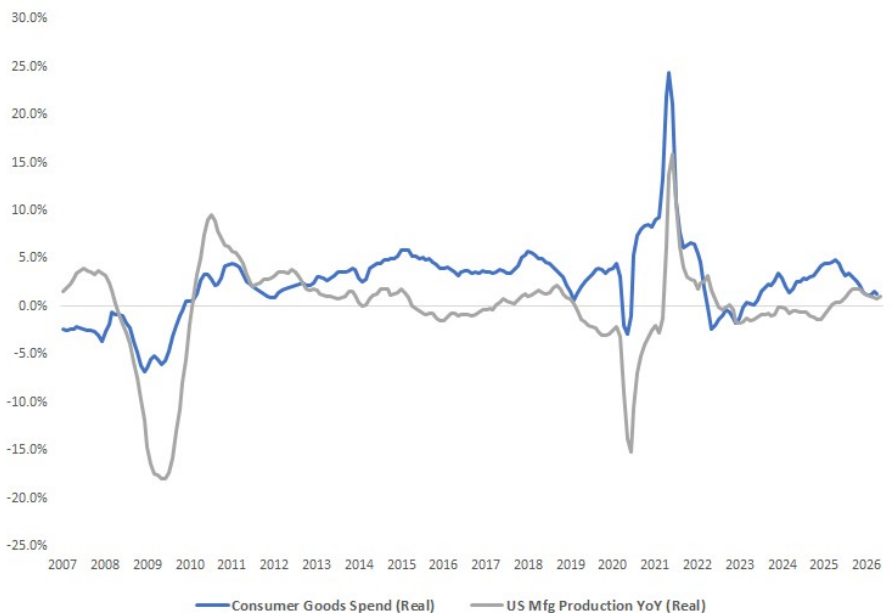


Source: Morgan Stanley Research, US Census Bureau

The secular underpinning that turned us more constructive on US short-cycle is that we began to see signs that the incremental unit of production was shifting into the US market in response to tariff mitigation - a short-cycle tailwind and one that is unique to the US market (only country w/ a trade deficit) and a driver of activity that does not

require higher consumer spend, a disconnect vs history. **We believe the driver of US short-cycle over the last 6mo has been relocation of production rather than growing end demand and as such, we became more convicted in this call through 1H '26 on volatile geopolitics which both raises the cost of Int'l production and drives concern on supply chain reliability (Pushing Westward).** This dynamic is best illustrated in Exhibit 5 which US real consumer spend vs US mfg production – after two decades of lagging by ~400 bps per annum, US mfg production is now growing in line w/ US consumer spend, which suggests a higher % of US consumption is being fulfilled by domestic production. **That is US Reshoring.** While it is too early for the equities to get credit, **we think this upcycle will be stronger in both duration & magnitude w/ our \$10T US Reshoring thesis materializing ahead of expectations (Deep Dive).**

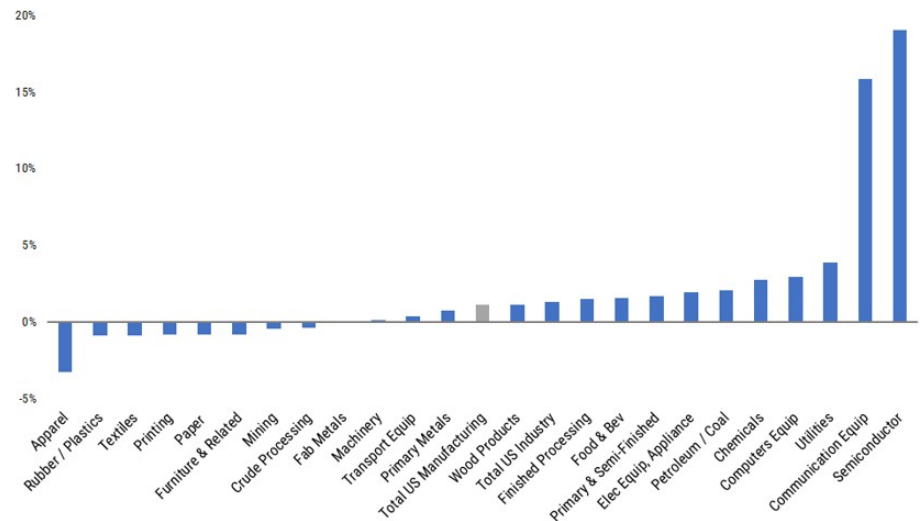
Exhibit 42: US Consumer spend has consistently & materially outpaced US Mfg production over the last 20 yrs due to outsourcing, but the delta has evaporated in 2026 – signaling both US Reshoring & channel destock, a positive for US short-cycle



Source: Morgan Stanley, US Census Bureau

Capacity Higher, Production Will Follow

Exhibit 43: Where is US adding Manufacturing Capacity ? Chart below tracks April 2026 YoY change in production capacity by vertical. While total US Industry capacity +1.3% sounds muted, installed bases move slowly and this positive rate of change is following decades of stagnation



Source: Morgan Stanley, US Census Bureau

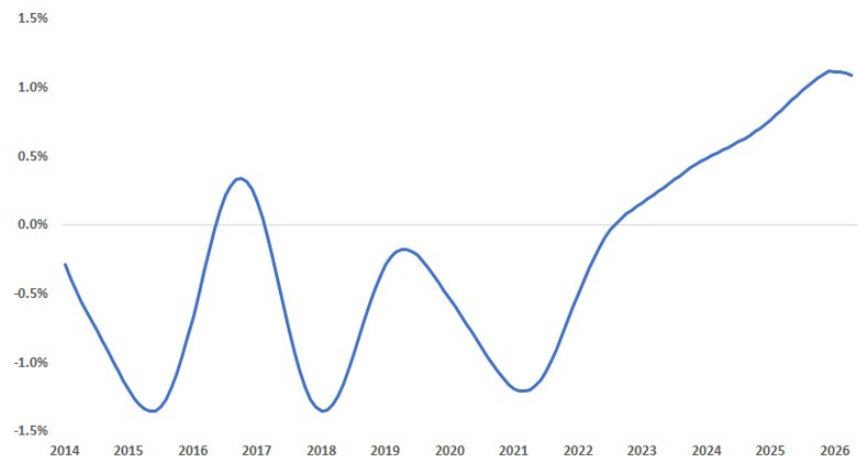
The nature of our US Reshoring incomings suggest the thematic is really just a function of policy driven headlines rather than actual impact on the ground - **we very much disagree and want to provide some concrete proof (pun intended)**. US Industrial capacity grew 1.3% yoy in April - while this sound muted, installed bases more slowly and what is more important is that **this represents positive rate of change for the US Industrial economy after decades of stagnation**. And activity should continue to build over time - **Reshoring momentum begets more momentum as supply chains are established and this infrastructure can be shared / leveraged**, all in line with our \$10T US Reshoring thesis ([Deep Dive](#)). **If companies are expanding capacity in the US, higher production will follow even if end demand disappoints** - the relocation of output into the US market in response to Trump 2.0 tariffs is the top reason we turned more constructive on the US production economy in our 2026 outlook ([Layering in Cyclical Torque](#)) - **a call that has only strengthened into 1H'26 on volatile geopolitics**, which both raises the cost of Int'l production and drives concern on supply chain reliability ([More Durable Than Feared](#)). **Given this backdrop, we think US short-cycle is positioned for broad Q2 beats w/ sustained momentum standing in contrast to conservative guides ([Screening for Organic Revisions](#)).**

Exhibit above plots yoy change in production capacity by vertical - expansion is led by Semiconductor (+19% yoy), Communication Equip (+16%), Utilities (+4%), Computers & Equip (+3%), Chemicals (+3%) and Electrical Equipment (+2%). The common thread across industries adding capacity is that they fall into two buckets: **1) those with a clearly positive demand outlook** (Semis and Communication Equip, Electrical Equip), and **2) those where the U.S. retains a structural cost advantage versus ROW** (Chemicals and

Petroleum/Coal). Capacity declines are centered on Consumer facing verticals w/ Apparel (-3%), Nonmetallic Minerals (-1%), Rubber/Plastic (-1%), Textile (-1%), and Furniture (-1%), which tells us that not all verticals react to changing supply chain costs. We have long thought that **the best US Reshoring verticals are simply industries that need to add capacity** - our call is not that we are going to see a significant wave of shuttered Asian facilities reopened in the US but rather the US is better positioned to land the incremental factory relative to any period over the last 45yrs due to a flywheel of structural tech diffusion & rising protectionism ([Game of Increments and Prize of Trillions](#)). **As the global economy grows and new technologies take hold, the world will always be adding Mfg facilities and we think the scales are tilting westward.** A growing pushback to our US Reshoring thesis in recent months is that the capacity adds are simply an extension of the Data Center trade (Semiconductor, Utility, Computer Equip, Electrical Equip) - while this is true, it speaks to the point that capacity follows demand. **And what matters for the US Reshoring thematic is that these capacity adds are now coming to the US market, a marked difference vs 5-10yrs ago.** Note Electrical Equipment capacity is currently tracking +4% yoy but saw 20%+ declines over the prior two decades after China joined the WTO. **That reversal is US Reshoring.**

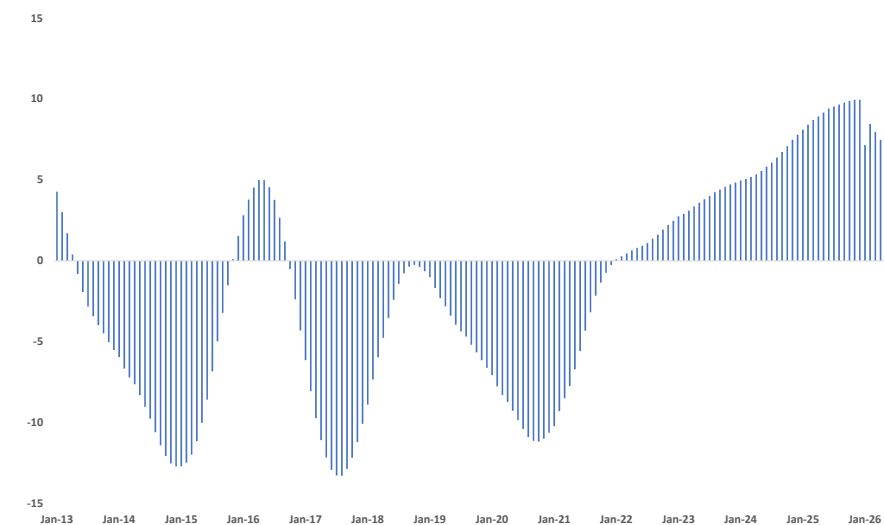
The reason US producers have been able to quickly ramp is because the initial wave of spend has been focused on efficiency + productivity investment (i.e., Automation), smaller projects w/ quicker payoffs relative to large capacity expansion ([link](#)). **But what is most important is that the incremental unit of production is beginning to shift to the US market in response to changing supply-chain costs (i.e., tariffs) and this is the leading indicator for where larger capacity projects will land when it is ultimately needed.** The Attractive view on US Industrials and the "GDP +3" thesis detailed in our Sept 2024 launch ([link](#)) is underpinned by our call for an extended US capex upcycle (**+ve ROK, ETN, VRT, AYI, JCI, TT, RAL & AME**). **US Reshoring is always viewed through a capex lens but once these facilities are completed, production will ramp higher - a tailwind for US IP that is not dependent on demand.** If a company builds a new factory, it will be utilized. Best positioned to benefit are companies that sell MRO into these facilities (**+ve ROK, FAST, PH, GTES, GWW**). US Mfg TAM expansion also brings under-appreciated and long-term tailwinds for US Power demand (**+ve ETN, FPS, HUBB**) - manufacturing accounts for 26% of US electricity consumption (vs MSD for Data Center) and carries a ~90% correlation to manufacturing output which will follow capacity higher ([link](#)).

Exhibit 44: US Manufacturing Production Capacity (ex Utility) YoY %: Showing material growth for the first time in two decades as Companies reshore production in response to: Global instability / Covid supply chain risk, US tariffs, Structural Tech diffusion



Source: Morgan Stanley Research, Company Reports

Exhibit 45: US Manufacturing Capacity Month on Month change (bps) - Showing material growth for the first time in ~15yrs and driving TAM expansion for US Industrials that serve these facilities



Source: Morgan Stanley Research, US Census Bureau

Exhibit 46: Total US Manufacturing capacity (Indexed) - realizing material growth for the first time in over a decade



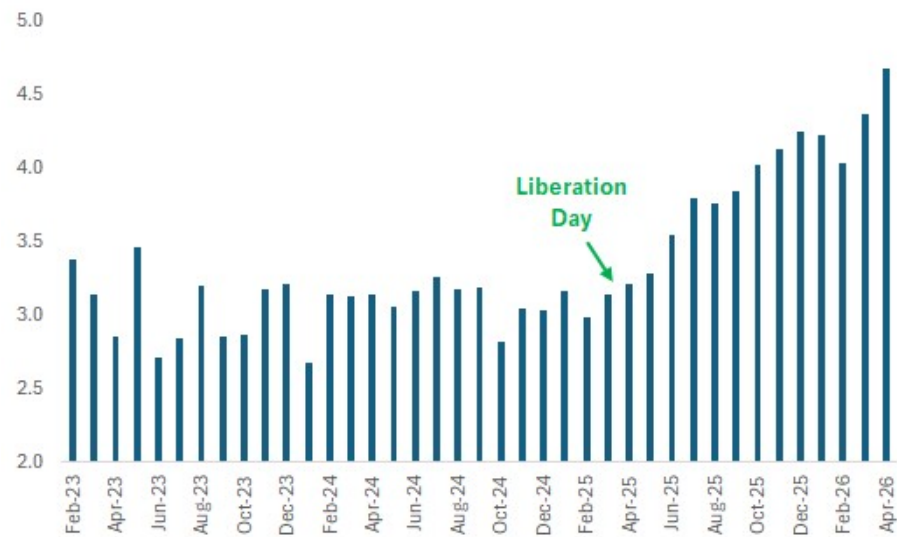
Source: Morgan Stanley Research, US Census Bureau

Exhibit 47: Which US Manufacturing verticals are adding capacity ? Chart below tracks April 2026 YoY change, along with longer-term movement vs key events that we believe have shaped the timeline

	April 2026 Y/Y %	% ch vs 2020 (Covid Catalyst)	% chg vs 2002(China Joins WTO)
Total Industry	1.3%	2.4%	12.3%
Manufacturing (SIC)	1.1%	1.6%	0.8%
Durable	1.0%	3.2%	20.2%
Wood Products	1.1%	13.2%	-8.8%
Furniture & Related	-0.8%	1.4%	-40.6%
Nonmetallic Mineral	-1.4%	-10.7%	-22.7%
Primary Metals	0.7%	7.3%	9.1%
Fab Metals	0.0%	0.2%	-10.6%
Machinery	0.1%	-7.4%	-16.9%
Elec Equip, Appliance & Components	1.9%	-8.9%	-23.9%
Transport Equip	0.3%	8.3%	37.2%
Non-Durable	1.4%	1.6%	-9.9%
Food & Bev	1.6%	-2.5%	3.7%
Textile Mill	-0.9%	-21.9%	-61.4%
Apparel	-3.2%	-13.3%	-79.0%
Paper	-0.8%	-7.5%	-29.5%
Printing	-0.9%	-12.2%	-42.3%
Chemicals	2.7%	12.1%	-3.1%
Petroleum / Coal	2.0%	-8.0%	5.1%
Rubber / Plastics	-0.9%	6.4%	-7.1%
Mining	-0.5%	-10.9%	52.1%
Utilities	3.9%	17.1%	48.0%
Computers & Periphal Equip	2.9%	16.2%	241.0%
Comms Equip	15.8%	87.0%	268.2%
Semis & Other Electronic Component	19.0%	74.3%	1570.5%
Crude Processing	-0.4%	-8.9%	34.6%
Primary & Semi-Finished	1.7%	4.4%	7.6%
Finished Processing	1.5%	4.0%	6.2%

Source: Morgan Stanley Research, US Census Bureau

Exhibit 48: US Industrial Machinery Orders (Monthly, \$Bil): Sharply positive rate of change over the LTM following 'Liberation Day'. We have begun to see the incremental unit of production + efficiency investment shift into the US market in response to changing supply-chain costs, a leading indicator for the next wave of greenfields



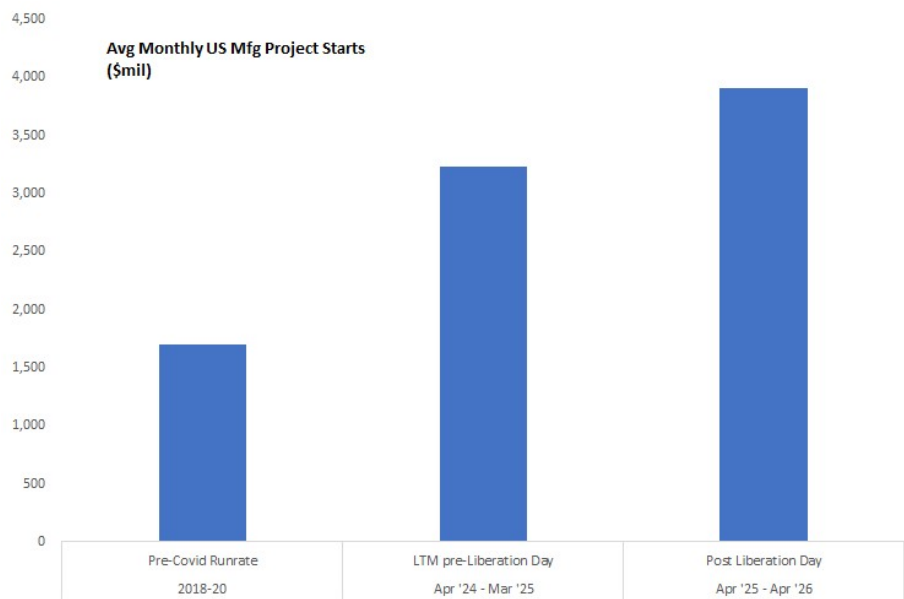
Source: Morgan Stanley, US Census Bureau

Exhibit 49: US Manufacturing Construction Starts, avg monthly announcements: The # of US Mfg projects started has inflected higher post 'Liberation Day' – while the avg size is below what was observed during the 2021-23 Mega Project boom, we take confidence in the breadth



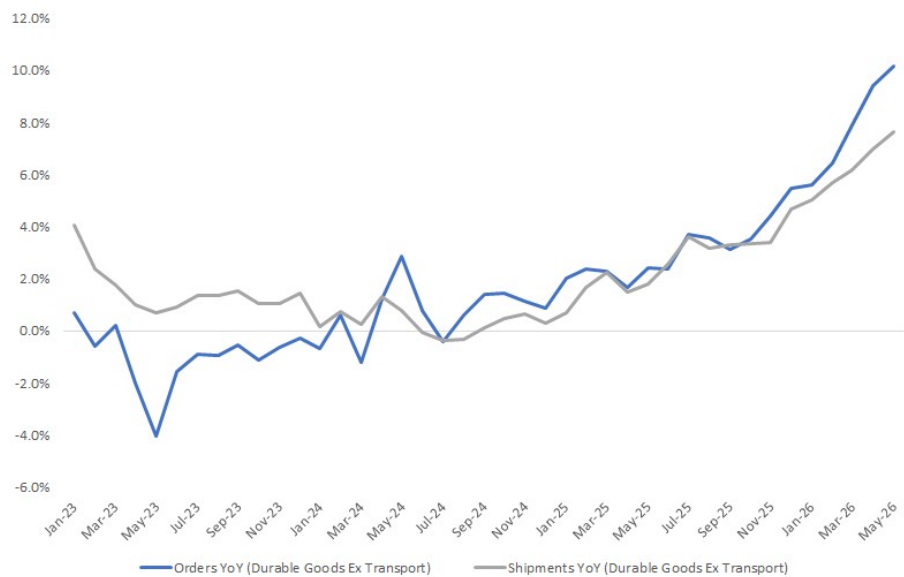
Source: Morgan Stanley Research, Dodge Analytics

Exhibit 50: US Manufacturing Construction starts, avg monthly project value (\$mil): While Covid + subsequent disruption to global supply built a solid foundation for US Reshoring momentum, 'Liberation Day' tariffs have driven a further pickup in US Reshoring intentions as companies must serve the US market and are looking to mitigate the tariff impact



Source: Morgan Stanley Research, Dodge Analytics

Exhibit 51: Durable Goods (ex Transportation) Orders vs Shipments



Source: Morgan Stanley Research, US Census Bureau

Allegion (ALLE)

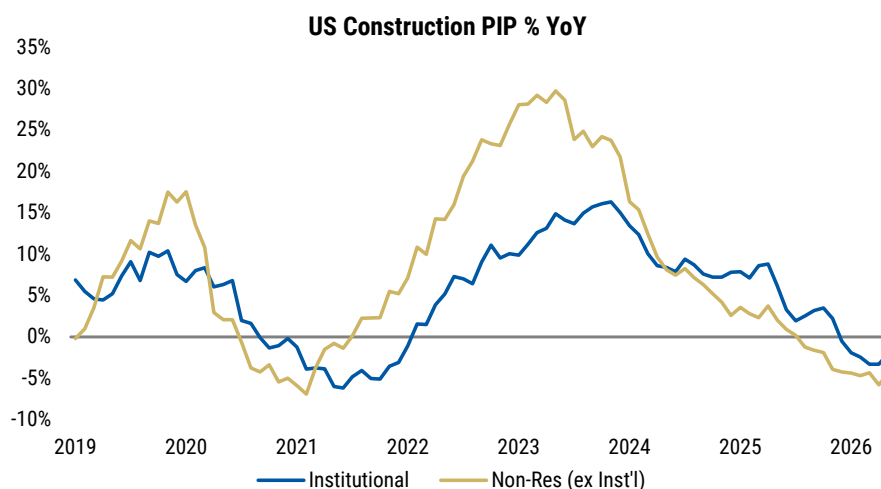
Exhibit 52: ALLE estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.

Source: Morgan Stanley Research estimates

We model Q2 EPS of \$2.25, roughly in line with modest upside in the Americas offset by international downside from continued headwinds related to the ERP rollout. While the impact of the ERP rollout has stabilized, we still see headwinds early in the quarter. We model Q3 EPS modestly below expectations, which is a concern with broader Industrials cycling up and poised for positive revisions—a backdrop that makes long-cycle non-residential exposure look less attractive in a relative sense. While non-residential markets could be stabilizing, or perhaps improving on the leading edge, this will not accrue to ALLE until 2H'27–2028. Although incremental 2H pricing in response to inflation likely pushes the Americas to the high end of the L-MSD organic growth guide, Consensus is already there, and this underwrites no volume growth, which is a concern into 2027 as the pricing lever fades and end-market exposure remains sluggish to negative (non-residential + residential). The incremental pricing is expected to be EPS-neutral, creating risk to Q3 Americas margins, which currently call for YoY expansion.

Exhibit 53: Institutional construction spending continues to outpace non-residential activity



Source: US Census Bureau, Morgan Stanley Research

Ametek (AME)

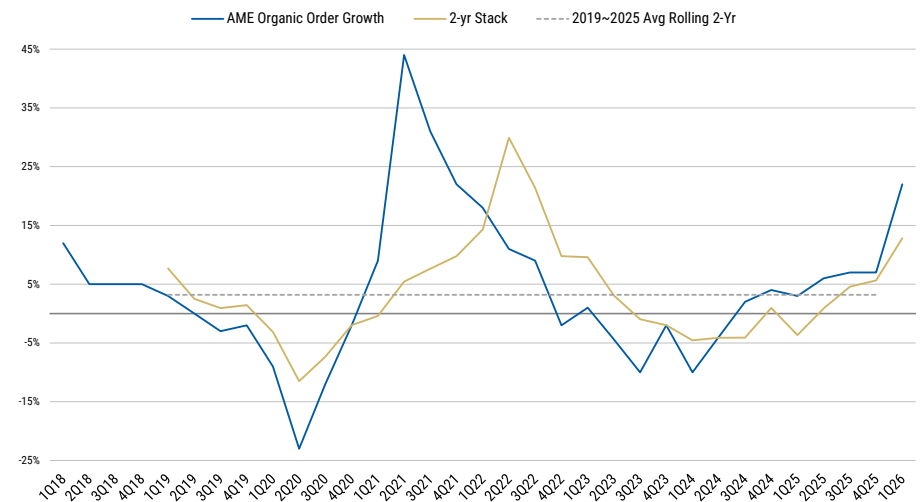
Exhibit 54: AME estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth														
				CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027		
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	
AME	\$	245	\$	233	Equal-Weight	\$2.00	\$2.00	\$8.18	\$8.16	\$8.79	\$8.80	\$626	\$630	\$2,555	\$2,565	\$2,723	\$2,759	5.2%	5.0%	5.3%	5.2%	6.0%	5.3%							

Source: Morgan Stanley Research estimates

We see scope for Q2 and 2H upside as AME’s strong order momentum begins to convert. While another 20%+ order print is unlikely, sustained double-digit order growth would imply a healthy 1H backlog build and support above-algorithm organic growth into 2H26 and 2027. Margins also screen conservatively, with no sequential uplift despite higher volumes and FARO cost synergies beginning to come through. Continued pricing should offset incremental inflation and support both organic growth and margin expansion, while FARO moving into the base creates a path back toward normalized core incrementals in 2H. We also expect bullish commentary on Indicor accretion, 10–15 points of cost synergy potential, and AME’s capacity to continue deploying capital toward incremental M&A.

Exhibit 55: AME organic order growth has begun to move above its long-term rolling avg (2-yr stack) on the leading edge



Source: Morgan Stanley Research, Visible Alpha

Alliance Laundry Systems (ALH)

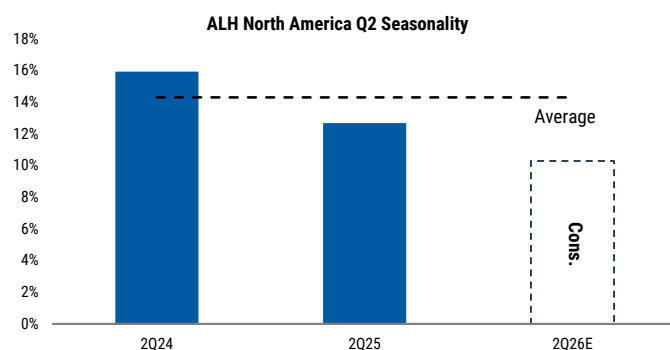
Exhibit 56: ALH Estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2024		FY 2024		FY 2025		CY 2026		FY 2026		FY 2027		CY 2028		FY 2028		FY 2029	
ALH	\$	28	5	26	Equal-Weight	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
						\$0.34	\$0.34	\$1.29	\$1.29	\$1.42	\$1.45	\$1.24	\$1.28	\$469	\$470	\$497	\$506	6.7%	7.0%	6.4%	6.9%

Source: Visible Alpha, Morgan Stanley Research estimates

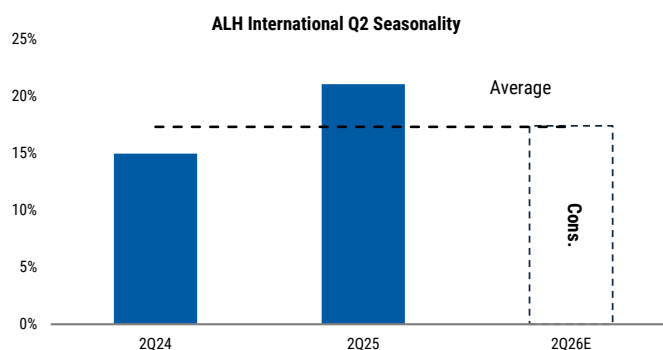
We model Q2 EPS of 34c, in line with Consensus on continued MSD organic growth, driven by strength in both segments. In North America, Q2 will be the last quarter to benefit from the full MSD% YoY tariff pricing tailwind before moderating the rest of the year. Commercial laundry PPI data through May 2026 shows that there has been no incremental price since January. We are modeling 7.0% total growth in NA (vs. Cons 7.2%) on sequential NA revenue growth of ~10%, below 2yr seasonality of 14%, but only slightly below 2025 sequential growth of ~12%, **a likely source of upside as company has beat on volumes the last two quarters.** On the International side, we model 6% revenue growth (vs. Cons. 6.4%), in line with typical seasonality. For adj. EBITDA margins, we're modeling 26.1% (vs. Cons 26.4%) as incremental standalone corporate costs more than offset operating leverage in the quarter, with margins returning to expansion in 2H26. **We expect net leverage to decline ~0.1x turns sequentially to ~2.2x before reaching the company's target level of ~2.0x in Q3, opening the door to potential shareholder returns.**

Exhibit 57: ALH NA organic growth is modeled below historical seasonality



Source: Visible Alpha, Morgan Stanley Research

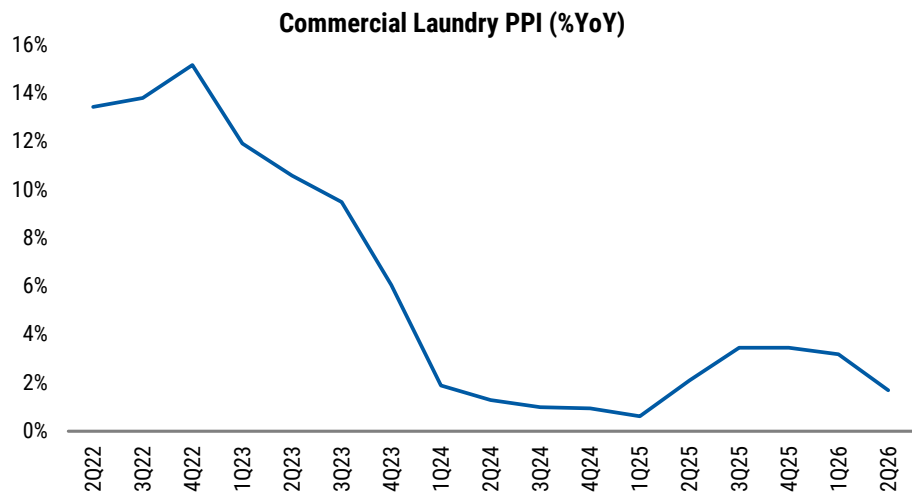
Exhibit 58: ALH Int'l organic growth is modeled in-line with historical seasonality



Source: Visible Alpha, Morgan Stanley Research

Exhibit 59:

Through May 2026, commercial laundry equipment has not seen incremental price increases since January 2026.



Source: US Bureau of Labor Statistics, Morgan Stanley Research

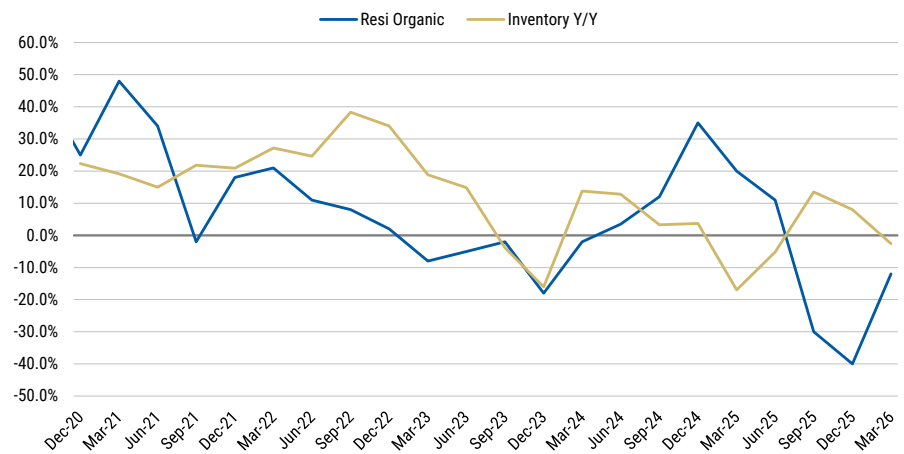
Carrier (CARR)

Exhibit 60: CARR estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027				
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.				
CARR	\$	60	\$	69	Equal-Weight	\$0.80	\$0.80	\$2.89	\$2.80	\$3.02	\$3.19	\$1.123	\$1.170	\$3.706	\$3.985	\$4.029	\$4.587	-1.6%	-2.2%	2.6%	2.4%	3.9%	5.8%

Source: Visible Alpha, Morgan Stanley Research estimates

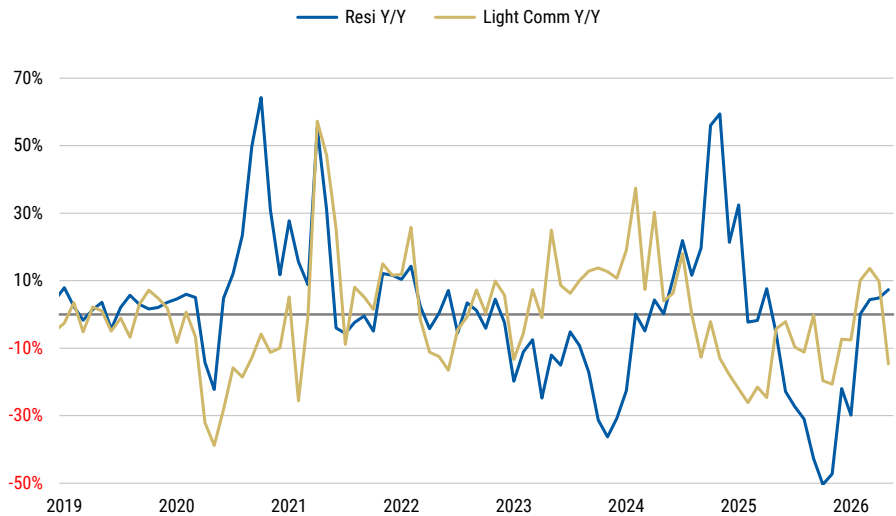
Exhibit 61: The gap between Resi organic and inventory growth tightened in Q1, as the destock nears its end. We expect the destock to slow but persist into Q2, bringing better volumes but continued under-absorption headwinds.



Source: Company data, Morgan Stanley Research

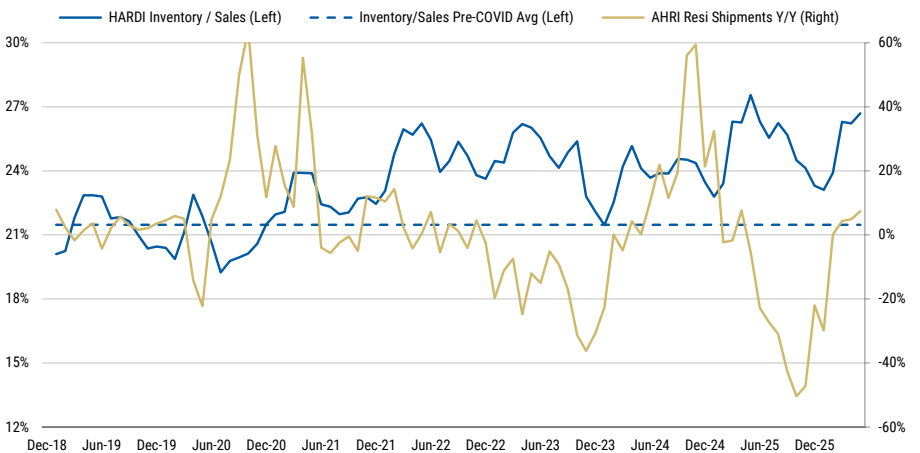
We model Q2 upside on firmer Americas Resi and Light Commercial volumes after a constructive start to the year, partially offset by softer margins (MSe 23.5% vs. Cons 24.0%). We see risk to Q2 Americas margins driven by under-absorption on better but still soft Resi volumes, price/cost lag, and mix shift towards the lower margin Commercial business. We also see downside to 2H margins (Q3/Q4 MSe 24.0%/17.0% vs. Cons 27.9%/17.8%), likely limiting revision potential. Resi price/cost should improve after lagging in Q2, but we expect any additional tailwinds from Sec. 232 rollback will be competed away by other OEMs pushing less price or pushing later (TT, Daikin), pressuring 2H price/cost progression. Additionally, a strong 2H Data Center ramp means further mix shift towards Commercial and should require incremental investment, both dragging margins. 2H Resi volumes likely bring risk, as well, despite buy-side optimism around a 2H top-line ramp. We believe 1H OEM volumes benefited from channel build rather than demand improvement, disproportionately benefitting CARR (vs. LII/TT) and bringing risk of a corresponding 2H stock and potential price concessions after an inventory build ahead of price increases.

Exhibit 62: The Resi HVAC market has shown positive rate of change to start the year, lapping easy comps from 1H'25, supportive of Q2 volumes. We see risk to 2H, though, as 1H likely also benefited from channel build ahead of known price increases



Source: AHRI, Morgan Stanley Research

Exhibit 63: Channel Inventory/T12M Sales (HARDI) has picked up in recent months alongside OEM shipment acceleration, signalling channel build rather than end demand acceleration



Source: AHRI, HARDI, Morgan Stanley Research

Dover (DOV)

Exhibit 64: DOV estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
DOV	\$	230	\$	217	Equal-Weight	\$2.72	\$2.72	\$10.86	\$10.67	\$11.65	\$11.73	\$513	\$520	\$2,040	\$2,034	\$2,195	\$2,182	5.5%	5.3%	5.3%	5.4%

Source: Visible Alpha, Morgan Stanley Research estimates

We model DOV 2Q26 EPS of \$2.72, in line with Consensus. DOV is positioned for another strong DD organic order quarter despite BtB stepping down on typical seasonality. **Order momentum provides a pathway for a Q2 organic beat (MSe ~6% vs. Consensus 5%) and creates scope for HSD organic growth in Q3, with a likely FY'26 organic raise.** The outsized Q1 BtB was predominantly driven by the Climate & Sustainability Technologies segment, which posted a 1.6x book-to-bill. We expect the same drivers of order strength in Q2, with a continued tailwind from lead time extension. This results in slower backlog conversion and could mute revision potential relative to buy-side hopes. The topline ramp will also face margin headwinds tied to growth and mix, particularly in the C&ST segment. The bar gets higher into 2H, with Consensus modeling 5-6% organic growth and 35%+ incremental margins. While we see scope for topline upside, we do note the difficult Q4 organic comp and see incremental margin downside, particularly in Q3.

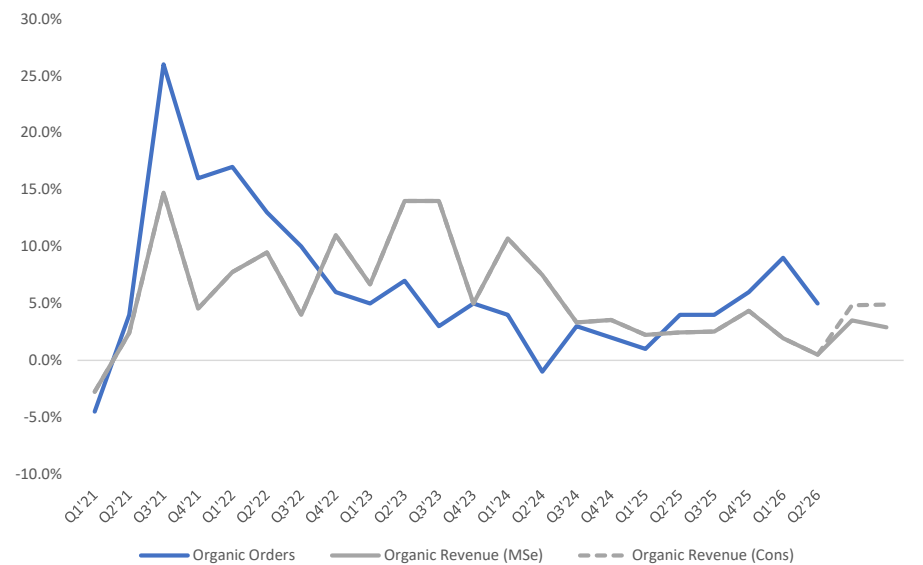
Emerson (EMR)

Exhibit 65: EMR estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth						
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	
EMR	\$	125	#NAME?	Underweight	\$1.67	#NAME?	\$6.44	#NAME?	\$6.88	#NAME?	\$1.451	\$1.391	\$5.632	\$5.425	\$5.876	\$5.831	3.5%	4.8%	2.2%	3.1%	3.2%	5.5%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 66: Organic orders have outpaced organic revenue for 5 straight quarters, supportive of a 2H organic acceleration. The challenge for the equity, though, is Cons already underwrites the ramp, limiting opportunities for revisions.



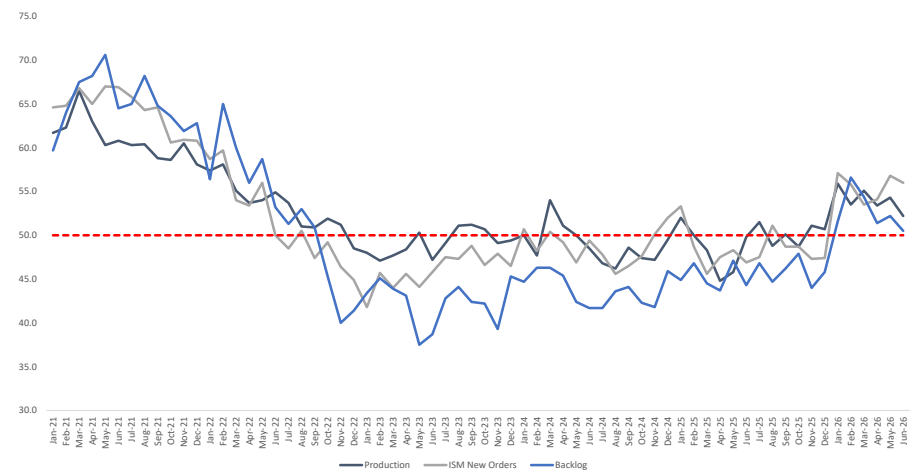
Source: Visible Alpha, Company Data, Morgan Stanley Research

There is reason to believe EMR has an organic ramp coming in F2H - ISM is picking up, T&M indicators remain strong, U.S. Oil & Gas activity is benefiting from elevated commodity prices and project delivery schedules, and LTM orders have grown +MSD (versus organic sales at +LSD). **The challenge for the equity, though, is consensus already underwrites this ramp (Cons 2H organic ~5%); we believe it will be difficult for EMR to deliver upside against this elevated bar.** We expect EMR to be a revision laggard this earnings season.

Looking ahead, the model seems even more difficult in FQ4 on both topline and margins. Consensus forecasts organic growth sustaining +5% in FQ4 despite more challenging comps, which already screens for risk, and we see further downside around potential Middle East softness given guidance calls for Middle East headwinds to ease in FQ4. Margins also look challenging, modeled them up Q/Q. We note that this is a rarity versus typical seasonality, which calls for sequential margin decline into FQ4 (with FQ4'25 being an outlier due to tariff mitigation timing).

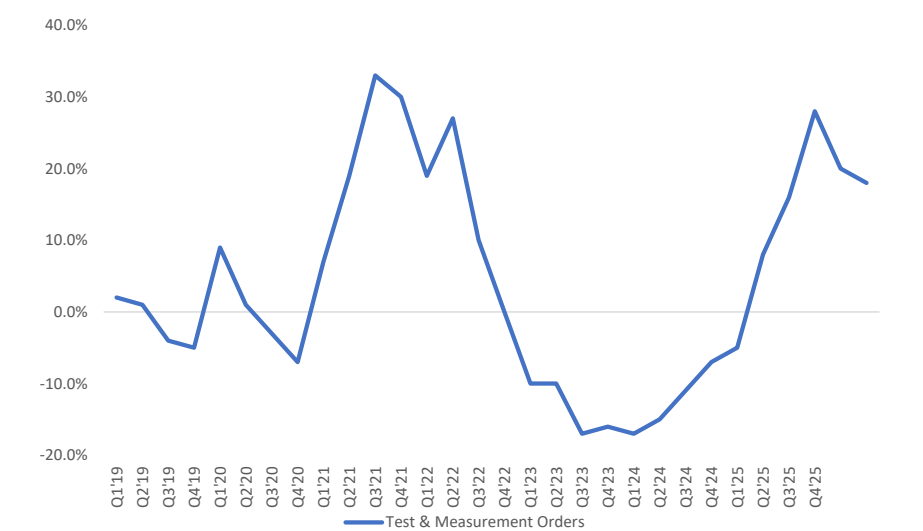
We expect EMR to sustain MSD organic order growth, a solid outcome that should support sentiment and signal firmer organic growth in FY'27. On the other hand, though, we suspect ACV for EMR Software will remain below its DD growth target for the third straight quarter, which would be a negative for sentiment.

Exhibit 67: ISM has remained in positive territory for the past 6 months with particular strength in leading edge orders, a favorable indicator 2H momentum.



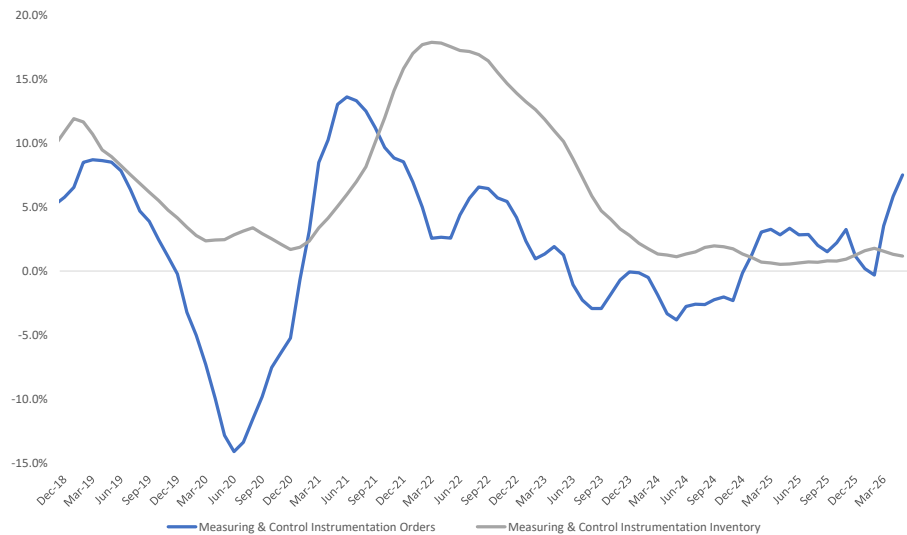
Source: ISM, Morgan Stanley Research

Exhibit 68: EMR Test & Measurement Orders have decelerated from peak, but remain strong on the leading edge.



Source: Company Data, Morgan Stanley Research

Exhibit 69: Measuring & Control Instrumentation leading edge orders have inflected, outpacing inventory growth, a favorable indicator for T&M cycle momentum.



Source: US Census, Morgan Stanley Research

Eaton (ETN)

Exhibit 70: ETN estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.

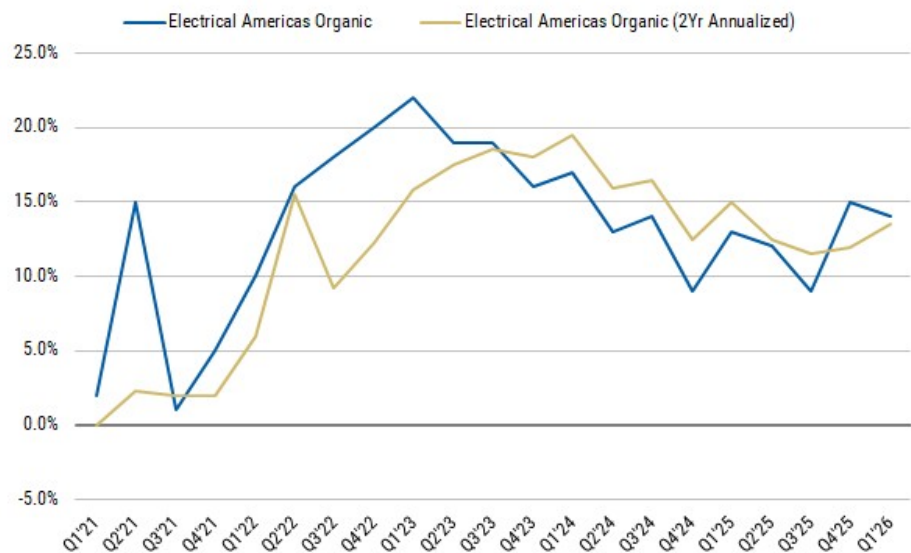
Source: Visible Alpha, Morgan Stanley Research estimates

We model Q2 EPS towards the high end of the guide (\$3.09 vs. \$3.00-\$3.10 guide) supported by 23.0% segment margin (22.6-23.0% guide). Margins should remain a focus item into the quarter, particularly Electrical Americas, after a Q1 miss (Elec. Americas 25.6% vs. MSe/Cons 27.01%/27.1%) and guidance cut. Management lowered 2026 segment margin guidance to 24.1-24.5% from 24.6-25.0% prior and Elec. Americas guidance to 28.8-29.2% from 29.8-30.2% prior. While the updated margin guide is relatively more attainable, the market likely still needs to see execution before looking through near-term headwinds (tariffs, inflation, capacity ramp up) and towards 2027. Commentary from the Q1 call should support confidence in Q2, with management noting March was a strong finish to Q1 and April was a good start for Q2. Given Q1 came in at 25.6% after a weaker Jan/Feb, we think this signals March/April were already near ~27%, and we model Q2 Elec. Americas margins at 27.2% vs. Cons 26.9%. 2H margins still look difficult after Q1 weakness, but headwinds should be reversing as incremental price comes through (strong Electrical PPI, seemingly better pricing power) and factory utilization improves. Volumes should continue to improve, a leading indicator for margins.

We see organic upside in Elec. Americas in Q2, as it is guided for unchanged organic (+14%) vs. Q1 despite easing comps, incremental price, and improving volumes supported by a significant backlog. We conservatively model Q2 organic at 9.6% (9-11% guide), though, building more acceleration into 2H. We forecast ETN returning to DD organic in 2H'26 for the first time since 1H'23, as comps continue to ease and benefits from capacity expansion and incremental price accrue. **Boyd should bring top line upside as well**, as the \$360m Q2 guide screens conservative after contributing \$92M in 20 calendar days in Q1 (closed March 12). This upside should continue through to 2027, where cons models only 10% growth. The business should bring margin upside in Q2, as well, as it is guided for dilution rather than accretion. **Looking ahead, we expect Q3 guided between \$3.45-\$3.50 on DD-low teens organic.**

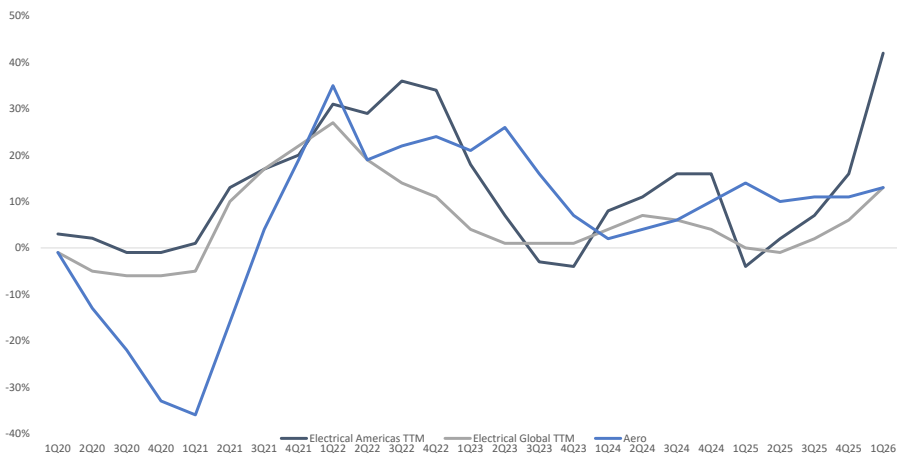
Turning to orders, **we expect Americas order dollars flattish vs. Q1** on durable demand strength, **which would keep the TTM y/y in the low 40s % range** but drop the quarterly y/y to +LSD% (vs. 60%+ in Q1). Global should see strong orders as well, benefiting from the Boyd acquisition, while we expect Aero to remain in the low \$1B's.

Exhibit 71: Order acceleration and easing comps point to organic acceleration and top line upside for both 2H'26 and 2027



Source: Visible Alpha, Morgan Stanley Research

Exhibit 72: Orders should stay strong in Q2. We expect Americas order dollars flattish vs. Q1, which would signal TTM orders up 40%+. Global orders should benefit from the Boyd acquisition, while Aero order dollars likely stay in the low \$1B range.



Source: Morgan Stanley Research, Visible Alpha

Forgent Power Solutions (FPS)

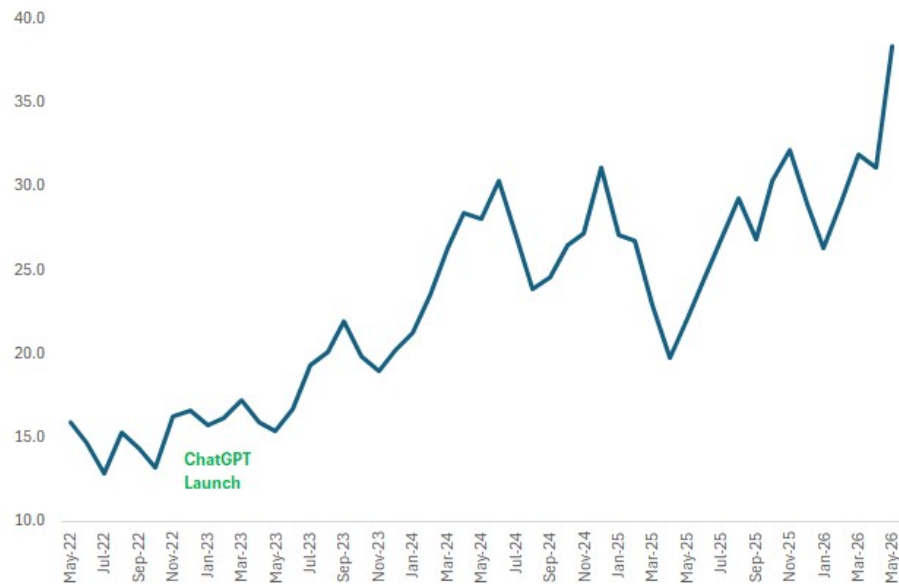
Exhibit 73: FPS estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
FPS	\$	\$1	\$	46	Equal-Weight	\$0.21	\$0.20	\$0.60	\$0.58	\$0.92	\$1.00	\$108	\$104	\$318	\$319	\$499	\$511	82.0%	82.0%	50.0%	51.0%

Source: Visible Alpha, Morgan Stanley Research estimates

We once again see scope for topline upside and margin downside, netting to modest EBITDA upside versus Consensus. While FQ4 margins should improve sequentially on firmer volumes and a more favorable mix tied to specific project deliveries, we view the 25.5% guided midpoint as aggressive, as it implies roughly 50% sequential incrementals despite EBITDA margin declines over the past two quarters. Revenue increased by approximately \$85 million quarter over quarter in FQ3, yet guidance embeds only a roughly \$50 million sequential step-up into FQ4, which screens conservatively against inflecting order trends. Recent filings indicate a further approximately \$400 million backlog build during April and May, positioning FQ4 orders above \$1.0 billion and backlog exiting FY26 above \$2.5 billion. Although the strength in FQ4 orders is already known, the key risk into results is the timing and profitability of backlog conversion, which will be reflected in the FY27 outlook. We expect initial guidance to broadly match Consensus but fall short of buy-side expectations, with approximately \$2.1 billion of revenue, up roughly 50% year over year, and about 100 basis points of margin expansion, implying approximately \$500 million of EBITDA. While the tax rate is expected to rise to roughly 24% from 16% following the sponsor sell-down, the associated reduction in non-controlling interest expense should largely offset the impact, supporting an EPS outlook of approximately \$0.90.

Exhibit 74: FPS Peer Group Valuation (NTM PE): With Data Center capex outpacing market expectations & driving positive revisions, the market has become more confident in upcycle duration on improved AI monetization trends. We continue to view Data Center as a debate of duration w/ the market only affording the equities with a premium multiple through the period in which they have revenue visibility. As a smaller player taking share on lead times, FPS has the most torque to that debate.



Source: Morgan Stanley, FactSet, Peer Group includes: VRT, ETN, NVT

Exhibit 75: The chart below compares FPS reported quarterly orders vs an adjusted figure assuming like-for-like lead times (\$mil)



Source: Morgan Stanley Research, Company Reports

Exhibit 76: With lead times extending, our math suggests that FPS exited FQ3 w/ ~ \$450M of backlog already booked for F'28. This mark should further expand into FYE'26 and while it provides FPS with visibility, it signals downside vs typical backlog conversion modeling

(\$bil)		Notes
FQ3'26 Backlog	1,981	
Conversion to sales:		
FQ4'26	390	vs \$432M guide high-end, assume 10% sales book & ship intra-Q
F'2027	1,139	FQ3 CC commentary: 55-60% deliverable in F'27
F'2028	452	Backing into math, suggests orders 15+ months out

Source: Morgan Stanley Research, Company Reports

Fortive (FTV)

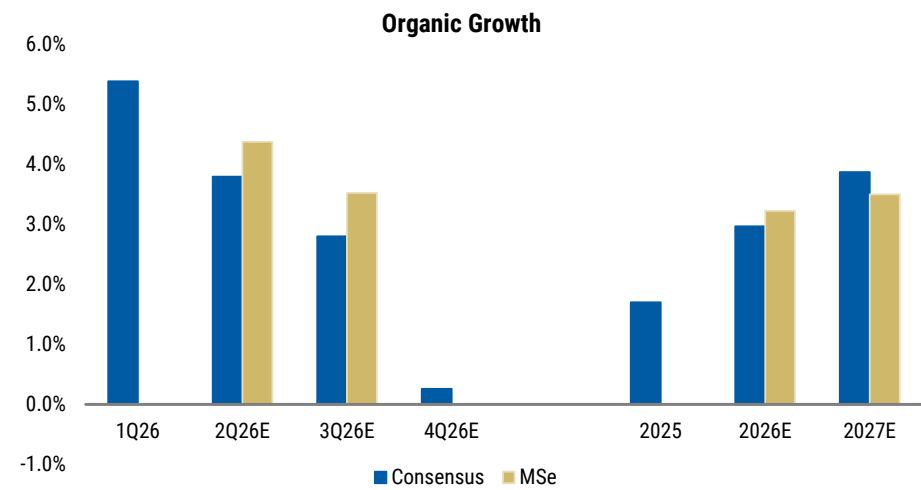
Exhibit 77: FTV estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
FTV	5	59	5	63	Equal-Weight	\$0.73	\$0.71	\$3.01	\$3.00	\$3.28	\$3.22	\$318	\$316	\$1,306	\$1,309	\$1,387	\$1,384	4.4%	3.8%	3.2%	3.0%

Source: Visible Alpha, Morgan Stanley Research estimates

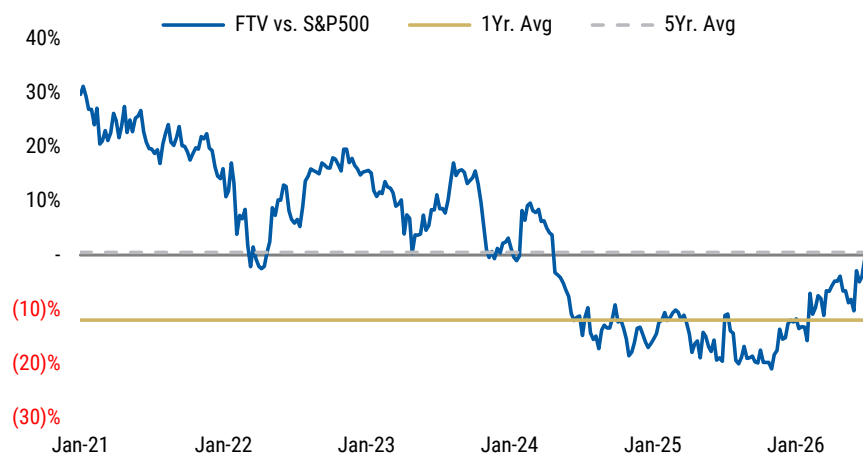
We model an EPS beat in 2Q26 of \$0.73 (vs. Cons \$0.71) on stronger organic growth. The model screens for upside, but the software overhang and muted/zero-growth exit rate will keep a lid on valuation, particularly in a world where Industrials are cycling up. The flat Q2 topline Q/Q screens conservative - while the 150 bps Q1 days tailwind becomes a sequential headwind in Q2, this should be more than offset by typical seasonality (~3%) and Fluke cycle momentum. Into 2H, the model screens for upside on margins and buyback potential, which is not currently in guidance. We do see scope for positive 2H organic revisions, which could lift the exit rate and improve sentiment into 2027, but we see less revision potential relative to names with greater cycle torque.

Exhibit 78: Current guidance calls for organic growth decelerating to flat to exit 2026 vs. consensus estimates forecasting ~4% in 2027.



Source: Visible Alpha, Morgan Stanley Research

Exhibit 79: FTV's valuation has recovered to the 5yr average vs. the S&P500 after trading at a discount for all of 2025.



Source: FactSet, Morgan Stanley Research

Gates (GTES)

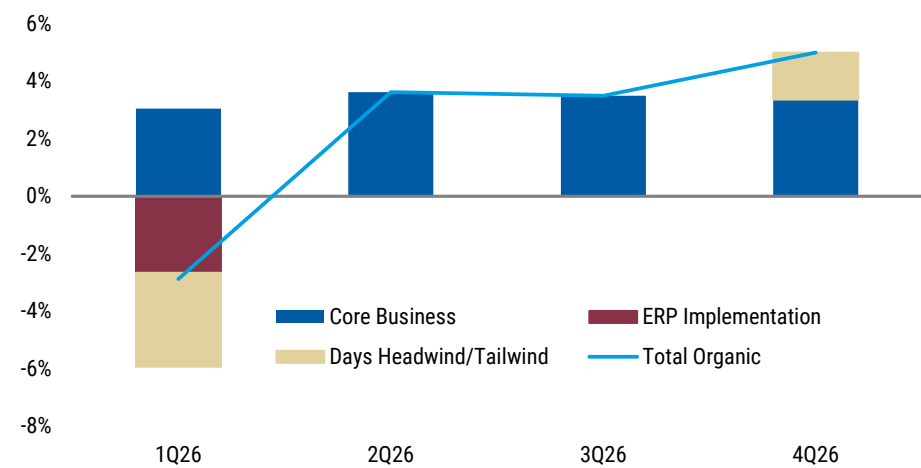
Exhibit 80: GTES estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027			
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.		
GTES	5	28	5	27	Equal-Weight	\$0.40	\$0.42	\$1.58	\$1.62	\$1.88	\$1.85	\$205	\$206	\$802	\$807	\$892	\$891	1.6%	1.5%	2.3%	2.3%	3.5%	4.2%

Source: Visible Alpha, Morgan Stanley Research estimates

Modeling a slight EPS miss of \$0.40 (vs. Cons. \$0.42) on in-line organic growth and slightly softer margins. We see a sharply positive rate of change in organic growth into Q2, moving from down 3% in Q1 to up more than 3% in Q2. The sharp ramp is supported by ERP and days-related headwinds shifting into the rearview (see Exhibit below), an easier comp, an improving industrial cycle, and potential catch-up following ERP implementation. We see scope for MSD organic growth into 2H, with tailwinds from incremental pricing and an extra day in Q4. While momentum is turning positive, it will be tougher for GTES to raise guidance, given that current guidance already underwrites a ramp following a softer Q1 start. An inflection in Q2 organic growth will make the market more confident in MSD organic potential into 2H'26 and potentially into 2027, supported by an improving cycle and secular tailwinds (mobility + Data Center). While forward revisions could lag, the positives are the sharply positive rate of change and the relatively low multiple, both of which highlight recovery torque.

Exhibit 81: While the guide calls for 2H acceleration, underlying demand is relatively stable throughout the year after adjusting out one-time items for ERP implementation and days.



Source: Company Reports, Morgan Stanley Research

W.W. Grainger (GWW)

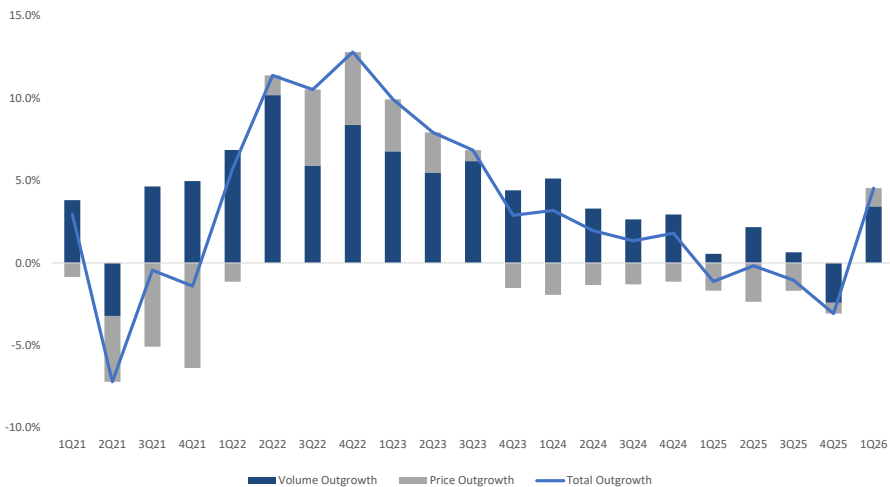
Exhibit 82: GWW estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
GWW	\$ 1,800	\$ 1,392	Equal-Weight	\$11.98	\$11.80	\$46.01	\$45.81	\$51.09	\$50.59	\$878	\$880	\$1,393	\$1,350	\$1,616	\$1,605	22.6%	11.6%	11.1%	11.2%	7.7%	6.8%

Source: Visible Alpha, Morgan Stanley Research estimates

We forecast a material EPS beat, driven by firmer gross margin and, this quarter, topline upside. Q2 revenue screens conservatively, with April up more than 13% versus our 11.5% growth estimate despite unchanged comps and improving short-cycle indicators, supporting sustained low-double-digit organic growth into 2H. Gross margin also screens for upside, as current assumptions embed an approximately 110 basis point sequential decline, including 60–70 basis points of normal seasonality and roughly 40 basis points of private-label price-cost and freight inflation. We view the HTNA step-down as conservative because Q1 gross margin increased only 30 basis points sequentially, limiting the typical Q2 giveback. A similar setup in 2024 resulted in just a 10 basis point Q2 decline. We see approximately 3% EPS upside in Q2, positioning GWW to raise full-year EPS guidance and drive further positive revisions.

Exhibit 83: GWW US High-Touch Market Outgrowth Drivers



Source: Company data, Visible Alpha, Morgan Stanley Research

Honeywell (HON)

Exhibit 84: HON estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				FY 2026			FY 2027			FY 2026			FY 2027			FY 2026		FY 2027					
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.		
HON	5	245	5	721	Equal/Minority	\$1.82	\$1.78	\$8.08	\$8.11	\$9.43	\$9.70	\$1.198	\$2.408	\$5.198	\$10.137	\$5,600	\$10,823	0.7%	0.4%	2.4%	2.8%	4.1%	5.7%

Source: Visible Alpha, Morgan Stanley Research estimates

HON is positioned for better 2H organic growth but has limited ability to deliver upside versus its 2H guide of 3–5% organic growth (versus 1H organic growth of +1%). HON has outsized Middle East exposure, and we see lingering headwinds in 2H that could negatively impact the forecasted sharp recovery in the PAT segment. Overall, HON is relatively under-indexed to the top themes driving the market (AI Data Center and U.S. Manufacturing ISM), which is likely to keep a lid on valuation. Q3 margins of ~21% screen difficult, although uncertainty remains around the pace of stranded cost takeout and below-the-line cost cadence. The step-up to 22% in Q4 screens less difficult, with tailwinds from the WWS/PSS divestiture showing through and additional time for Middle East recovery. 2027 is positioned for strong EPS growth driven by stranded cost takeout, but the ability to achieve longer-term targets still needs to be proven, specifically MSD organic growth (4–6% target, including 3–4% pricing).

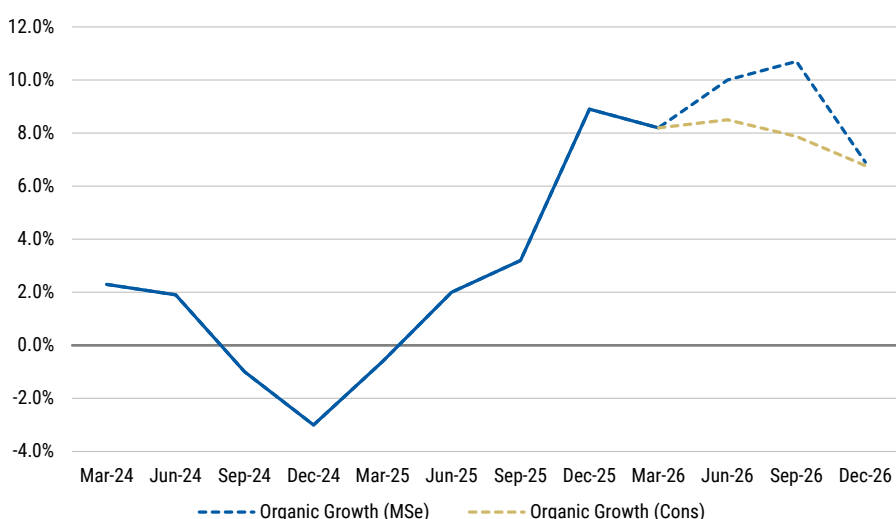
Hubbell (HUBB)

Exhibit 85: HUBB estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2025			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027		
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
HUBB	\$	565	\$	483	Equal-Weight	\$5.35	\$5.35	\$19.81	\$19.78	\$22.27	\$21.90	\$424	\$420	\$1,584	\$1,565	\$1,743	\$1,696	10.0%	8.5%	9.0%	7.8%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 86: We see organic upside driven by continued strength in Data Center and Utility T&D and positive rate of change in the cyclical markets (non-resi, industrial). Continued organic acceleration despite easing comps should support positive sentiment and positive revisions for 2027.

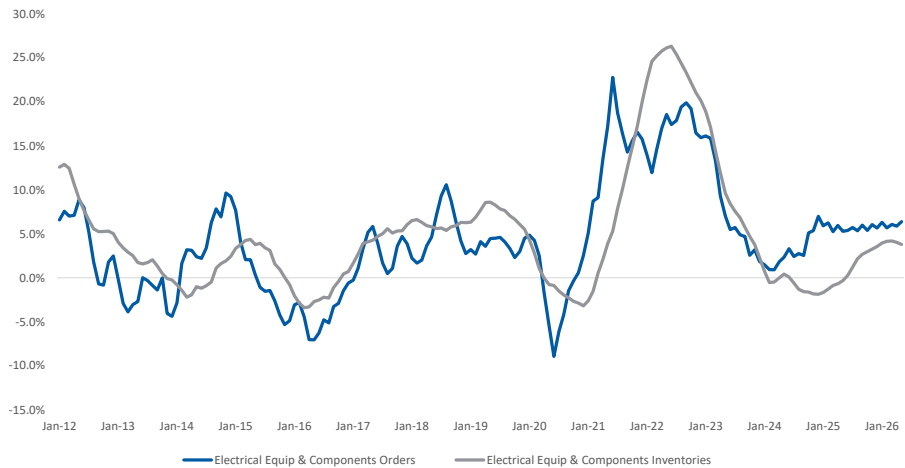


Source: Company data, Morgan Stanley Research

We model a slight Q2 beat with firmer top line offsetting modest margin downside.

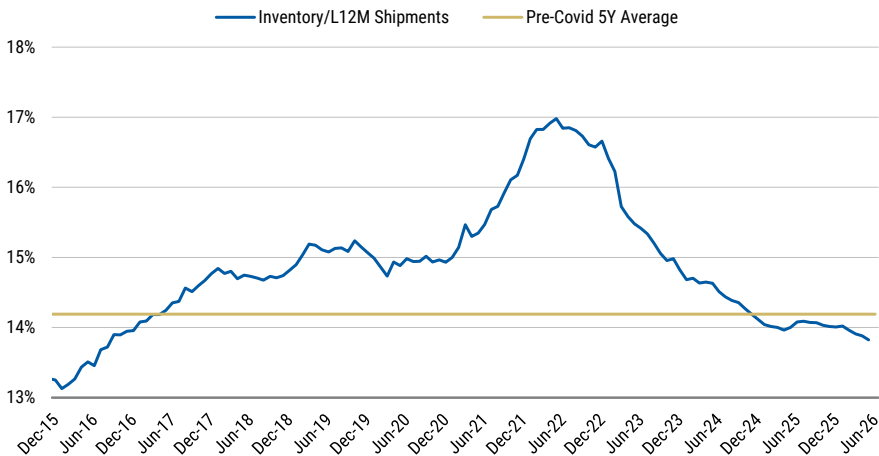
We forecast an acceleration to 10% organic despite a more challenging prior year comp (Q2'25 +2.0% vs. Q1'25 -0.6%), supported by typical seasonality (+HSD% Q2/Q1) and incremental price action. We expect incremental price gain into Q3 as well (wrap on April increase + new increase), supportive of further acceleration to 11% organic in Q3. Organic acceleration on more challenging comps should drive positive sentiment and a favorable 2027 outlook (Cons +6%). We see top line upside supported by the better performing parts of the business to stay strong (data center, Utility T&D), some positive rate of change on the cyclical side (non-resi, industrial) and Aclara inflecting positive in 2H on easier comps, though we are not calling for a significant acceleration there. We see scope for organic to reach the high end of the guide and see further EPS uplift from the NSI acquisition that closed in early June, which we believe brings 10-12c quarterly EPS accretion ([NSI acquisition recap](#)). As such, **we see scope for an EPS guidance raise with organic tracking towards the high end or above the current 6-9% range.**

Exhibit 87: Electrical Equipment, Appliances, & Components order growth remains in positive territory and continues to outpace inventory growth, a positive signal for end demand. After an extended destock dragged order rates and organic growth, we believe HUBB is well positioned to sustain growth, recoupling to positive cycle moment, particularly fueled by data center.



Source: US Census, Morgan Stanley Research

Exhibit 88: Electrical Equipment, Appliances, & Components Inventory/L12M Shipments: Inventory/L12M shipments has remained below history over the past 1yr+ is pointing downwards on the leading edge, which should assuage concerns around 1H channel build and impending destock risk..



Source: US Census, Morgan Stanley Research, Morgan Stanley Research

Ingersoll Rand (IR)

Exhibit 89: IR estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027			
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.		
IR	5	80	5	80	Equal-Weight	\$0.83	\$0.82	\$3.48	\$3.50	\$3.73	\$3.84	\$517	\$515	\$2,144	\$2,145	\$2,262	\$2,282	0.0%	0.7%	1.2%	1.2%	3.0%	4.5%

Source: Visible Alpha, Morgan Stanley Research estimates

For IR, we forecast Q2 EPS of \$0.83 (vs. Cons \$0.82) on roughly in-line organic growth and margins. We model Q2 in line but expect a positive rate of change in orders, with scope for orders to grow MSD organically on an easier comp, cycle momentum, and recovery of Q1 Middle East order deferrals. **While we do not expect IR to raise its FY EPS or organic guide, we think the positive order momentum will reduce market concern around the implied 2H ramp, and that improved sentiment can help lift the valuation after a sharp derating over the last two years.** While we model modest margin downside in 2H, we think this can be offset by a modestly firmer topline. Guidance calls for muted 2H volumes, but the Industrial side should begin seeing momentum alongside short-cycle strength, and Life Science activity remains firm. In addition, we see scope for incremental price action in 2H after IR did not implement a typical start-of-year price increase (due to the 2H'25 ask tied to the 232 increase). Incremental pricing would support organic growth and margins and would be positive for sentiment around competitive positioning.

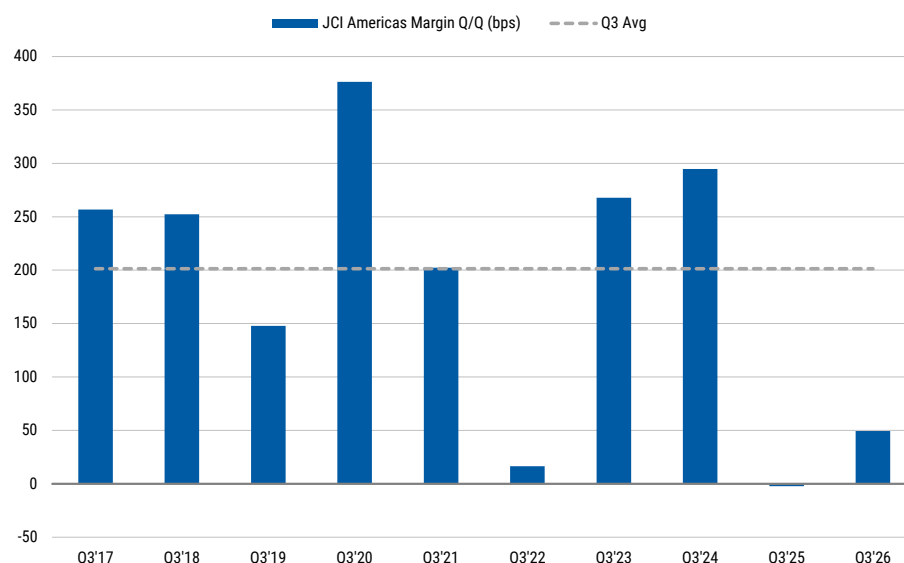
Johnson Controls (JCI)

Exhibit 90: JCI estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth								
				CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027					
				MS	Cons.		MS	Cons.		MS	Cons.		MS	Cons.		MS	Cons.		MS	Cons.				
JCI	\$	175	\$	144	Overweight		\$1.40	\$1.29	\$4.89	\$4.89	\$5.89	\$5.81	\$1,274	\$1,206	\$4,633	\$4,590	\$5,241	\$5,227	5.7%	6.4%	5.9%	6.4%	7.3%	7.6%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 91: Chart on margin seasonality



Source: Visible Alpha, Morgan Stanley Research

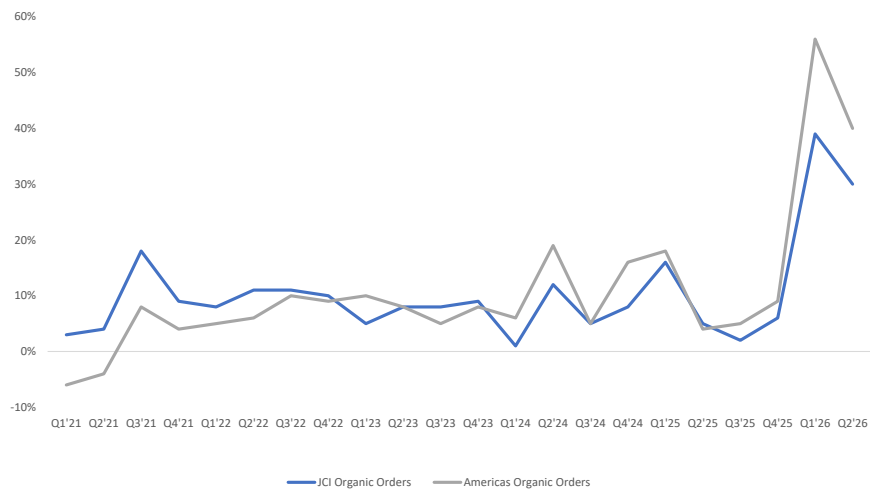
We think FQ3 screens for upside in Americas on both topline and margins, with Consensus modeling Americas margins well below the typical seasonal ramp (+50bps Q/Q vs. typical +185bps). Capacity investments create a \$10-15M quarterly headwind, but much of this was realized in FQ2, so it should build only modestly into FQ3. We model Americas FQ3 margins at 20.3% (vs. Cons 20.0%), and see room for further upside based on the typical seasonal build given the ~\$5 million incremental capacity investment implies only a ~10–20 bps sequential headwind.

APAC screens for upside, as well. Orders have remained solid, but Cons models top line up only ~7% Q/Q vs typical +10-15% increase. With typical seasonality, margins should be up Q/Q as well rather than down as management has signaled (Cons down 30bps). **EMEA screens for downside**, though, moderating upside from the other two segments. Top line may be dragged by a slower Middle East recovery (2-3% of total JCI revenue), as FQ2 only saw one month of impact vs. three months in FQ3, and margins would be further impacted by a Saudi JV that impacts op profit but not revenue. Looking ahead, FQ4 does not screen overly conservative and does not seem easy to drive positive revisions against, further limiting upside in the quarter.

Orders should remain firm into FQ3, supported by a growing pipeline (up exiting September, December, and March). **We see risk in the following quarters, though, from extending lead times.** While demand is not an issue, lead time extension brings tougher comps and may create an air pocket once lead times start to contract again. Additionally,

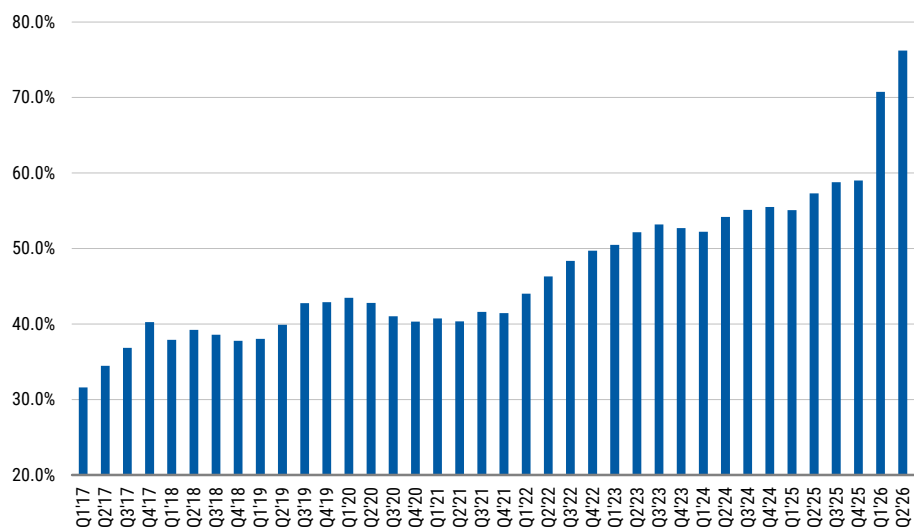
orders generally carry timing volatility as projects get bigger, and extended lead times bring more opportunities for push-outs/pull-ins. This also brings risk to the model - customer deferrals and site readiness uncertainty can directly impact delivery timelines and thus quarterly results (revenue recognized on delivery).

Exhibit 92: We expect orders to remain firm in FQ3 supported by a growing pipeline and favorable comps. Looking ahead, though, we see risk to order rate sustainability due to lead time extension, timing volatility, and comps getting particularly hard in 2027.



Source: Company data, Morgan Stanley Research

Exhibit 93: Continued backlog build and order strength support confidence in the organic acceleration implied in guidance. We look at this with caution, though, as backlogs have likely benefited from lead time extension, which may lead to air pockets when lead times eventually normalize.



Source: Company data, Morgan Stanley Research

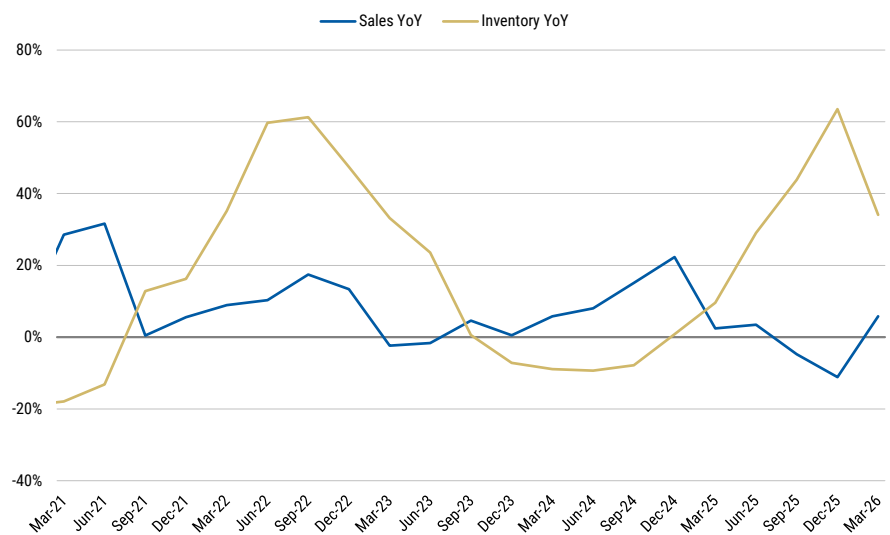
Lennox (LII)

Exhibit 94: LII estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth														
				CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027		
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	
LII	\$	450	\$	550	Underweight	\$7.65	\$7.68	\$23.85	\$24.44	\$25.15	\$26.72	\$388	\$372	\$1,230	\$1,249	\$1,277	\$1,334	1.2%	0.5%	4.0%	4.3%	3.0%	5.0%	5.0%	5.2%					

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 95: The gap between sales growth and inventory growth tightened in Q1, but inventory continued to outpace sales, bringing absorption headwinds. We expect under-absorption to persist into Q2 despite better volumes, as the destock reaches its final stages, bringing margin downside.



Source: Morgan Stanley Research, Visible Alpha

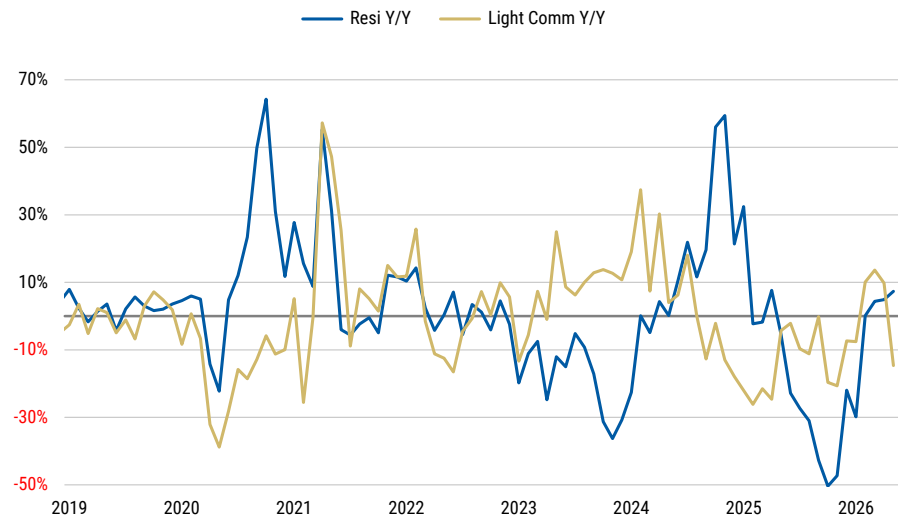
We model Q2 EPS largely in line with Cons, with top line upside offset by margin downside. On top line, HCS should underperform HARDI (HARDI April/May avg. flattish y/y) given LII's sell-in exposure (~20% vs. HARDI all sell-through) signals greater exposure to 1H'25 pre-buy. We expect another quarter of volume declines, but y/y volumes should turn positive either exiting Q2 or early in Q3. If volumes turn positive in June, Q2 revenue declines would be limited, particularly with MSD%+ price. Turning to BCS, we expect another strong quarter (MSe +12%), with continued benefits from emergency replacement ramp, which should go away at the end of Q2. This is a step back from +26% in Q1, but we note Q1 was a perfect storm of easy comps, driven by a fully ramped emergency replacement business and prior year refrigerant transition issues.

Our attention rests moreso on Q3, which where we see greater risk in the model.

Consensus models HCS for a second consecutive seasonal beat in Q3, which screens for downside amid destock risk after a likely channel build in 1H. Resi HVAC sell-in (OEM) volumes outperformed sell-through (distributors) in 1H ahead of price increases, bringing risk to Resi HVAC more broadly. **Between continued Resi and consumer weakness and prices going up, it is unclear to us why demand would be turning.** We also see downside in BCS margins, which should be down y/y and potentially Q/Q on normal seasonality. On price, we see risk of price giveback (~LSD) after the M-HSD % increases announced in April. This should likely have a minimal impact on price/cost as any shift should align with

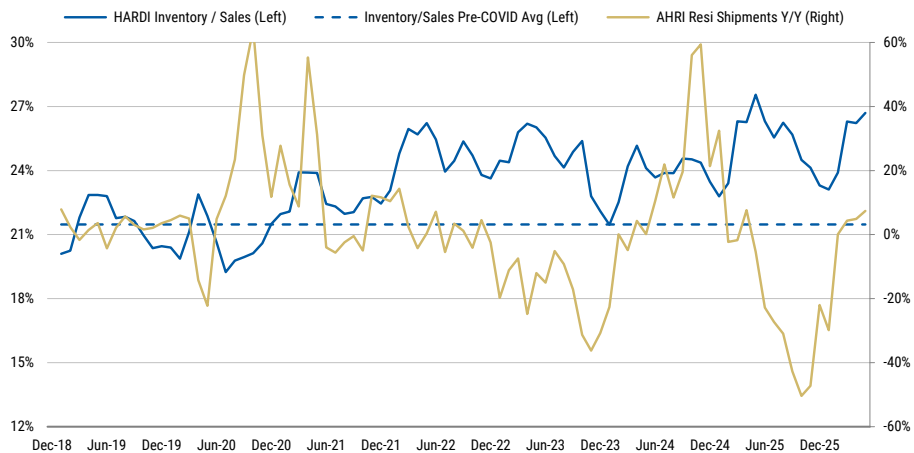
tariff and inflation expectations, but it would limit top line revision potential.

Exhibit 96: Resi HVAC has inflected positive to start the year, but we remain cautious given 1H potentially benefited from channel build ahead of known price increases.



Source: Morgan Stanley Research, Company reports

Exhibit 97: Channel Inventory/T12M Sales (HARDI) has picked up in recent months alongside OEM shipment acceleration, signalling channel build rather than end demand acceleration.



Source: AHRI, HARDI, Morgan Stanley Research

Mirion (MIR)

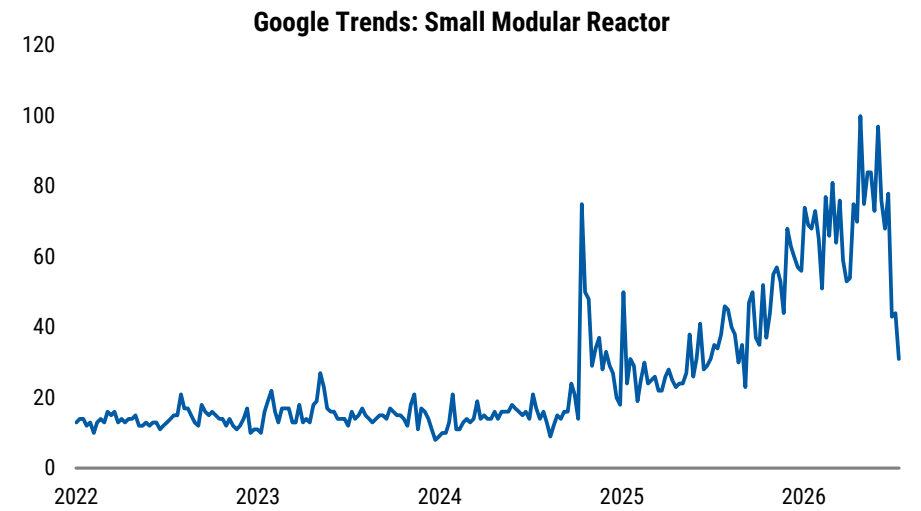
Exhibit 98: MIR Estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027			
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.		
MIR	5	25	5	17	Equal-Weight	\$0.11	\$0.11	\$0.34	\$0.34	\$0.61	\$0.68	\$64	\$63	\$288	\$290	\$322	\$334	2.5%	2.6%	5.2%	5.5%	7.1%	7.8%

Source: Visible Alpha, Morgan Stanley Research estimates

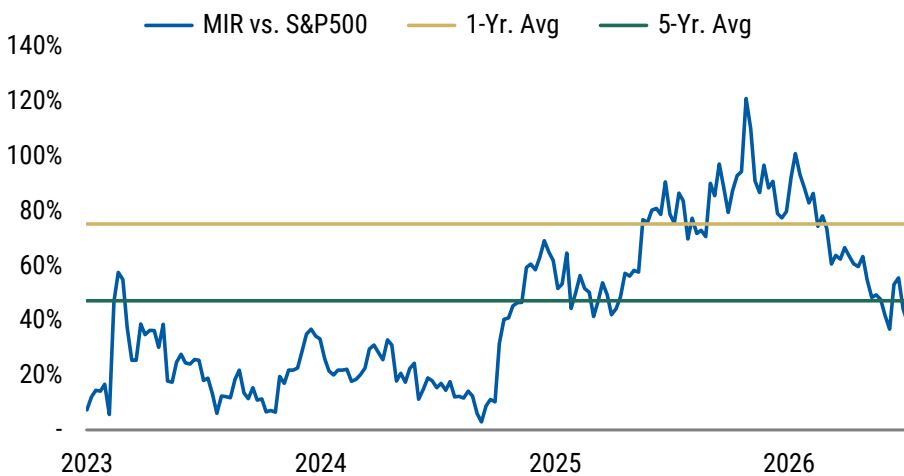
We model Q2 eps of 11c, in line with Consensus, with LSD growth in both segments continuing trend from Q1. We model 3.0% organic growth in Nuclear & Safety (vs. Cons. 2.9%) as government activity improves sequentially following the shutdown in Q1. In Medical, we see organic growth of 1.5% (vs. Cons. 2.1%), as sequential improvement is offset by lapping a \$2M tailwind from tariff pre-buy in 2Q25. For adjusted EBITDA margins, we see slight expansion in Nuclear & Safety to 26.9% (+20bps YoY), as operating leverage offsets negative mix from Paragon. For Medical, we see flat YoY adj. EBITDA margins of 37.2%, with minimal volume growth limiting margin expansion. We expect strong orders in the quarter, as company already announced \$35M of orders in April, showing stronger order momentum to start to the year vs. 2025. SMR orders in particular will be important for sentiment in the stock, as the conversation around data centers in space has cast doubt on the need for terrestrial nuclear growth to power data centers.

Exhibit 99: Google Trends for Small Modular Reactors in the United States has been declining after activity peaked in April 2026.



Source: Google Trends

Exhibit 100: MIR's valuation peaked in 4Q25, when optimism for powering AI was high before softness in Medical added concern around growth and "data centers in space" conversation adds risk to MIR's terminal value.



Source: FactSet, Morgan Stanley Research

3M (MMM)

Exhibit 101: MMM estimates

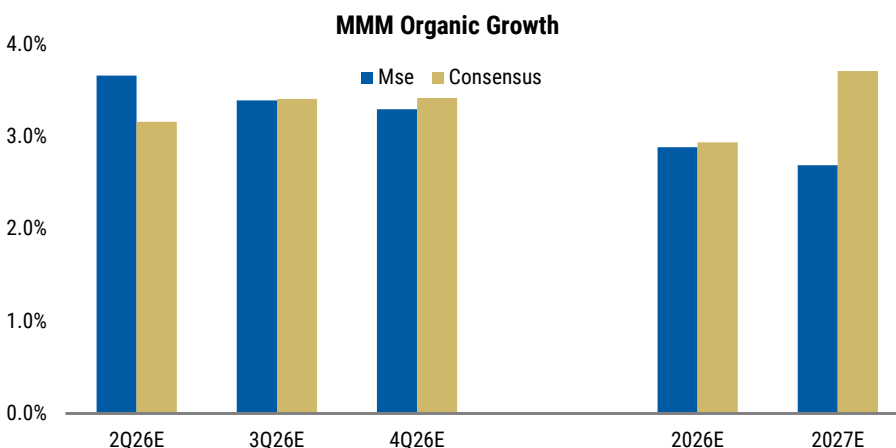
Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				FY 2026			FY 2027			FY 2026			FY 2027			FY 2026		FY 2027			
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.

Source: Visible Alpha, Morgan Stanley Research estimates

We model a Q2 EPS beat on firmer organic growth and margins and expect a FY'26 raise through removal of the contingency reserve (5–15¢) and margin upside. While the focus for MMM is on organic growth, and rightly so, we think this has pushed market attention away from margins, which remain the cleanest source of upside in the FY'26 model. Our understanding is that much of the Q2 organic growth discussion around “well north of 3%” is a function of stronger price realization tied to MMM’s commercial excellence programs (OTIF, NPI). If pricing is outpacing expectations, this signals improving price/cost dynamics and margin upside in Q2 and beyond. In addition, hydrocarbon-based cost inputs are fading into 2H, and our understanding is that any MMM surcharges have become list price changes (i.e., no giveback risk).

Additional sources of margin upside include better-than-feared Consumer Electronics volumes, which are margin accretive, while a return to volume growth should allow restructuring and self-help actions to show through. The MMM margin bar is also undemanding, with margins modeled for a below-seasonal ramp into Q2 and Q3. While Q2 organic growth is positioned to come in ahead of Consensus and guidance, this is already appreciated by investors following intra-quarter commentary. We model Q2 organic growth of 3.7% (versus Consensus at 3.2%), and we think the buy-side is aligned with our model. Sustained Q2 order momentum and backlog build support Q3 organic growth, while Data Center wins from Q1 convert in Q4, supporting the organic exit rate (~\$50M by our math). With that said, we do not see material organic upside in 2H, with Consensus already modeling ~3.5% organic growth into more difficult comps. Latest commentary suggests organic upside into Q3, but the Q4 bar looks more difficult.

Exhibit 102: While we see upside to organic growth in Q2, we see downside in 2H26 as consensus is already modeling ~3.5% growth in to more difficult comps.



Source: Visible Alpha, Morgan Stanley Research

Otis Worldwide (OTIS)

Exhibit 103: OTIS estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
OTIS	\$	88	\$	73	Equal-Weight	\$0.99	\$1.03	\$4.09	\$4.20	\$4.64	\$4.70	\$8.27	\$6.85	\$2,599	\$2,661	\$2,851	\$2,888	2.4%	3.2%	2.8%	3.5%

Source: Morgan Stanley Research estimates

We model a Q2 miss and see FY downside, with forecasted FY'26 EPS of \$4.08 versus Consensus at \$4.21 (vs. guide of \$4.20–\$4.24). The EPS downside is primarily a function of softer Service margins, which are guided for a sharp intra-year recovery on stronger price realization, with the guide embedding a ~26% exit rate for Q4 versus just ~23% in Q1. Into Q2, we see Service margin downside from price/cost headwinds related to elevated freight and fuel costs. While OTIS will price for this cost inflation, we see a timing lag that runs counter to Q2 guidance, which calls for Service margin expansion to improve sequentially. Into 2H, we see continued Service margin risk tied to price realization. The pickup in 2H margins is almost entirely a function of incremental pricing, where we see risk to realization given the competitive nature of the industry and the simple fact that OTIS Service quality has deteriorated over the last two years. We see risk tied to the “micro-pricing” opportunity, which is really just renegotiating pricing on existing OTIS Service contracts. We also see risk to 2H topline from softer price realization and lingering Middle East headwinds, which are guided to ease in Q3–Q4. Softer 2H Service margins would weigh on sentiment and likely drive negative FY'27 EPS revisions, a rarity this earnings season.

Parker Hannifin (PH)

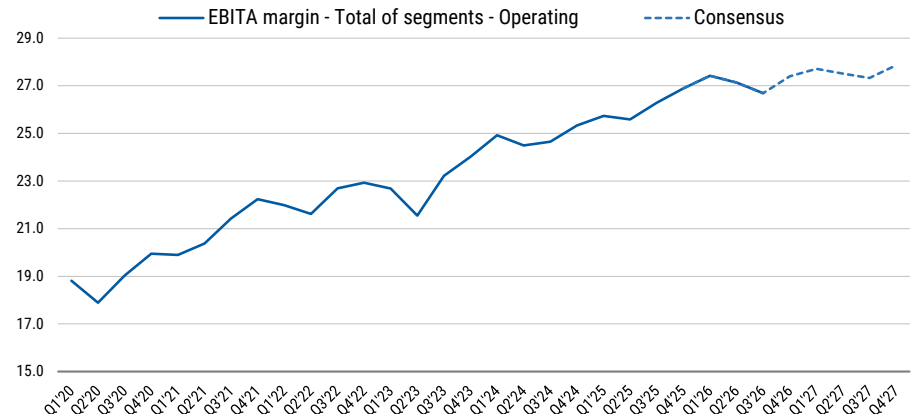
Exhibit 104: PH estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
PH	\$	1,038	\$	963	Equal-Weight	\$8.27	\$8.27	\$31.31	\$31.31	\$33.97	\$33.42	\$1,551	\$1,530	\$5,860	\$5,840	\$6,329	\$6,319	5.2%	4.4%	5.8%	5.0%

Source: Visible Alpha, Morgan Stanley Research estimates

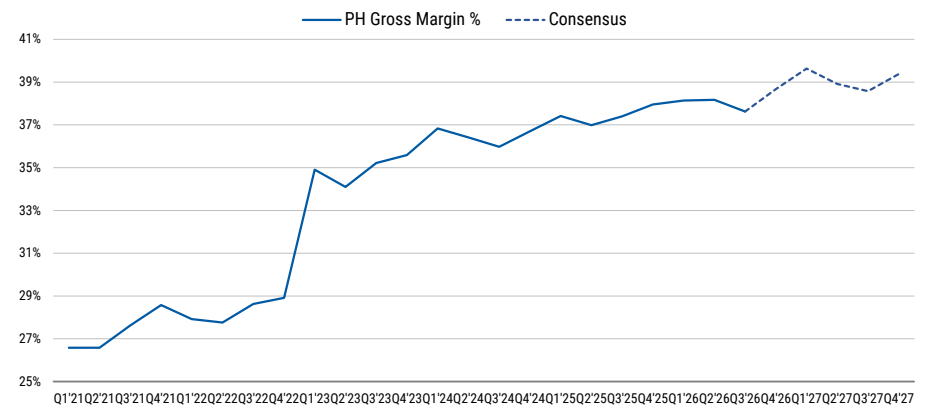
We expect PH's FQ4 results to show a positive rate of change versus FQ3 as transitory headwinds ease, supporting a better-than-feared print and a stronger exit rate into FY27. In North America Industrial, the roughly 70 basis point FQ3 margin miss appears to have been driven more by weather than adverse OE/aftermarket mix, positioning the segment for sharp sequential expansion and upside versus Consensus; we model an approximately 170 basis point ramp. Industrial orders should also improve from the unchanged +3% level in FQ3, as stronger short-cycle demand offsets slower longer-cycle activity. We expect high-single-digit-plus Industrial order growth, signaling a broader growth inflection as the longer-cycle backlog converts over the next 12 months. For FY27, we expect guidance modestly below Consensus at roughly \$34 of EPS, based on approximately 5% organic growth and 35%+ incrementals. We see upside to North America incrementals but downside to International organic growth, while the likely exclusion of Filtration Group and CIRCOR creates a source of positive revisions during the year.

Exhibit 105: PH EBITA margins - Consensus is modeling a modest recovery into F4Q



Source: Morgan Stanley Research, Company report, Visible Alpha

Exhibit 106: PH Gross Margin (%) – best-in-class pricing power + execution allowed for expansion through 2021-23 hyperinflation (aided by M&A)



Source: Morgan Stanley Research, Company report, Visible Alpha

Ralliant (RAL)

Exhibit 107: RAL estimates

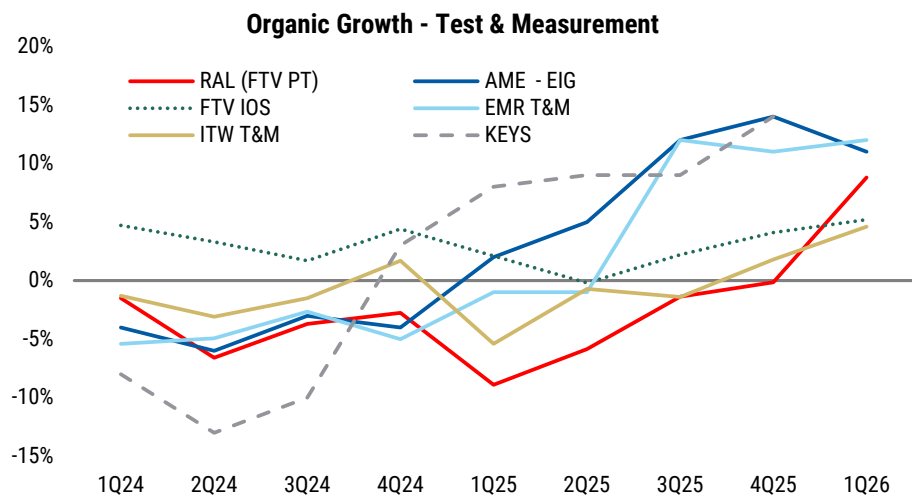
Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027			
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.		
RAL	5	85	5	68	Overweight	\$0.63	\$0.62	\$2.66	\$2.65	\$1.23	\$1.08	\$108	\$107	\$447	\$445	\$518	\$498	9.0%	8.8%	7.8%	7.2%	6.4%	5.4%

Source: Visible Alpha, Morgan Stanley Research estimates

We see scope for a Q2 beat and FY raise. We model Q2 above Consensus and at the high end of company guidance. Q2 is being modeled below the typical seasonal ramp despite the Q1 order inflection and outsized book-to-bill on both shorter-cycle categories (T&M at 1.2x BtB in Q1) and longer-cycle businesses (PacSci's elevated backlog additions). Guidance calls for deceleration to MSD growth in 2H'26–2027, but we see scope for RAL to sustain HSD+ growth in the coming quarters. PacSci does not appear to be slowing. Qualitrol (Utility Sensors) posted 1% organic growth in Q1 despite record orders due to supply chain disruption and is positioned for a 2H organic inflection. Semi was down 8% in Q1 due to a project delivery comp (+15% ex-comp), and with orders turning as well, the category is positioned for a sharp 2H organic inflection.

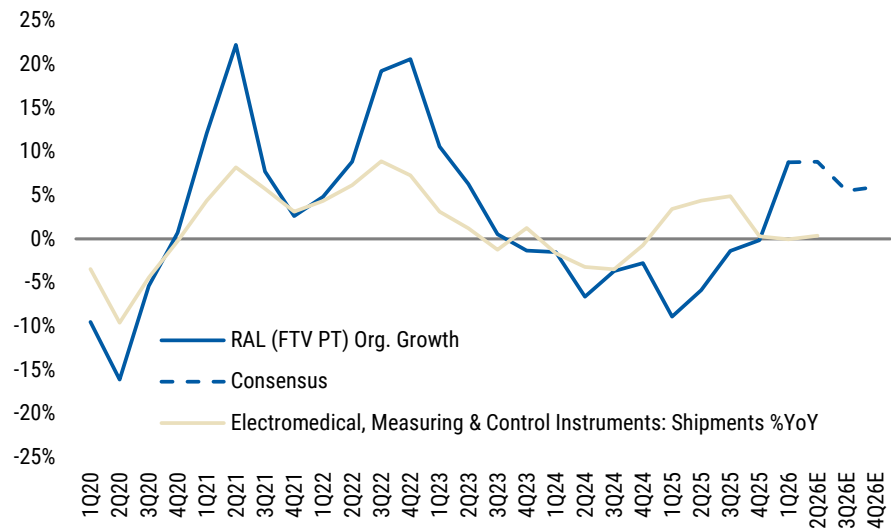
We model MSD+ EPS upside in out years on organic growth forecasts that, while above Consensus, still screen conservative. T&M should lever nicely both YoY and sequentially in Q2 given its high gross margin profile and excess capacity. SS segment margins remain the biggest point of uncertainty in the model, with management talking to a mid-to-high-20% range for the segment (versus 28.4% in Q1). While segment margin headwinds are real, we are not sure how much will materialize in Q2. Q1 already realized material mix headwinds on PacSci (~20% margins) versus Qualitrol (mid-30% margins). Longer term, PacSci will see margins compress below the 20% level (high teens, MSe) as surge programs come through. Larger programs carry lower margins and are part of the TINA opportunity, but that is not a Q2 event. More importantly, those headwinds would be accompanied by a pickup in topline volumes, meaning the market is modeling the headwinds but not the tailwinds.

Exhibit 108: RAL organic growth has accelerated in 1Q26 to be more in-line with competitors.



Source: Visible Alpha, Morgan Stanley Research

Exhibit 109: RAL is forecasted to outgrow industry shipments after lagging material over the last 12 months



Source: US Census Bureau, Morgan Stanley Research

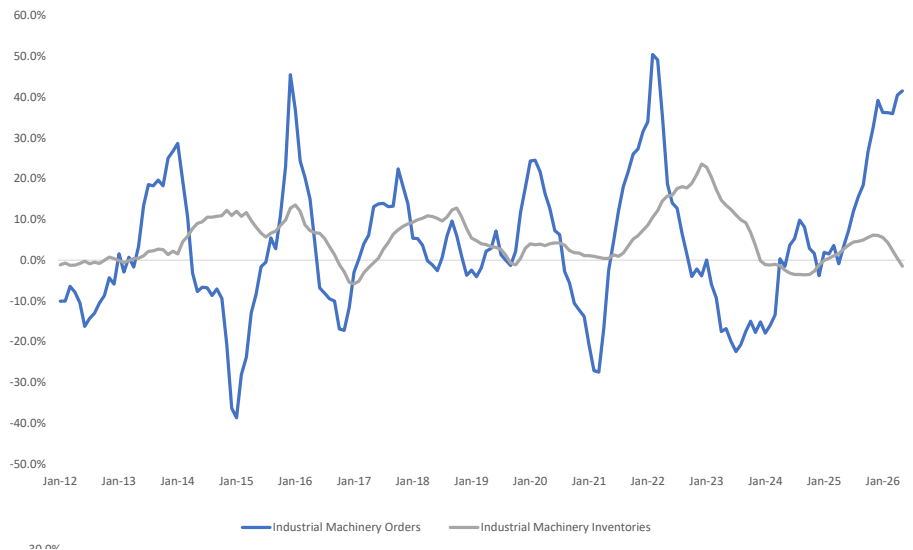
Rockwell Automation (ROK)

Exhibit 110: ROK estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth														
				CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027		
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	
ROK	\$	525	\$	465	Overweight	\$3.42	\$3.39	\$13.20	\$13.03	\$14.98	\$14.66	\$104	\$485	\$2,281	\$2,168	\$2,510	\$2,379	6.9%	6.4%	7.3%	7.4%	7.7%	6.6%							

Source: Morgan Stanley Research estimates

Exhibit 111: Industrial machinery orders have reaccelerated in recent months while inventory growth has decelerated and most recently entered negative territory. Continued order strength and cycle momentum give us greater confidence in organic upside and ROK's ability to post seasonal beats in F2H.

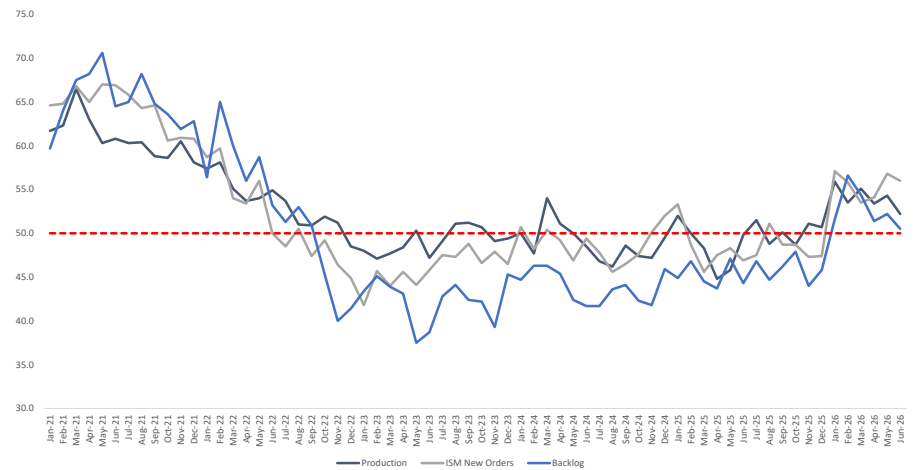


Source: US Census, Morgan Stanley Research

As discussed in our FQ2 recap note ([link](#)), we see upside to FQ3, as consensus does not seem to reflect leading edge momentum. We believe FQ3 modeling screens conservative and see scope for a seasonal beat after FQ2 BtB came in unusually high, skewing towards short-cycle products. Our understanding is that outsized BtB was driven by order timing after strong March order rates, which should signal strong revenue conversion in FQ3. As discussed in our NDR recap ([link](#)), we estimate FQ2 orders were ~\$2.5B and typical seasonality / cycle momentum would suggest further build into FQ3, which, when annualized, would signal material upside vs. F'27 estimates (\$10B+ vs. Cons \$9.5B),

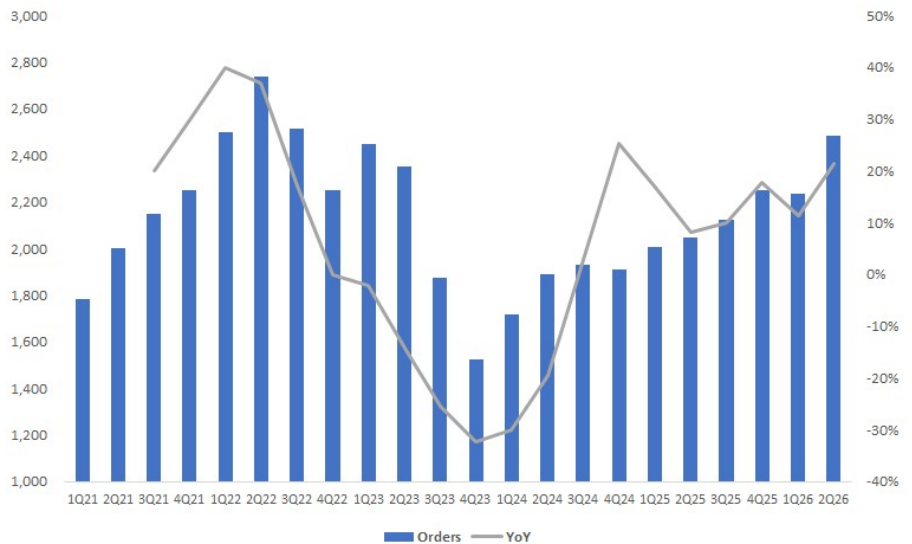
Turning to margins, guidance calls for revenue and op margin flattish vs. FQ2, with ~2% sequential organic growth offset by a ~\$50M headwind from the dissolution of the Sensia JV. Margins should benefit from leverage on volume upside, but we also note additional upside from the Sensia JV dissolution, as the revenue swap brings margin accretive mix (ROK ~50% organic operating leverage vs. roughly no profits from Sensia).

Exhibit 112: ISM has remained in positive territory for the past 6 months with particular strength in leading edge orders, a favorable indicator of for F2H momentum.



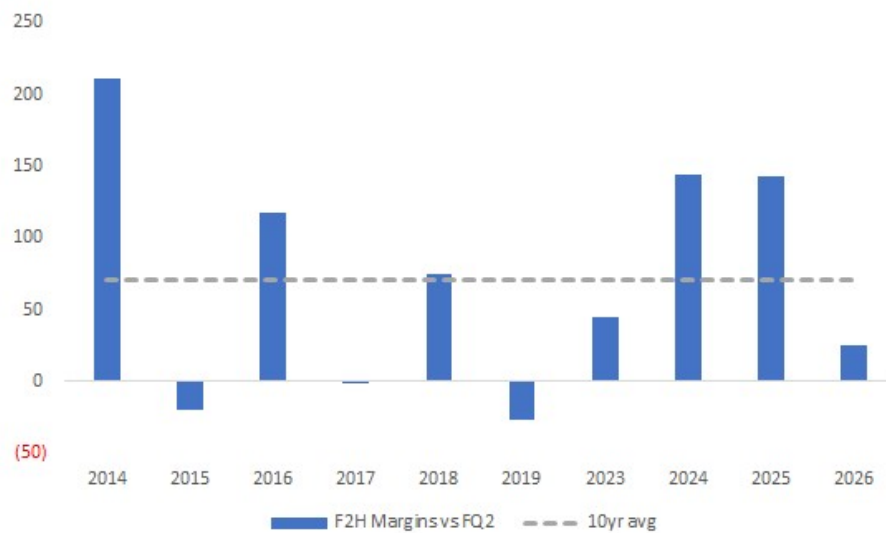
Source: ISM, Morgan Stanley Research

Exhibit 113: ROK Quarterly Orders (MSe, \$bil): FQ2 orders of ~\$2.5B came in up 20%+ on our math. The outsized FQ2 BtB (1.10x+) signals upside into F2H while the \$10B annualized run-rate is an attractive mark vs Cons F'27 sales of \$9.4B. And we think demand will further improve over the NTM



Source: Company Data, Visible Alpha, Morgan Stanley Research

Exhibit 114: ROK guided F2H'26 margins ~20 bps above FQ2 levels, shy of the average ~70 bps ramp observed over the last decade. We see upside w/ ROK volumes ramping on cycle strength, self-help opportunity remaining, and Sensia JV dissolution (MSe ~20 bps tailwind to F2H margins vs FQ2)



Source: Company Data, Morgan Stanley Research

Stanley, Black & Decker (SWK)

Exhibit 115: SWK estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
SWK	5	84	5	87	Equal-Weight	\$1.18	\$1.21	\$5.26	\$5.37	\$6.28	\$6.24	\$420	\$414	\$1,773	\$1,776	\$1,980	\$1,944	0.9%	1.9%	0.9%	1.7%

Source: Visible Alpha, Morgan Stanley Research estimates

We model EPS in line with the guided range but slightly below Consensus, with softer topline offsetting a forecasted gross margin beat. The sequential T&O ramp of +HSD screens difficult given the elevated Q1 starting point, which benefited from a strong Outdoor pre-season that potentially came at the expense of Q2. The new Craftsman product launch at LOW should provide 2H tailwinds, and it is unclear whether Q2 benefits from the load-in. Still, the 2H topline screens for downside, with sustained T&O growth occurring while consumers remain pressured, and it remains unclear whether Engineered Fasteners can grow post-CAM divestiture, although Industrial cycle momentum will help. While there are clear 2H gross margin tailwinds in place (mix, moving past deleverage headwinds, productivity savings), the ramp is significant, particularly with potential price/cost headwinds into future quarters (inflation is higher, and SWK pricing is flat to down versus the start of the year). As a result, we see a more difficult revision pathway versus broader multis. Guidance calls for 301 tariffs to be reinstated on July 31, which is a potential watch item. If the tariffs are not reinstated, there is risk that SWK will need to roll back price.

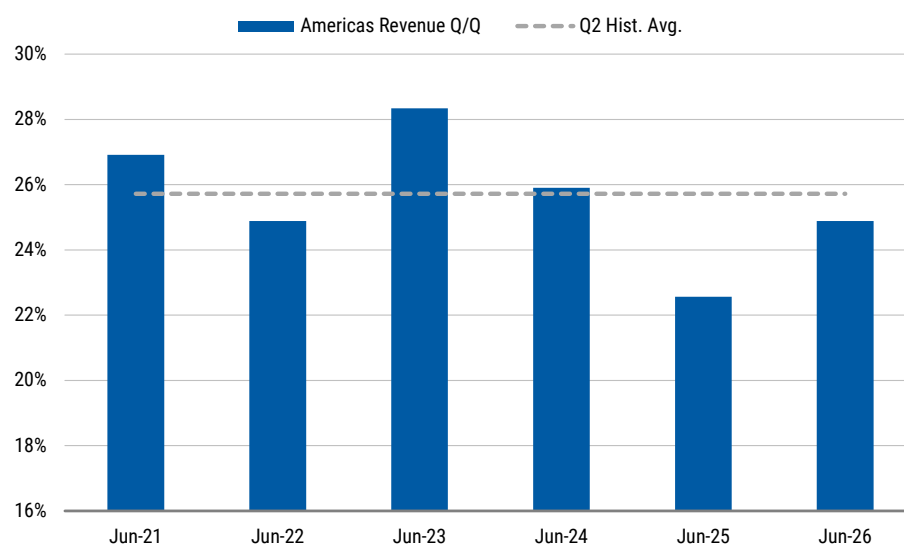
Trane Technologies (TT)

Exhibit 116: TT estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2026			FY 2026			FY 2027			CY 2026			FY 2026			FY 2027		
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 117: Consensus models Americas Q2 top line ramp 1pt below typical seasonality despite indicators signaling positive rate of change in the cyclical businesses (Resi, Transport) and CHVAC order acceleration.



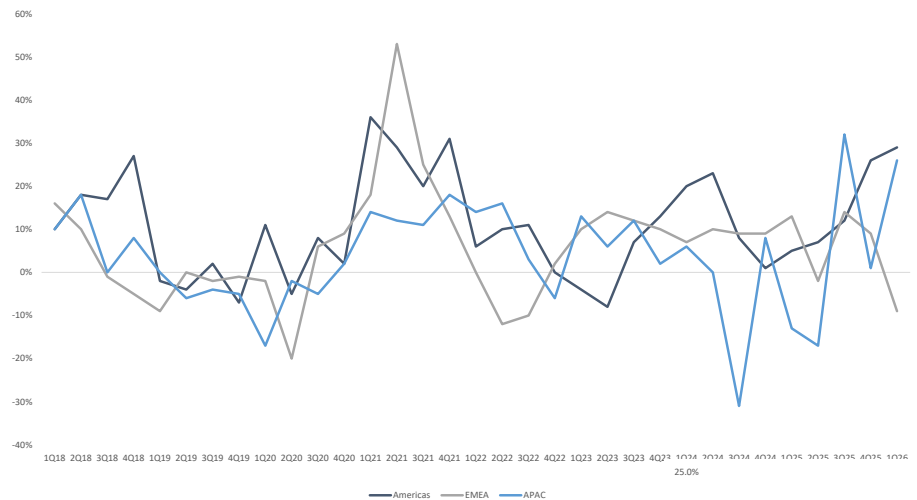
Source: Company Data, Visible Alpha, Morgan Stanley Research

We see upside to Q2 driven by Americas and APAC and expect continued order momentum. On top line, Americas Q2 sequential ramp is modeled a tick below typical seasonality (+25% vs. typical +26%) despite indicators signaling positive rate of change in the cyclical businesses (Resi, Transport) and recent CHVAC orders pointing to organic acceleration. APAC screens conservative, as well, modeled for an organic deceleration despite an easier comp (Q2'25 -8.2% vs. Q1'25 -2.8%) and strong Q1 orders (+26%). Turning to margins, our math suggests headwinds from the Stellar Energy acquisition (Americas segment) should largely be reflected in the Q1 base, which provides scope for a typical ~40% sequential incremental margin for Americas into Q2 (which would imply ~30 bps of margin upside for the segment). **Looking ahead, we believe positive rate of change across all Americas sub-segments positions the segment for a sharp 2H acceleration, bringing upside to Consensus modeling and signaling upside to F'27 after a strong F'26 exit rate.** We see downside to EMEA in 2H from lingering Middle East headwinds, which are not currently in guidance, but we think this can be offset by Americas + APAC upside.

On orders, we expect another strong quarter in Americas, again led by CHVAC. CHVAC will face tougher comps, but Data Center demand is not slowing down and the business has started to see tailwinds elsewhere. If we do see any CHVAC order deceleration, we believe this can be offset by positive rate of change in Resi HVAC, supportive of a third straight quarter of mid-20%+ order growth for Americas. Americas orders have also never

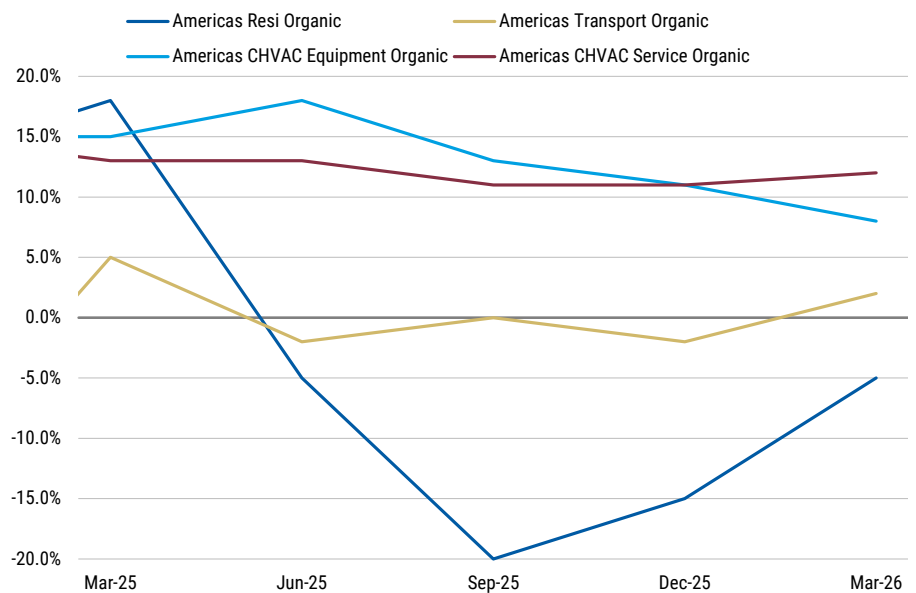
been down Q/Q into Q2, which would imply at least low-20s % order growth in Q2. We are constructive on EMEA and APAC orders, as well, as both segments see comps ease in Q2. **We note that we have concerns about the sustainability of TT Americas order strength past Q2, as Data Center order comps turn markedly more difficult into 2H.**

Exhibit 118: We expect continued order momentum in Americas and APAC supported by positive rate of change in Americas business lines, continued data center strength, and easing comps in APAC.



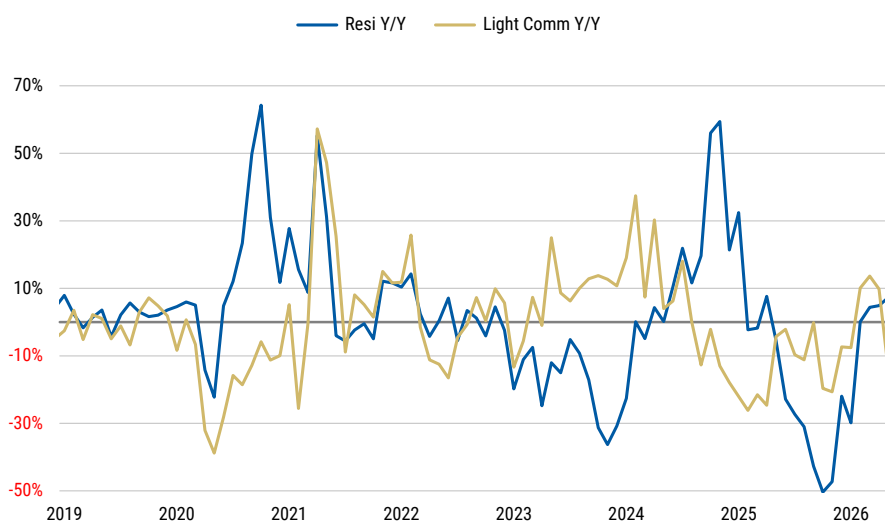
Source: Morgan Stanley Research, Company reports

Exhibit 119: We expect CHVAC strength to persist alongside positive rate of change in Resi HVAC and Transport to a seasonal beat in Q2.



Source: Company Data, Morgan Stanley Research

Exhibit 120: AHRI shows positive rate of change in Resi, which should support TT Q2 top line ramp.



Source: AHRI, Morgan Stanley Research

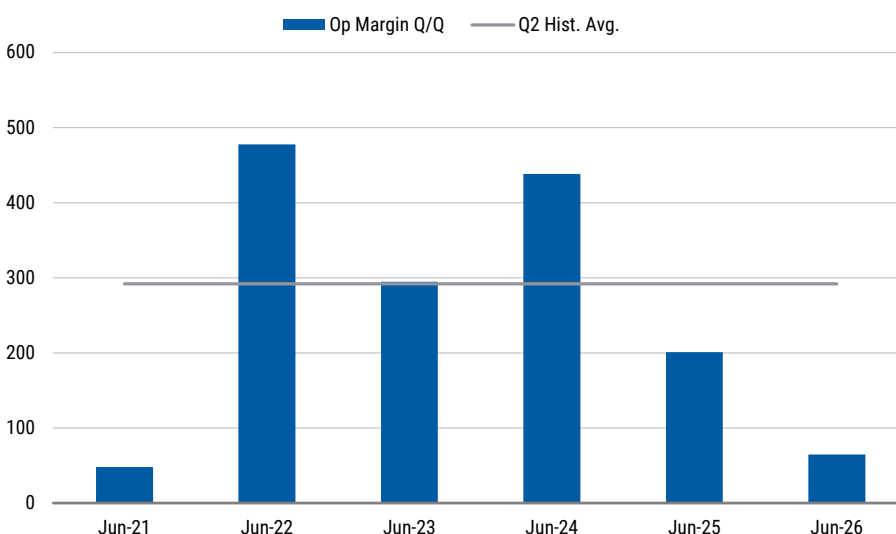
Vertiv Holdings (VRT)

Exhibit 121: VRT estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth					
				CY 2025		FY 2025		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027	
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
VRT	\$	350	\$	313	Overweight	\$1.47	\$1.44	\$6.40	\$6.48	\$8.89	\$8.73	\$782	\$762	\$3,382	\$3,383	\$4,612	\$4,618	25.2%	23.7%	31.0%	30.5%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 122: We see upside on Q2 margins, as consensus models the sequential ramp well below typical seasonality. The ~29% sequential incremental is in line with Q2'25, where margins were dragged by sharp tariff escalation, rather than the 45-50% level seen in Q2'23 and Q2'24.

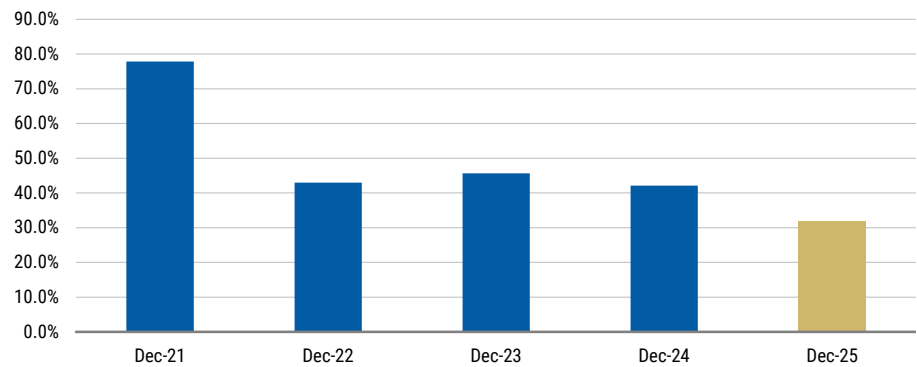


Source: Company Data, Visible Alpha, Morgan Stanley Research

We model a Q2 beat driven by firmer Americas margins vs conservative consensus modeling, where the sequential ramp falls well below typical seasonality. VRT's elevated investments in innovation and capacity should drag margins, but we note that this is not a new development and should already be reflected in Q1 base margins. Cost inflation should persist, but, between order strength, record backlogs, and VRT's tech leadership, we believe the company is well positioned for best in class pricing power, supporting continued price/cost leverage. In Americas, in particular, the Cons sequential incremental (~29%) is well below Q2'23/Q2'24 levels (45-50%), moreso in line with Q2'25 (30%), which was dragged by tariff headwinds, signalling margin upside.

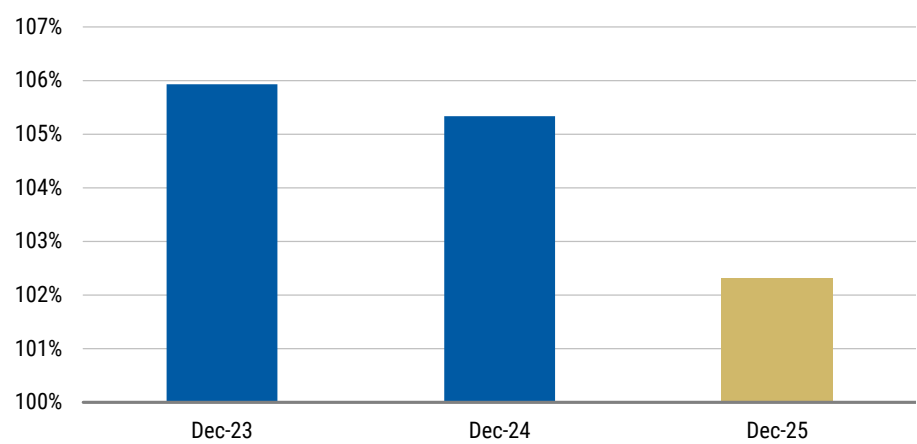
Turning to top line, while challenging to pinpoint quarterly revenue given project lumpiness and uncertain delivery timelines, we still see upside, as leading edge order rates (MSe ~\$30B annualized) remain disconnected from NTM revenue (Cons ~\$15M). Further, order inflection over the past year supports a 2H organic ramp, though we remain cautious on EMEA backlog conversion given geopolitical tensions. **While VRT no longer provides orders, data center channel checks have remained strong and we expect further positive commentary around demand, orders, and pipeline on the call.**

Exhibit 123: VRT NTM revenue vs. YE backlog: Even after raising guidance with Q1 results, 2026 revenue still screens for upside, an outlier among our coverage, given backlog strength and historical conversion. We note some caution when assessing backlog build given potential lead time extension. Forecasting continued order growth in 2026 would imply another year of significant backlog build and/or material upside to 2026 revenue



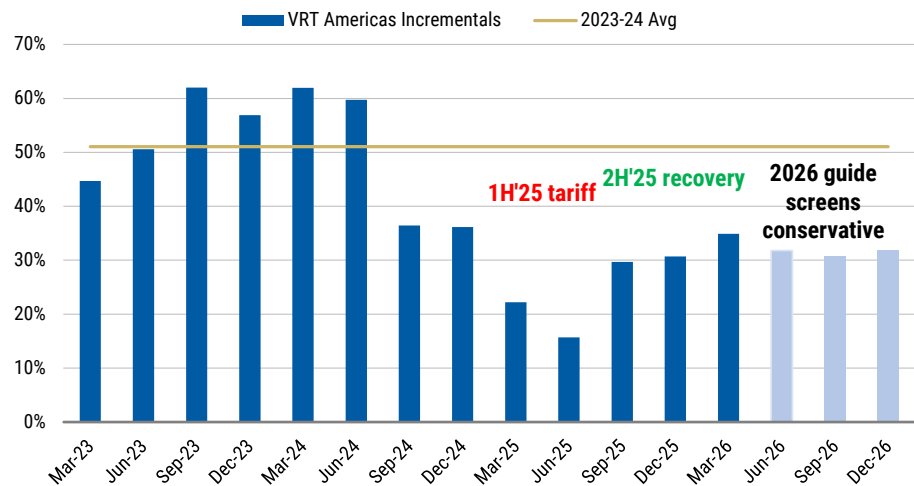
Source: FactSet, Morgan Stanley Research

Exhibit 124: VRT revenue as % of prior year orders: After the Q1 guidance raise, 2026 is being guided 2% above 2025 order intake, which still screens for upside after 2024 and 2025 sales outpaced prior year orders by 5-6%.



Source: Company Data, Morgan Stanley Research

Exhibit 125: After 1H'25 tariff price / cost lag, VRT Americas posted a ~40% incremental in 2H'25, which showed pricing power and execution coming through, despite tariff headwinds and difficult comps. These headwinds should in 2026 and make the guided step down in incremental margin seem conservative.



Source: Company Data, Morgan Stanley Research

Watsco (WSO)

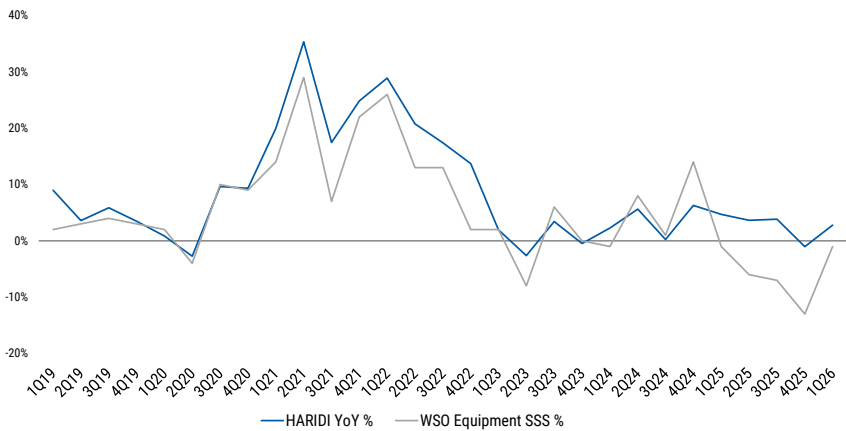
Exhibit 126: WSO estimates

Company	Price Target	Price	Rating	EPS						EBITDA						Organic Growth							
				CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027		CY 2026		FY 2026		FY 2027			
				MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.		
WSO	\$	405	\$	389	Equal-Weight	\$4.75	\$4.44	\$13.30	\$12.75	\$15.03	\$14.01	\$291	\$145	\$823	\$791	\$919	\$865	3.7%	3.1%	2.8%	3.6%	4.7%	4.4%

Source: Visible Alpha, Morgan Stanley Research estimates

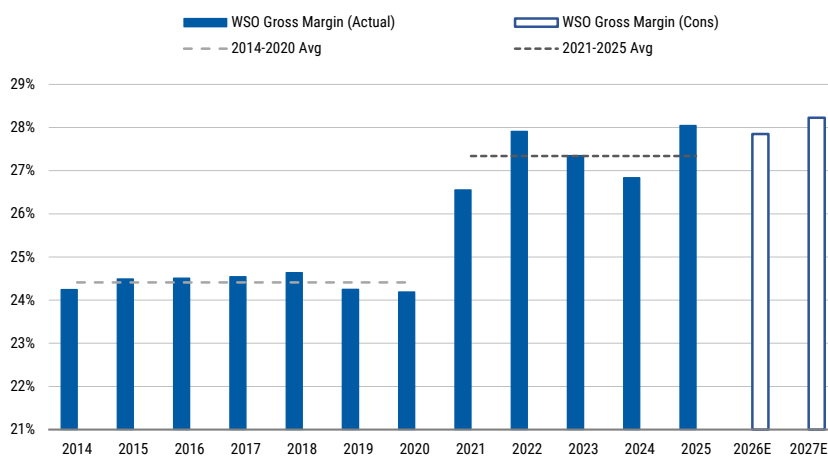
We model material EPS upside for Q2 and FY26, driven primarily by gross margin, with additional support from firmer topline trends. WSO should benefit from leading price-cost during the first inventory turn, supporting a roughly 70 basis point sequential gross margin increase to 28.6%, or about 40 basis points above Consensus. The step-up is below the 120 basis points realized in Q2'25 given more muted pricing, but WSO's outsized January–April inventory build should reduce purchasing needs through the summer and support further margin expansion into 2H. While SG&A should increase with stronger volumes and transport and fuel inflation, we model rest-of-year opex below Consensus following the 2H'25 cost actions. Topline also screens for upside given easier HVAC comparisons, as WSO Equipment declined 6% in Q2'25 versus HARDI growth of 3%, partly reflecting temporary share loss from its early 454B transition. We see further 2H upside from the Jackson Supply acquisition, which does not appear to be reflected in Consensus.

Exhibit 127: WSO Same Store Sales vs HARDI Growth Y/Y%



Source: HARDI, Company Data, Morgan Stanley Research

Exhibit 128: Watsco Gross Margin % - tracking ~300bps higher than historical average in 2014-20 and guiding to further ramp on deployment of tech-driven customer solutions



Source: Company data, Visible Alpha, Morgan Stanley Research estimates

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(as of June 30, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Multi-Industry

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Christopher Snyder, CFA		
3M Co. (MMM.N)	E (10/21/2025)	\$156.58
Acuity Inc. (AYI.N)	O (01/14/2025)	\$327.48
Allegion Public Limited Company (ALLE.N)	E (01/06/2025)	\$136.51
Alliance Laundry Holdings Inc (ALH.N)	E (11/03/2025)	\$25.84
Ametek Inc. (AME.N)	E (04/14/2025)	\$233.96
Carrier Global Corp. (CARR.N)	E (09/06/2024)	\$69.76
Dover Corp (DOV.N)	E (04/14/2025)	\$214.15
Eaton Corporation PLC (ETN.N)	O (09/06/2024)	\$415.52
Emerson Electric Co (EMR.N)	U (09/06/2024)	\$136.09
Fastenal Co. (FAST.O)	E (09/06/2024)	\$45.74
Forgent Power Solutions (FPS.N)	E (03/02/2026)	\$41.18
Fortive Corp (FTV.N)	E (09/02/2025)	\$60.68
Gates Industrial Corporation PLC (GTES.N)	E (09/06/2024)	\$26.24
Honeywell International Inc (HON.O)	E (09/06/2024)	\$222.68
Hubbell Inc. (HUBB.N)	E (09/06/2024)	\$483.89

Ingersoll Rand INC (IR.N)	E (09/06/2024)	\$79.01
Johnson Controls International Plc (JCI.N)	O (09/06/2024)	\$145.24
Lennox International Inc (LII.N)	U (01/06/2025)	\$562.77
Mirion Technologies Inc (MIR.N)	E (01/23/2026)	\$16.29
Otis Worldwide Corp (OTIS.N)	E (09/06/2024)	\$72.56
Parker-Hannifin Corp (PH.N)	E (06/05/2025)	\$964.55
QXO Inc (QXO.N)		\$14.46
Ralliant Corporation (RAL.N)	O (09/02/2025)	\$67.54
Rockwell Automation (ROK.N)	O (09/06/2024)	\$469.77
Stanley Black & Decker Inc (SWK.N)	E (09/06/2024)	\$87.37
Teledyne Technologies Inc. (TDY.N)	E (12/12/2022)	\$623.10
Trane Technologies PLC (TT.N)	O (09/06/2024)	\$483.55
Vertiv Holdings Co. (VRT.N)	O (01/06/2025)	\$303.58
W.W. Grainger Inc. (GWW.N)	E (09/06/2024)	\$1,371.07
Watsco Inc (WSO.N)	E (04/14/2025)	\$395.29

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